Phil A. DeCicco
Deputy General Counsel and Vice President

April 21, 2020

VIA ELECTRONIC FILING
Honorable Michelle Phillips, Secretary
New York State Public Service Commission
Office of the Secretary, 19th Floor
Three Empire State Plaza
Albany, New York 12223

Re: Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

Dear Secretary Phillips:

The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid hereby submit their Reply Brief in connection with the above matters.

Should you have any questions or concerns, please do not hesitate to contact me. Thank you.

Respectfully submitted,

/s/ Philip A. DeCicco
Philip A. DeCicco
Deputy General Counsel and Vice President

Attachments

cc: Active Parties in Cases 19-G-0309 and 19-G-0310 (via DMM)
Hon. James A. Costello
Hon. Maureen F. Leary

One MetroTech Center, Brooklyn, New York 11201
T : 929-324-4543 philip.decicco2@nationalgrid.com www.nationalgrid.com

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

Reply Brief Of

The Brooklyn Union Gas Company d/b/a National Grid NY

And

KeySpan Gas East Corporation d/b/a National Grid

April 21, 2020

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Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

REPLY BRIEF OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

Honorable James A. Costello
Honorable Maureen F. Leary

I. INTRODUCTION

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") received initial briefs from the following nine parties: Department of Public Service Staff ("Staff"), the Utility Intervention Unit of the New York Department of State's Division of Consumer Protection ("UIU"), the Public Utility Law Project ("PULP"), the Environmental Defense Fund ("EDF"), Estates NY Real Estate Services LLC ("Estates"), AARP, Family Energy, Inc., Long Island Power Authority ("LIPA"), and the Sane Energy Project ("Sane"). In addition, New York City ("NYC") submitted a letter in lieu of an initial brief.[1]

[1] Citations to parties' initial briefs will be set forth as "IB at ___."

In their Initial Brief, the Companies anticipated and addressed many of the arguments these parties raised in their initial briefs. If an issue was fully addressed in the Companies' Initial Brief, the argument and evidence is merely summarized here in the context of the specific arguments and evidence presented in the other parties' briefs. To the extent an issue is not addressed here, the Companies rest on their Initial Brief.

Notwithstanding the explicit direction of the Administrative Law Judges, in their initial briefs, a number of the parties make myriad of assertions that appear factual but are presented without a citation to the record of these proceedings. Similarly, some of the parties request relief related to other proceedings that are outside the scope of the instant rate case proceedings.[2] These assertions should be afforded little if any weight.

Before addressing the individual issues, it is important to note that, as the providers of essential gas distribution service in their downstate New York service territories, the Companies are acutely aware of the impacts that the COVID-19 pandemic is having on customers and residents of New York State. Well in advance of these rate filings, National Grid undertook an ambitious efficiency challenge, called the Accelerate Program, aimed at reducing costs for customers. This effort resulted in over $50 million in cost savings that are reflected in these rate filings for the benefit of customers. While the COVID-19 pandemic has created tremendous economic issues, the Companies have no reason to believe that over the long term the current pandemic will eliminate the Companies' need to continue to invest in the safe and reliable operation of their distribution systems and projects designed to assist the Commission and the State

[2] For example, PULP raises several issues related to the downstate New York gas supply constraints and the Companies' 2019 service restrictions. The Companies and Staff reached a comprehensive settlement regarding these matters, which was approved by the Commission in Case 19-G-0678. Moreover, the items raised by PULP have no bearing on the Companies' delivery rates in the Rate Year or any other matters presented in these rate filings. For these reasons, the Companies will not address these issues in this brief.

in achieving their energy goals. The Companies' proactive efforts through the Accelerate Program and their voluntary suspension of collection activities, including service disconnections, will help mitigate some of the economic impacts caused by the pandemic. Moreover, the Companies agreement to downward tracking mechanisms on the costs associated with material items, such as investments in utility plant and information technology, ensure that customers will ultimately not be harmed if the Companies fail to complete their capital projects in the manner forecast in their rate filings. The Companies believe that the information and forecasts reflected in the extensive record in these proceedings provide a fair and reasonable estimate at this time of the costs of providing service in the Rate Year.

II. PROCEDURAL BACKGROUND

See the Companies' Initial Brief at 9-13.

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS

See the Companies' Initial Brief at 13 and Appendix 1 to the Initial Brief.

IV. REVENUES

A. Gas Sales Forecast

Only two parties to this proceeding – Staff and PULP – raised issues with the Companies' gas sales forecasts in their initial briefs. As discussed below, many of the issues raised in those initial briefs were refuted in the Companies' Initial Brief or are otherwise inapplicable at this stage of the proceeding. Accordingly, these positions should be rejected and the Commission should adopt the gas sales forecasts developed by the Companies as the most accurate depiction of customers and usage in the Rate Year.

Staff's initial brief discusses how the Companies derived their gas sales forecasts and provides an overview of Staff's proposed adjustments to those forecasts. While Staff concedes that the Companies' Third Supplemental Testimony properly includes the energy efficiency impacts from the Commission's NE:NY Order, Staff believes that further adjustments are necessary, alleging that the Companies' forecasts "do not properly reflect the moratorium impacts or the increases in demand response programs." Staff IB at 10. Staff's adjustments result in a Rate Year total customer count forecast of 1,262,868 and 610,765 for KEDNY and KEDLI, respectively, and a Rate Year total usage forecast of 1,693,859,460 therms and 1,051,581,445 therms for KEDNY and KEDLI, respectively. *Id.*

PULP's initial brief argues that the Company's gas sales forecast should be refreshed to account for the alleged "inter- and intra-class transfers" resulting from the "significant transfer of electric and gas usage from commercial and industrial customers to residential customers" resulting from recent executive orders issued in response to the COVID-19 pandemic. PULP IB at 11. In the alternative, PULP requests that the Commission employ the "least-cost alternative affecting residential and small business ratepayers proposed by Staff or other active parties be given strong consideration as a temporary (*i.e.*, one year) measure" to moderate bill impacts during the pandemic period. *Id.* PULP's initial brief does not propose any specific least-cost alternatives, but suggests that the Commission should implement "austerity rate plans" in the present rate proceedings and other active proceedings. *Id.*

Staff's initial brief is essentially a recitation of their Supplemental Testimony, with a supplemental acknowledgment that the Companies' appropriately included the NE:NY Order in their forecast. Staff IB at 8-10. The Companies' Initial Brief explained in detail why Staff's adjustments to the gas sales forecast should be rejected. Companies' IB at 13-16. However, as

Staff's initial brief places additional focus on Staff's perceived deficiencies with the Companies' reflection of the moratorium in the gas sales forecast, the Companies will briefly address that issue.

As indicated in the Initial Brief, the Companies' Third Supplemental Testimony reflects the incremental demand response and energy efficiency impacts of the NE:NY Order and the effects of the gas moratorium settlement in Case 19-G-0678. *Id.* at 14. The Companies' forecasts continue the historic trend of declining temperature-controlled ("TC") customer counts. Rather than continue historic trends supported by the data, Staff manually moved customers out of firm rate codes back into TC rate codes. This adjustment should have been a net-zero move (*i.e.*, the total number of customers should remain the same); however, Staff did not make the appropriate corresponding reduction to the firm classification and thus Staff's total meter counts are not equivalent to the Companies' total meter counts. Upon review of Staff's workpapers provided in response to IR NG-88, Staff did not show enough of their work to demonstrate that the totals matched, and, despite numerous efforts, the Companies are unable to verify Staff's calculations. Exhibit 733, Attachments 1-2. Further, during the moratorium, the Companies connected customers meeting certain eligibility requirements and, once the moratorium ended, efforts were made to expedite connections that may have been delayed during the moratorium. Such actions would allow the Companies' forecasts to closely track the actual customer counts and usage experienced in the Rate Year. Further, use of the February 2019 forecast will mitigate the issues identified with updating the forecasts noted in the Companies' response to IR DPS-1057. Exhibit 520 (SRP-11), IR DPS-1057, page 3 of 62. Accordingly, as Staff's adjustments to the Companies' gas sales forecast are purely speculative, lack sufficient support, and contain errors, the adjustments should be rejected in favor of the Companies' forecasts, which are supported by the record.

With respect to PULP's initial brief, PULP's request to "refresh" the forecasts is another attempt to reopen the record, similar to the motion filed by PULP in this proceeding on March 31, 2020. Both Staff and the Companies opposed PULP's motion, citing, *inter alia*, the speculative nature of any revisions to the record due to the COVID-19 pandemic and existing tracking mechanisms and Commission precedent as a means to resolve such issues.[3] The Administrative Law Judges denied PULP's motion to reopen the record on April 7.[4] The Administrative Law Judges agreed with the arguments raised by Staff and the Companies and specifically highlighted the speculative nature of such a request, stating that "reopening the proceeding at this point would not alleviate this uncertainty as to future revenues and rates, which ultimately may be captured via regulatory lag in future rate proceedings" and indicating that they "do not agree that the existing record is insufficient for the Commission to set rates."[5] The Companies acknowledge that the pandemic may temporarily affect the commodity consumption figures; however, at this time the pandemic has not caused notable changes to the customer base that would support changes to the Companies' forecasts and, given that there is no concrete evidence concerning the duration of the pandemic, any such changes would be entirely speculative. Therefore, PULP's request to reopen the record should be denied. Finally, PULP's austerity measures request is extremely vague and bears no logical connection to the Companies' gas sales forecasts. As noted above, the Companies are sensitive to the issues experienced by their customers at this time and have already taken numerous efforts to assist customers. For example, the Companies have proactively ceased terminations and collections actions and pledged funding and assistance to customers affected by

[3] Case 19-G-0309 and 19-G-0310, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corp. d/b/a National Grid for Gas Service*, "Ruling Denying Public Utility Law Project's Motion to Reopen the Record" (Issued April 7, 2020) at 4-6.
[4] *Id.* at 6-8.
[5] *Id.* at 7.

the pandemic. These actions will likely lessen the impact of the pandemic on the Companies' customer bases and forecast usage. Given these actions and the vague nature of PULP's proposal, which is not supported by any evidence in the record, the Commission should reject PULP's recommendation.

B. Newtown Creek Imputation

1. Staff's Proposal To Place All Of The Risks Of The Newtown Creek Renewable Project On KEDNY Should Be Rejected

In their Initial Brief, the Companies (IB at 16-20) addressed the reasons why Staff's proposal to impute revenues from the Newtown Creek project that will fully offset the revenue requirement associated with the project should be rejected. In supporting this proposal, Staff (IB at 11-14) presents an argument that omits relevant considerations and mischaracterizes certain portions of the record. While the Companies have already addressed and rebutted most of Staff's arguments, a few points deserve further emphasis.

First, in discussing the provisions of the Joint Proposal from Case 16-G-0059, Staff ignores the initial sentence of the provision discussing the Newtown Creek project which states, "KEDNY will continue to develop the Newtown Creek biogas purification project."[6] This provision was agreed to by the parties not only for KEDNY's benefit but also for the benefit of other parties to the Joint Proposal, such as NYC, that wanted the project completed. When Staff agreed to this provision, it was fully aware that the capital costs of the project would exceed $30 million and that revenues from the sales of gas from the project would not exceed the revenue requirement. Tr. 3675-76. Under these circumstances, it is patently unfair for Staff to now contend that the Companies should be responsible for the full costs of the project.

[6] *See* Section 5.6 of the Joint Proposal dated September 7, 2016 approved in Cases 16-G-0058 and 16-G-0059.

In addition, while Staff expresses concerns about the overall cost of the project, it nowhere contends, much less demonstrates, that the costs of the Newtown Creek project are excessive or imprudent. On the contrary, the record shows, that like many cutting edge projects, the Newtown Creek project incurred increased costs as a result of facing unexpected challenges. As the Future of Heat Panel explained, the costs of the project were driven by the fact that it was developed in collaboration with NYC at one of the most complex wastewater treatment plants in the country.[7] Tr. 184. Moreover, the increased costs of the project do not detract from the fact that it will provide considerable benefits by serving as a model for the development for future renewable gas installations and public-private partnerships designed to reduce greenhouse gas emissions. Tr. 183. In the absence of a finding of imprudence or any evidence thereof, KEDNY should be afforded a reasonable opportunity to recover its costs.[8] Staff's proposed revenue imputation would provide no such opportunity.

Finally, while Staff (IB at 13) criticizes KEDNY's failure to offset the costs of the Newtown Creek project with concessions from NYC, the record shows that the Companies initially filed for and obtained a tax abatement from NYC in 2012 based upon the then-estimated cost of the project of $14.4 million. Tr. 273-75. In accordance with the Case 16-G-0059 Joint Proposal, KEDNY subsequently approached NYC about obtaining a larger tax abatement, but NYC stated that it would not support KEDNY's application. *Id*. KEDNY cannot control how NYC treats requests for increased tax abatements and the Case 16-G-0059 Joint Proposal did not require

[7] The challenges associated with the project included the need to obtain approval of the Public Design Commission and the fact that the site had to be moved as a result of the identification of a risk that was unforeseen in the preliminary engineering analysis. Tr. 184.

[8] *Matter of National Fuel Distrib. Corp. v. Public Service Commission of the State of NY*, 16 N.Y. 3d 360, 369 (2011); *Matter of Long Island Lighting Co. v. Public Service Commission of the State of NY*, 134 A.D. 2d 135 (3d Dept 1987) (recognizing that the Commission applies a prudence standard in determining what costs should be shouldered by utility shareholders rather than customers).

KEDNY to obtain such an abatement as a condition of either its obligation to complete the Newtown Creek project or obtain cost recovery for the project.[9] Under these circumstances, KEDNY's inability to obtain further concessions from NYC should provide no basis to require KEDNY to incur responsibility for the full costs of the Newtown Creek project.

For all these reasons, as well as those set forth in the Companies' Initial Brief, Staff's proposed revenue imputation should be rejected and KEDNY's proposal to recover the costs of the Newtown Creek project should be adopted.

C. RDM Per Class Versus Per Customer

In its initial brief (IB at 15), Staff confirmed that it agreed with the Companies' proposals concerning their revenue decoupling mechanism ("RDM") as set forth in the Companies' testimony and summarized in the Companies' Initial Brief (at 20). Tr. 2845, lines 17-21. As noted by Staff, the Companies agree to update the RDM targets for the revenues and customer counts approved by the Commission in these proceedings. No other party opposed the Companies' recommended changes to the RDM. Therefore, the Commission should adopt the Companies' RDM proposals.

D. Purchased Gas

See the Companies' Initial Brief at 21.

V. EXPENSES

A. O&M Expense

1. Consultants – AlixPartners (KEDNY and KEDLI)

AlixPartners is a consultant that performed work in the Historic Test Year to ensure the efficient delivery of the IT portfolio. Tr. 1986, lines 19-21. The record establishes that this work

[9] *See* 2016 Rate Order, Attachment 1, Joint Proposal, provision 5.6.

– and its associated costs – will continue in the Rate Year and beyond, as it is a prudent part of any business with an IT portfolio the scale and scope of the Companies that needs to keep pace with the changing needs of customers. Tr. 1986-87, lines 19-21 and 1-11.

Staff, in its initial brief, continues to assert that AlixPartners' costs should be removed as non-recurring. In support, Staff cites to one activity performed by AlixPartners (*i.e.*, refreshing the Companies' IT strategy), claiming that "it is not reasonable, or cost-effective, for the Companies to hire a consultant to perform all this work again during the Rate Year."[10] Staff IB at 18.

Staff's position misconstrues the record. Specifically, Staff conveniently omits mention of the fact that this activity was but one of many work activities performed by AlixPartners in the Historic Test Year. These activities included:

- Identifying IT efficiency opportunities
- Benchmarking and identifying best practices
- Reviewing IT contracts to assist with negotiations to improve vendor spend
- Identifying and assessing cybersecurity and compliance risks

Exhibit 504 (SRRP-3), pages 803 and 810-11 of 943.

As set forth in the testimony of the Companies and Staff, this is work (i) that will continue in the Rate Year whether performed by AlixPartners or another like consultant (Tr. 1986-87, lines 19-21 and 1-11); (ii) work that the Staff Revenue Requirement Panel ("SRRP") agreed would be reasonable to use a consultant to perform (Tr. 2468-69, lines 25 and 2-22); (iii) work that was specifically recommended by the Staff IT Panel, including key performance indicator development

[10] Staff cites, as support, AlixPartners' description of itself as a "niche consultancy firm" that will "go beyond" the work performed by other consultants. Staff IB at 17. If a consultant's self-promotion of itself were the standard upon which to judge whether costs were recurring, the Companies submit that no consultants would pass this standard.

and the need to bolster cybersecurity (Tr. 982, lines 19-23; Tr. 983, lines 15-18; Tr. 1010-16; Tr. 2463, lines 17-24); and (iv) work that delivered significant savings to customers – savings that, in fact, exceeded the costs in the revenue requirement.[11] (Exhibit 504 (SRRP-3), IR DPS-931, page 795 of 943; Tr. 1988, lines 8-14).

Further, Staff's position reflects a basic misunderstanding of the concept of recurring costs for rate making purposes. As the Companies explained in their Initial Brief, at pages 21-24, while the precise work undertaken by AlixPartners may not recur, that does not mean that other consultant work to ensure the efficient delivery of the IT portfolio will not occur. The AlixPartners costs are representative of similar consultant work that will recur in the Rate Year. It is obvious that consultant work to support the IT portfolio in the Rate Year and the foreseeable future is required. By their very nature, work activities change from year to year. While, for example, AlixPartners may assist the Companies with re-negotiating a portion of its IT contracts in the Historic Test Year, AlixPartners or another similar consultant may assist with the re-negotiation of another portion of its IT contracts in the Rate Year to lower costs to customers.[12] It is inappropriate to adjust consultant costs on the basis that the exact work will not recur – a fact with which the SRRP agreed with upon cross-examination. Tr. 2462, lines 3-14. The record is clear that the AlixPartners costs are representative of future IT consultant work in the Rate Year – work that has provided significant benefits to customers. For these reasons, Staff's adjustment should be rejected.

[11] The Historic Test Year costs were $1.102 million and $0.687 million for KEDNY and KEDLI, respectively. Tr. 2349, lines 15-18. By Staff's own admission, the Historic Test Year costs (which were used to forecast the Rate Year) were lower by $0.732 million and $0.456 million for KEDNY and KEDLI, respectively, with Rate Year savings of $2.941 million and $1.832 million reflected in the revenue requirements. Staff IB at 19.

[12] The savings referenced in the above footnote resulted from the re-negotiation of only two vendor contracts that were set to expire. Exhibit 504 (SRRP-3), IR DPS-931, page 794-95 of 943.

2. Contractors – Snow Removal Costs (KEDNY Only)

The Companies explained in their Initial Brief, at pages 24-25, the unreasonableness of Staff's proposal to utilize a three-year average based on calendar years ("CY") 2016 to 2018 to forecast KEDNY's Rate Year snow removal costs. In their initial brief, Staff repeats the same arguments they previously made. Specifically, Staff argues that the Historic Test Year snow removal costs are an outlier compared to the prior two years' costs and therefore use of an average is appropriate. Staff IB at 20-21.

As the Companies explained in their rebuttal testimony, for a decade now, over the course of four separate rate proceedings,[13] snow removal expense always has been forecast based on the costs in the Historic Test Year. Tr. 1990, lines 2-4. For the very first time, in this proceeding, Staff proposes to change this historic forecasting practice because they know the resulting outcome will be a lower Rate Year expense. While Staff may claim their proposal is not "results-driven," the reality is quite the opposite. Staff IB at 22.

Staff submitted no proof, such as evidence of more snow than in prior years, to demonstrate that the Historic Test Year costs were an outlier, as they claim. Indeed, if anything, it appears that KEDNY's CYs 2016 and 2017 costs of $1.228 million and $1.8 million were the outliers, as costs in CYs 2018 (the Historic Test Year) and 2019 were $3.337 million and $3.114 million, respectively.[14]

Simply put, use of a consistent forecasting methodology treats customers and the Companies fairly over time and there is no reasonable basis to deviate from historic practice. As

[13] *See* Case 10-E-0050, Cases 12-E-0201 and 12-G-0202, Cases 16-G-0058 and 16-G-0049, and Cases 17-E-0238 and 17-G-0239.

[14] The Companies testified in rebuttal that CY 2019 costs as of September 2019 were $2.115 million, with winter months still forthcoming. Tr. 1990, lines 7-9. While the final CY 2019 costs are not included in the record, the Companies submit that these costs should be considered as they are relevant and assist with the fair resolution of this issue.

the record shows, KEDNY significantly under-recovered its snow removal costs in every year of its current rate plan – incurring snow removal costs in excess of $5 million above the rate allowance over the term of the plan. Tr. 1990, lines 4-12. It would be patently unfair to exacerbate this under-recovery by switching forecasting methodologies. More importantly, use of a consistent methodology avoids situations where parties, as Staff does here, pick and choose different time periods based on the result that would best suit them. There is as much evidence to use a two-year average based on CYs 2018 and 2019 costs as there is to use Staff's proposed three-year average of CYs 2016 to 2018 costs. Further, continued use of the historic forecast methodology would avoid a situation where KEDNY in its next rate case, for example, proposes use of a different average to account for the historic under-recovery of these costs. For these reasons, Staff's proposal should be rejected.

3. Other Expense – Fines and Summonses (KEDNY Only)

Staff, in its initial brief, continues to assert that a 25 percent disallowance of Historic Test Year costs is warranted. Staff states the 25 percent breaks down as 15 percent related to fines and summonses within KEDNY's control and 10 percent related to process improvements identified in KEDNY's CY 2018 annual report (Exhibit 411 (SAP-1), pages 23-35 of 503) that Staff alleges will deliver cost reductions in the Rate Year. Staff IB at 23. The Companies' Initial Brief fully explains in detail, at pages 26-30, why Staff's proposed adjustment is not supported by the record and therefore should be rejected.

Staff's position wholly ignores the evidentiary record. First, the record shows that Staff's adjustment of $0.920 million is a ***double-count*** of an adjustment of $1.423 million already made by KEDNY to account for the process improvements expected to be delivered by the Gas Business Enablement ("GBE") Program to reduce fines and summonses in the Rate Year. Exhibit 56 (CJC-

5), Schedule 2. As brought out during cross-examination, the Staff Accounting Panel ("SAP"), was unaware of this adjustment. Tr. 2608, lines 5-7. Specifically, the SAP testified:

> Q. Okay. Are you aware that the revenue requirement in this proceeding reflects forecasts benefits associated with the G.B.E. program?
>
> A. I believe I remember seeing that. I'm not sure -- the specifics I'm not sure on.
>
> Q. Are you aware that one of the benefits is reduction to N.O.V.s?
>
> A. This panel is not aware of that.

Tr. 2607-08, lines 23-25 and 2-7.

In its initial brief, Staff blames its lack of due diligence in conducting its audit on the Companies, stating that the Companies should have told them about the cost reductions to fines and summonses reflected in the Rate Year revenue requirement. Staff IB at 27. Staff's position is misguided. The cost reductions were clearly identified in the GBE Program exhibits as a reduction to "Summons and Fines" from the improvements to be delivered by the GBE Program in the Rate Year. Exhibit 56 (CJC-5), Schedule 2; Tr. 2608-10. KEDNY had no reason to believe that Staff would propose reducing the Historic Test Year costs by an incremental 25 percent (especially given the reasonableness of the forecast, as discussed below) and is certainly entitled to save arguments for cross-examination. Staff's assertion in its initial brief, at 27, that the Companies removed the GBE Program costs from Other Expense and "logically . . . would have removed fines and violations it asserts it accounts for separately to GBE as well" is equally misguided. All GBE Program costs and associated savings were separately reflected in the GBE Program exhibits to provide transparency to Staff and the parties. Tr. 1890-91, lines 20-21 and 1-2; Tr. 3378-3379, lines 13-21 and 1-5; Tr. 3409-10, lines 4-21 and 1-21. It would make no sense to remove savings that were already removed from the revenue requirement in another exhibit.

The case law is clear. A decision of the Commission will be set aside if it is found that the decision is "unsupported by substantial evidence or is arbitrary, capricious or an abuse of discretion."[15] The SAP's lack of awareness they were double-counting an adjustment KEDNY already reflected is reason alone to reject Staff's adjustment. Any determination otherwise would be arbitrary and capricious, and contrary to the record evidence.

Staff also ignores how KEDNY forecast this expense and the evidence in the record showing the correlation between increased capital work and fines and summonses. Specifically, KEDNY used the Historic Test Year level of fines and summonses as the base to forecast the Rate Year amount. Tr. 2605, lines 18-21. The Rate Year reflects a significant increase in the level of capital spending over and above the Historic Test Year, including incremental city state construction and leak prone pipe removal work – work that requires permits and excavation in the streets and sidewalks. Tr. 199, lines 11-17. While Staff uses KEDNY's CY 2018 report to justify its claim that process improvements will lead to savings in the Rate Year, Staff conveniently ignores that the report states that increased construction activities will likely result in an increase in fines and summonses despite KEDNY's best efforts to avoid these costs. Exhibit 411 (SAP-1), page 32 of 503. The table at page 9 of the report clearly shows the correlation between increased work activities and the number of fines and summonses incurred. *Id.* This correlation is further explained in Exhibit 350 (RRP-4R), IR DPS-428, which Staff also ignores. Specifically, the exhibit states:

> Additionally, expansion of the Company's construction portfolio will likely increase the potential violations incurred (*i.e.* based on historical trends, an increase in the amount of permitted work is likely to correspond to an increase in the number of violations incurred, despite the Company's efforts to minimize exposure). The Company's work plan will expand in the Rate Year and Data Years. On page 3 of the Roadwork and Traffic Violation

[15] *Mtr. of Consumer Protection Board v. Pub. Serv. Comm'n*, 97 A.D.2d 320, 323 (3d Dep't 1983).

> Report, KEDNY described a more than 200% increase in the number of street opening permits it obtained from 2014 to 2018. While significant, the report actually understated the number of permits received. Since filing the report in April 2019, updated data shows the final number of 2018 permits was approximately 76,000 (not 66,000 as originally reported). In the calendar year to date, the Company has obtained approximately 54,017 permits already to date in calendar year 2019. ***Therefore, the Company not only anticipates the number of violations to remain steady in the Rate Year and Data Year, but there is a potential for the number to increase.***

Exhibit 350 (RRP-4R), pages 42 of 46 (emphasis added).

Staff's initial brief also ignores the SAP's agreement, elicited during cross-examination, that KEDNY could improve its performance in terms of the number of violations per permit but that the number and costs of violations could increase or remain the same if the number of permits increase. Tr. 2602-03, lines 23-25 and 2-14. Quite clearly, it was KEDNY, not Staff, that was "conservative" in its forecast, not adjusting the Rate Year costs upwards despite the evidence showing a potential for an increase to the costs of fines and summonses. Instead, KEDNY used the Historic Test Year costs, which fully captured the benefits identified in the CY 2018 report, to forecast the Rate Year.

Staff's remaining arguments are unsupported and, in fact, belied by the record. Specifically, Staff attempts to distort the record about these costs. These are not penalties but costs that are prudently incurred to excavate in the streets and sidewalks of the largest and most densely populated cities in the United States. Tr. 1992-93, lines 5-21 and 1-3. The record demonstrates the significant efforts undertaken by KEDNY to reduce these costs – and it is precisely because of these efforts that Staff proposes to reflect savings. Tr. 2559-63; Tr. 2597, lines 4-11. Notwithstanding KEDNY's efforts, the record establishes that a level of fines and summonses is simply cost-effectively unavoidable and that the costs in the Historic Test Year serve as a reasonable basis upon which to forecast the Rate Year. Tr. 1992-93. There has been no showing

by Staff that these costs are imprudent. Nor has there been any showing that these costs can be reduced beyond the level reflected in the Historic Test Year.

Moreover, the record demonstrates that Staff's 25 percent adjustment is based on nothing more than speculation. Indeed, the record is devoid of any evidence that would show the process improvements identified in the CY 2018 report will deliver savings in the Rate Year. In fact, the CY 2018 report not only does not identify any savings that could be achieved in the Rate Year, but Staff admitted they did not quantify any savings that could be delivered from any of the process improvements identified in that report. Tr. 2602, lines 5-22. Commission decisions must be supported by substantial evidence in the record.[16] In that regard, substantial evidence "does not rise from bare surmise, conjecture, speculation or rumor."[17] Beyond such speculation, the record is devoid of any evidence that any savings above what KEDNY reflected due to the GBE Program can be achieved in the Rate Year.

It bears repeating that Staff's breakdown of the 25 percent adjustment into 15 percent related to fines and summonses under KEDNY's control and 10 percent related to savings was raised for the first-time during cross-examination. Tr. 2601, lines 6-8. It is not contained in the SAP's initial testimony or the SAP's corrected testimony. Nor can it be found anywhere in their workpapers or exhibits. As the SAP testified:

> Q. Sorry. Does that break down appear anywhere in your testimony?
>
> A. As we mentioned in our testimony that we use a conservative approach.
>
> Q. So my question is, does that breakdown appear anywhere in your testimony?
>
> A. No.

[16] *Mtr. of Lefkowitz v. Pub. Serv. Comm'n*, 50 A.D.2d 338, 340 (3d Dep't 1975), aff'd, 40 N.Y.2d 1047.
[17] *Mtr. Of 300 Gramatan Ave. Associates v. State Div. of Human Rights*, 45 N.Y.2d 176, 180 (1978).

Tr. 2601, lines 6-8. The breakdown is quite clearly an after-the-fact attempt to address KEDNY's position, raised during rebuttal, that Staff's adjustment was nothing more than speculation, not supported by any evidence. This, combined with the SAP's lack of awareness they were double counting the GBE Program savings, raises credibility issues about this adjustment and provides another basis for rejection of the adjustment.

In sum, the record supports the following findings:

(i) KEDNY has and continues to take significant efforts to reduce fines and summonses.

(ii) These costs are reasonable costs of doing business in NYC and there has been no showing of imprudence.

(iii) Despite best efforts, these costs are not cost-effectively avoidable above the level of reductions already reflected in the Historic Test Year.

(iv) KEDNY was reasonable in its forecast by not adjusting for the increased work in the Rate Year despite the evidence showing the link between work levels and fines and summonses.

(v) The only quantified savings that can be achieved in the Rate Year are those related to GBE Program savings in reducing fines and summonses, which KEDNY reflected and of which the SAP was unaware.

For these reasons, Staff's adjustment should be rejected. If the Commission were to determine otherwise and agree with Staff's position, then the GBE Program savings of $1.423 million must be removed from the revenue requirement.

4. Service Company Rent Expense – IT Costs (KEDNY and KEDLI)

a. The Companies' Proposed IT Capital Investment Program Is Necessary To Provide Customers With Safe And Adequate Service And Ensure The Security Of Systems And Networks

Staff does not challenge the need for or importance of the Companies' proposed IT investment plans. Nevertheless, Staff recommends slashing the proposed rate recovery available to pay the costs of those investments. Staff's proposed adjustments to the Companies' IT capital and operating plans would result in an unreasonable disallowance of costs for projects and investments that are integral to the Companies' ability to provide safe, adequate and secure service and should be rejected.

b. Staff's Proposed Adjustment to Remove $57.4 million from the GBE Program Forecast is Arbitrary and Would Result in An Unreasonable Disallowance of Prudent Costs Needed to Provide Safe and Adequate Service

Staff recommends that the Commission reject the GBE Program-related funding levels the Companies proposed in this case, and instead set recovery based on funding levels established in Case 17-G-0239. Staff correctly points out that the GBE Program budget has increased since the Joint Proposal was approved in Case 17-G-0239, but does not contend that the causes of the cost increases (*i.e.*, increased testing and training; greater than anticipated complexity integrating legacy systems; and increased AFUDC) represent unreasonable expenditures that should not be recoverable. Staff's recommendation to deny recovery of these legitimate costs needed to deliver a major in-flight program is essentially based on the fact that National Grid did not identify those costs in a rate case that was resolved more than one year prior to filing these cases. Such rationale is unjustified and should not be the basis for denying the Companies' proposed cost recovery.

In its initial brief, Staff also notes that the Companies' rebuttal testimony opposed applying the downward-only net plant tracker to GBE Program investment. Staff IB at 43. However, as stated in the oral direct testimony of the Companies' IT Panel at the hearings, the Companies have accepted the imposition of a one-way downward reconciliation mechanism for Service Company IT rent expense (Tr. 913, lines 11-17), which also would apply to GBE Program capital investment. Therefore, for the reasons set forth here as well as in their Initial Brief, the Companies recommend the Commission reject Staff's proposed $57.4 million downward adjustment.

c. Staff's Proposed Removal of the Customer Information System ("CIS") Project from the Rate Case Would Significantly Impact Implementation of a Critically Needed Investment and is Counter to the Practice of Addressing Utility Rates in Comprehensive Rate Case Proceedings

The Companies oppose Staff's recommendation (Staff IB at 40) that the proposed CIS program be removed from this rate case and addressed in a separate proceeding. A rate case is the appropriate forum for considering utility investment proposals and setting rates that reflect those investments. The rate case provides an opportunity for interested parties to investigate and question a utility's investment proposals—including major investments such as the CIS project—in the context of all of the utility's other investments and costs. In addition, because a statutory timeframe does not apply to such separate proceedings, synergies that otherwise may by possible among projects that are reflected in a unified rate case proceeding might be lost or adversely impacted if timeframes of the separate proceedings differ significantly. Consolidated Edison's recently approved rate case joint proposal addressed cost treatment of that company's new customer system investment despite the fact that the system was not anticipated to go into service

during the period of the rate plan.[18] There is no reason that an investment as central to a utility's operation as a customer system should be considered outside the context of a rate case, and the Companies oppose that here.

Staff's substantive opposition to the Companies' proposed CIS project is based largely on Staff's opinion that the CIS project is not sufficiently mature to justify cost recovery. Although National Grid recently approved the CIS project sanction paper (Tr. 918-20, lines 13-25, 2-25, and 2-10), Staff is correct that the project would not go into service until after the Rate Year in this case (Staff IB at 40), and therefore no Service Company rent expense of capital investment or depreciation would be incurred by the Companies. However, like Consolidated Edison's customer system project, the CIS project is a multi-year effort. The Companies will be incurring operating expense during the Rate Year for the development and implementation of the CIS project. No party challenges the need for the project, and the Companies should be allowed to recover in rates the operating expense they are going to incur in the Rate Year to enable the ultimate implementation of the project.

d. Staff's Proposed 25.5 Percent Forecasting Adjustment is Arbitrary and Unreasonable, Not Supported by Historical Performance, and Would Result in Disallowing Prudent Costs Incurred for Projects Needed to Provide Safe and Adequate Service

Staff's initial brief describes the linear regression analysis used to arrive at its recommended 25.5 percent downward "forecasting adjustment." Staff IB at 32. The Companies' Initial Brief addresses the faults in Staff's forecasting adjustment, including ignoring FY2017 results. Companies' IB at 35-37. There is no dispute that the results of the linear regression would

[18] Cases 19-E-0065 and 19-G-0066, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service*, "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan" (Issued and Effective Jan. 16, 2020), p. 43.

have been different and produced a higher Rate Year funding if a major part of the data had not been intentionally excluded. Tr. 893, lines 11-18, Exhibit 341 (ITP-1R), p. 2 of 2. Staff's own analysis that the Companies underspent their IT capital budgets by approximately eight percent, or $8.8 million over the five-year period Staff reviewed, also does not justify a downward adjustment of 25.5 percent, or $44.2 million (Tr. 893-94, lines 21-22 and 1-8), and completely ignores testimony at the hearing that the Companies' IT function was on track to achieve its FY20 annual $151 million budget by fiscal year end. Tr. 893, lines 7-10. Staff's reference to Niagara Mohawk's Q3 FY20 IT variance report (Staff IB at 37) simply is inapposite. To achieve the improvements necessary to ensure safe, reliable and secure service of their customers and meet legal and regulatory expectations, the Companies must invest substantial amounts in their IT infrastructure. The downward forecasting adjustment proposed by Staff lacks proper support and would result in inadequate funding to meet the Companies' IT needs, and therefore should be rejected.

e. Staff's Proposal to Limit SAP S/4 HANA Project Capital Investment Recovery To An Amount Within The $129.4 Million Rate Year IT Capital Investment Level is Infeasible and Would Deny Sufficient Funding for this Important Project

In its initial brief, Staff confirms its agreement with the need for the SAP S/4 HANA project. Staff IB at 38-39. Staff also recommends approval of the O&M costs for the project, but recommends that any SAP S/4 HANA capital investment be incurred within Staff's recommended IT budget level of $129.4 million. *Id.* at 39. Staff's recommended restriction on capital investment on the project is based in part on its concern that the project "design phase has not yet been sanctioned by National Grid and there is considerable uncertainty as to when the design phase will actually begin." *Id.* at 38. Finally, Staff recommends that the SAP S/4 HANA project investment

be subject to the proposed downward only Net Utility Plant and Depreciation Expense Reconciliation Mechanism. *Id.* at 39; *see also* Tr. 1008, lines 3-10.

As presented at the hearings, since the date of the Staff's initial testimony in this case on the SAP S/4 HANA project, National Grid has in fact approved the sanction for the project. Tr. 918-920, lines 13-25, 2-25, and 1-10. The sanction includes, among other things, the cost, timelines, and anticipated implementation phases of the program. Tr. 919, lines 18-25. Further, as noted above, the Companies agreed at the hearings to the imposition of a one-way downward reconciliation mechanism for Service Company IT rent expense. Tr. 913, lines 11-17. The Companies clarify here that such reconciliation mechanism would apply to net utility plant and depreciation expense associated with the SAP S/4 HANA project. Given Staff's acknowledgment of the need for the project, the fact that the project was recently sanctioned, and the applicability of the downward only reconciliation mechanism, the Companies proffer that Staff's concerns have been substantially addressed and Staff's recommendations regarding capital investment funding for the SAP S/4 HANA project should be rejected.

f. Staff Recommends Certain IT-Related Process Changes That Are Unnecessary And Would Impair National Grid's Ability To Manage The IT Organization And Investment Plan

The Companies have agreed to many of the IT capital plan process and reporting mechanisms Staff recommends. For example, the Companies agree to provide periodic and annual reporting on their IT programs, and agree to enhanced reporting on cyber security projects through National Grid's investment sanctioning process. Tr. 904-05, lines 1-20 and 1-15; Tr. 903, lines 13-18. However, the Companies do not agree that the chief information officer ("CIO") attestation proposal Staff recommends (Staff IB at 45) is necessary or reasonable.

The enhanced IT capital plan reporting and communications measures the Companies have agreed to, along with the downward only net plant tracker, will allow Staff to evaluate the

Companies' IT investment plan performance and will protect customers if the Companies do not deliver on the plan. Staff's proposed attestation requirement would insert additional administrative steps into the Companies' internal investment planning process with no clear indication of how such additional steps would improve investment planning, enhance reporting to, or communications with, Staff, or better protect customers. Staff did not identify any other utility in the State where such an attestation requirement has been imposed. Absent a fundamental concern that the proposed attestation requirement would directly address or a clear link to better customer outcomes, it is not reasonable for the Commission to insert such a step into the Companies' internal IT capital investment planning process, and Staff's recommendation should be rejected.

5. Labor (KEDNY and KEDLI)

a. Labor Escalation Rate

As discussed in the Companies' Initial Brief, at 41-44, the Companies' rebuttal testimony fully explained why Staff's proposed adjustment is wrong. In their initial brief, Staff did not address ***any*** of the points raised by the Companies. Instead, Staff's entire argument is predicated on what salary budget information may or may not be included in the World at Work Salary Budget Survey results. Staff IB at 50-53. That issue, however, is entirely irrelevant.

The record clearly establishes the following:

(i) The standard used by Staff to determine whether a utility's compensation is market competitive for purposes of inclusion in the revenue requirement is that the utility's total compensation must be plus or minus 10 percent of the median total compensation of similarly situated peers. Tr. 5267-68, lines 22-24 and 1-11. As explained by Staff Witness Daniel Gadomski, "[t]his generally accepted rule of thumb referenced in the World at Work Handbook has been used by Staff to

evaluate compensation benchmarking results in numerous prior rate cases before the Commission." Tr. 5268, lines 7-11.

(ii) Staff Witness Gadomski confirmed the Companies' total compensation falls within this range, and, is in fact, below the market median. Tr. 5268, lines 7-11; Exhibit 116 (MPH-2), Schedule 1, Page 1 of 1.

(iii) The 3.35 percent wage increase was paid to employees in July 2019 and therefore constitutes a known and measurable change for ratemaking purposes. Tr. 4945, lines 17-20.

(iv) Neither the 3.35 percent increase implemented in July 2019, nor the 3.1 percent wage increase to be implemented in July 2020, will cause the Companies' total management compensation to exceed the median compensation of the peer group. Tr. 4945, lines 5-12; see also Table 1 of the Companies' IB at 42.

This evidence is unrefuted by Staff and fully justifies a finding that Staff's adjustment should be rejected. Cash compensation that is below the market median of a utility's peer group is not imprudent or excessive.

Finally, with respect to Staff's argument about the Work at Work Budget Survey, the notion that World at Work is the definitive source for assessing the reasonableness of a wage increase is simply untrue. World at Work is but one of several authorities on the subject. Tr. 4945-46, lines 20-21 and 1-6. As the Companies explained in their Initial Brief, at 43, while Staff looked at only the World at Work, the Companies reviewed market data from several leading authorities, such as Aon Hewitt and Mercer, and used the average of the median merit increases from those studies to support the escalation factor. *Id.*

For these reasons, Staff's proposed adjustment should be rejected.

b. Vacancy Rates

Staff's proposed vacancy rate adjustment is flawed, as it completely ignores the evidence in the record. In their initial testimony, Staff imputed a vacancy adjustment based on their assumption that the Companies did not account for vacancies in the Rate Year labor forecast. Tr. 2356, lines 10-12. As the record shows, Staff's assumption was incorrect, as the testimony and exhibits establish that the Companies accounted for vacancies in the forecast just in a different manner than Staff proposed. Tr. 1999-2000, lines 17-21 and 1-19; Tr. 2477-78, lines 16-25 and 2-17. Staff acknowledged this fact upon cross-examination. Tr. 2477-78, lines 16-25 and 2-17.

In its initial brief, Staff attempts to cover for this fatal flaw in its adjustment by asserting that its vacancy rate is not a "double count of vacancies." Staff IB at 57. Merely saying something is not a double count is not proof, however. In making that argument, all Staff does is restate the reasons why vacancies may exist, such as retirements, terminations, long-term leave, and filling positions that have been vacated. *Id.* The record establishes that the Companies' forecast, which uses the actual employees on payroll at the end of the Historic Test Year, accounts for these vacancies. Tr. 1999-2000, lines 17-21 and 1-19; Tr. 2477-78, lines 16-25 and 2-17. Indeed, the record shows that there were 617 management and 202 union positions for KEDNY, KEDLI, and the Service Company vacant at the end of the Historic Test Year and that these vacant positions were ***excluded*** from the Rate Year forecast. Tr. 2000-01, lines 5-19 and table 1. On cross-examination, Staff testified they did not add back these vacancies in applying their vacancy rate. Tr. 2480, lines 3-7. In sum, Staff submitted no evidence to rebut the evidence in the record showing that Staff's application of a vacancy rate on top of a forecast that already includes vacancies is a clear double count. In the absence of record evidence to the contrary, Staff's adjustment must be rejected.

Further, as explained in the Companies' Initial Brief, Staff disregards the reasons why there are differences in the labor headcounts between the end of the Historic Test Year and the 2016 KEDNY and KEDLI Rate Cases. The evidence shows that, factoring in Service Company employees, there were 1,306 more employees at the end of the Historic Test Year than included in rates in the 2016 KEDNY and KEDLI Rate Cases. Tr. 2001-02, lines 5-10 and 4-12 and table 2. Staff attempts to avoid this fact by claiming that the Companies are "trying to misdirect attention without identifying any actual errors" in Staff's vacancy adjustment. Staff IB at 57. Ignoring the errors the Companies already identified above, this evidence is directly relevant and is yet another reason why Staff's adjustment is incorrect. Indeed, as reflected in the Companies' Initial Brief (IB at 48), applying the general labor allocator to the Service Company employees results in approximately 260 FTEs who would charge their time to KEDNY and KEDLI. This means that, contrary to Staff's position that the headcount was lower by 48 FTEs for KEDNY and 63 FTEs for KEDLI at the end of the Historic Test Year compared to the headcount in the 2016 KEDNY and KEDLI Rate Cases, the headcount between those two periods – when properly factoring in the Service Company employees who charge their time to KEDNY and KEDLI – was ***actually higher***. This is yet another fundamental failing in Staff's proposed adjustment. For all these reasons, Staff's vacancy rate is patently incorrect and must be rejected.

c. New Hire True Up

The Companies fully explained in their Initial Brief, at 49, why Staff's proposed new hire true up should be rejected. If the Commission were to disagree and adopt Staff's new hire true up, then it should also adopt the Companies' proposed property tax and city state construction operations and maintenance ("O&M") reconciliations. There is no compelling reason to adopt the

new hire true up but not the limited reconciliations proposed by the Companies that would protect both the Companies and customers.

d. Energy Efficiency FTEs

In its initial brief, Staff recommends providing rate recovery for the seven incremental FTEs the Companies requested in their initial filing to support their expanded energy efficiency programs. Staff IB at 188. As noted in the Companies' Initial Brief, Staff acknowledged that "[t]he Companies are significantly ramping up energy efficiency-related initiatives" (Tr. 680-81, lines 18-24) and agreed that "it is reasonable for the Companies to add seven additional FTEs to help support the enhanced energy efficiency portfolios" (Tr. 680-81, lines 18-24 and 1-2). Companies' IB at 49-50. Accordingly, there is no dispute between Staff and the Companies on this issue.

The Companies based their initial request for incremental FTEs to support the expanded energy efficiency programs on the 2018 *presumptive* targets and budgets in the Commission's Accelerated Efficiency Order.[19] Tr. 48, lines 7-11; Tr. 228, lines 12-16. The Commission adopted these presumptive targets and budgets as a starting point for the development of utilities' specific energy efficiency portfolio proposals. Tr. 48, lines 2-7. Therefore, the Companies used the calendar year 2020 adopted budget amounts along with the presumptive targets and budgets for calendar years 2021 through 2025 to determine the proposed budget amounts in this filing as well as the seven incremental FTE resources needed to support expanded energy efficiency programs. Tr. 48, lines 7-11.

[19] Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative*, "Order Adopting Accelerated Energy Efficiency Targets" (Issued and Effective December 13, 2018) ("Accelerated Efficiency Order").

Importantly, as discussed in the Companies' Initial Brief, several significant events took place during these rate proceedings that have impacted the Companies' need for the financial resources to provide better service to customers and support the State's rapidly evolving energy policy objectives: (i) the passage of the Climate Leadership and Community Protection Act ("CLCPA"), (ii) delays in the construction and operation of upstream gas pipeline capacity, (iii) the settlement of issues arising from a moratorium on new gas services,[20] and (iv) the Commission's issuance of the NE:NY Order establishing aggressive new energy efficiency targets. Companies' IB at 1-2. Not only will these events impact the Companies' cost to provide service to gas customers in New York, but they will also impact the Companies' cost to deliver their significantly expanded energy efficiency initiatives for the benefit of their customers.

Despite these significant events, Staff opposes the Companies' request for rate recovery for the incremental eight FTEs the Companies' proposed in their supplemental testimony filed January 29, 2020. Staff IB at 189-90; Tr. 227, lines 14-20; Tr. 229-30, lines 14-19 and 1-2. The Companies' initial request for incremental FTE resources needed to support their expanded energy efficiency programs was based on a determination made approximately one year before the Commission issued its January 16, 2020 NE:NY Order specifying the *new actual aggressive* targets and budgets, and several months before adoption of the settlement agreement in Case 19-G-0678 concerning gas supply constraints in downstate New York and the related moratorium. In light of the Case 19-G-0678 Order requiring the Companies to implement various energy efficiency measures to reduce peak demand, after assessing the impact of the NE:NY Order on the Companies' initial proposal, the Companies determined they needed eight additional FTEs "to

[20] Case 18-0678, *Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid*, "Order Adopting and Approving Settlement" (Issued and Effective November 26, 2019) ("Case 19-G-0678 Order").

meet the new targets, optimize the energy efficiency portfolios to achieve maximum customer benefits, and ensure compliance with regulatory requirements." Tr. 229-30, lines 18-19 and 1-2; Tr. 2052-53, lines 19-21 and 1-5. Staff's opposition to the Companies' request for rate recovery for eight additional FTEs dedicated to energy efficiency initiatives ignores the significant events that took place during these rate proceedings discussed above. Staff's recommendation, if adopted, would unreasonably hamstring the Companies' ability to deliver the Commission's aggressive new energy efficiency targets, the expanded LMI customer programs,[21] and the shared goals of the Companies, the Commission, NYC, and the State with respect to energy efficiency savings for downstate New York customers. Tr. 230-31, lines 19-20 and 1-8. For these reasons and those summarized in the Companies' Initial Brief, the Commission should reject Staff's recommendations and adopt the Companies' proposal.

6. Transportation Expense – Forecast of Vehicle Replacements (KEDNY and KEDLI)

In its initial brief, Staff continues to advocate for a disallowance of $0.619 million for KEDNY and $0.559 million for KEDLI in transportation lease expense. Staff IB at 61-66. The disallowance is not based on any evidence demonstrating that the Companies' fleet plan is unreasonable; any assessment that the Companies' replacement schedule is outside the norm of other utilities; or any analysis of the safety and reliability impacts to customers and the Companies from deviating from the fleet plan. Rather, Staff's disallowance is based solely on their opinion that the Companies' replacement schedule is "overly ambitious" because KEDNY and KEDLI

[21] *See* NE:NY Order.

"maintain and utilize vehicles with expired leases" and therefore "it is inappropriate to assume that the Companies need to replace as many vehicles as the Companies propose." Staff IB at 63-64.

This overly simplistic view fails to address the specific reasons why the Companies need to replace more vehicles than they have in the past. As the record shows, the Companies' forecast is supported by a fleet plan that is used by the business to manage the safety and reliability of the Companies' fleet. Tr. 2004, lines 15-18. The fleet plan includes a replacement date and schedule for each vehicle based on age, maintenance history, and work for which the vehicle is utilized. *Id.* Further, the Companies submitted evidence showing that, because of the adjustment made by Staff to transportation lease expense in the 2016 KEDNY and KEDLI Rate Cases, the Companies delayed replacement of 88 and 96 vehicles for KEDNY and KEDLI, respectively. Tr. 2005, lines 1-10; Tr. 2256, lines 3-13. These vehicles need to be replaced now and are the reason why the Companies are replacing more vehicles than they have in the past. Tr. 2005-06. As further explained, the Companies prudently managed fleet costs within the established rate allowance over the past three years, which required extending the average age of their fleet. *Id.* This cannot continue if safety and reliability is to be maintained. There has been no showing by Staff contradicting the fleet plan or the Companies' concerns relative to maintaining the reliability of fleet of vehicles needed to provide safe and reliable service to customers. In the absence of such a showing, Staff's adjustment should be rejected.

7. Uncollectible Accounts (KEDNY and KEDLI)

While Staff agrees that a three-year average should be used to develop the Companies' Rate Year uncollectible expense, Staff continues to recommend that the average used should be the three years ending May 2019. Staff IB at 66-67. Staff argues that this is more appropriate than the Companies' use of calendar year 2016, 2017, and 2018 data because, in Staff's opinion, it will incorporate the effect of the Companies' recent efforts to reduce uncollectible expense. *Id.* Staff's

recommendation would decrease the Companies' Rate Year uncollectible expense by $1.801 million and $0.442 million for KEDNY and KEDLI, respectively. *Id.* at 67.

As indicated in the Companies' Initial Brief, Staff's three-year period bears no rational relationship to either calendar year or fiscal year data and artificially truncates available data without providing any justification for selection of that time period. Companies' IB at 52-54. While Staff claims that their selection of a random three-year average period "should not have any effect on [their forecast's] trustworthiness," Staff's forecast is not aligned with data from the current rate plan, the Historic Test Year, or the Rate Year and therefore cannot serve as a "trustworthy" basis to forecast any of those periods. Further, despite Staff's claims, the Companies' forecasts include data that reflect their recent efforts to reduce uncollectible expense, as some of those efforts date back to 2016. *Id.* Additionally, there is no guarantee that the Companies' efforts will actually be able to reduce uncollectible expense as it is heavily dependent upon external factors, such as market conditions and customers' ability to pay their bills. *Id.* Recent events involving the COVID-19 pandemic further highlight the variability in this expense. *Id.* Accordingly, the Commission should use the Companies' uncollectible expense forecasts as they are tied to meaningful time periods and most representative of the Rate Year.

The Companies note that, in early March, they coordinated with other utilities in New York State to suspend collections efforts in response to the pandemic. While the Companies' understanding of the scope of the pandemic and financial implications is still evolving, there is no denying the suspension of collections and customer hardship will have an impact on the Companies' uncollectible expense in the Rate Year and beyond. It is critical to strike an appropriate balance between providing immediate relief for customers and the potentially longer-term impact on the Companies' uncollectible expenses from curtailing collections. Such a balance

could be achieved through the implementation of a reconciliation mechanism for changes in uncollectibles expense, which would enable the Companies to extend additional relief to help customers manage hardship during the pandemic, while maintaining the Companies' longer-term financial integrity.

8. Site Investigation and Remediation ("SIR") (KEDNY and KEDLI)

While Staff (IB at 70-72) argues that the Companies' Rate Year SIR costs should be forecast by averaging the Companies' projections for Fiscal Years 2021 to 2024 to account for potential delays and slippage in work scheduled at the MGP sites, and that its four-year average will "stabilize" rate impacts related to SIR costs, Staff unreasonably ignores the fact that the Companies' Rate Year projections are based on the latest available information and benefit from more certain, defined Department of Environmental Conservation work schedules while Staff's four-year average incorporates more speculative data for future years. Companies' IB at 59. Rather than stabilizing rate impacts, Staff's four-year average could result in future customers paying significantly increased SIR costs through the SIR reconciliation mechanism and could potentially trigger the SIR Recovery Surcharge at KEDNY. Companies' IB at 59-60.

While PULP and AARP argue that the Companies' shareholders should bear a portion of SIR costs,[22] these parties completely ignore the uncontroverted record evidence that the Companies have effectively controlled SIR costs. Companies' IB at 61. Further, these proceedings will result in a one year litigated rate case, rather than a negotiated multi-year

[22] PULP argues that KEDNY should allocate 100 percent of its share of earnings-sharing to SIR costs or, if no earnings sharing mechanism is adopted, that the Companies' shareholders should commit to share in the payment of SIR costs. PULP IB at 6, 18-19. AARP argues that the Companies should be required to contribute 100 percent of any earnings above the authorized rate of return to SIR costs or, if there are no over-earnings, that the Companies should share SIR costs (90 percent customers/10 percent shareholders). AARP IB at 1, 4.

settlement. Companies' IB at 61. Given these facts, the circumstances that might justify cost-sharing under the SIR Generic Order[23] are clearly not present and thus the Commission should not impose SIR cost-sharing requirements on the Companies.

In sum, the Commission should adopt the Companies' projected SIR costs as set forth in the testimony of Charles F. Willard. Tr. 3444-3518. The Commission should reject Staff's proposal to adjust SIR costs based on a four-year average for the Companies' manufactured gas plant site costs. Further, the Commission should not impose SIR cost sharing requirements on the Companies.

9. Savings (KEDNY and KEDLI)

a. Staff Has Not Supported Its Proposal To Impute The Aspirational IL 3 Savings

The Companies' Initial Brief (IB at 61-78) sets forth in detail why Staff's proposal to impute more than $13 million in aspirational savings related to the Implementation Level ("IL") 3 Accelerate Program initiatives is arbitrary, capricious, and unsupported by the record. In its initial brief, Staff merely repeats the same arguments that the Companies already refuted.

The Commission's policy in a one-year litigated case is to impute one percent of efficiencies absent "clear and convincing" evidence that a utility has already factored in efficiency improvements in the Rate Year.[24] The policy is based on the premise that well-run companies should be able to find a modest level of savings in the Rate Year.[25] One percent of efficiencies

[23] Case 11-M-0034, *Proceeding on Motion of the Commission to Commence Review and Evaluation of the Treatment of the State's Regulatory Utilities' Site Investigation and Remediation (SIR) Costs*, "Order Concerning Costs for Site Investigation and Remediation" (Issued and Effective November 28, 2012) ("SIR Generic Order").
[24] Case 27567, *Spring Valley Water Company*, "Opinion No. 80-16" (Issued and Effective April 24, 1980).
[25] Case 07-G-0141, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corporation for Gas Service*, "Order Establishing Rates for Gas Service" (Issued and Effective December 21, 2007) at 8.

equals $3.894 million for KEDNY and $2.020 million for KEDLI. Tr. 2014, lines 14-15; Tr. 2264, lines 18-20; Exhibits 304 and 314, Schedule 28.

In these proceedings, National Grid went above and beyond the Commission's policy, undertaking an aggressive program – the Accelerate Program - to find ways to reduce costs for customers. The program resulted in savings of more than $50 million reflected in the Rate Year, compared to a cost to achieve of approximately $1 million. Tr. 1897, lines 1-5; Tr. 2014, lines 16-18; Tr. 2264-65, lines 20-21 and 1. This level of savings is more than ***eight times*** (for KEDNY) and ***seven times*** (for KEDLI) the Commission's traditional one percent efficiency adjustment. Tr. 2014, lines 16-18; Tr. 2264-65, lines 20-21 and 1. It is hard for any business to achieve the standard one percent adjustment in a single year, let alone savings of the magnitude reflected by the Companies.

Staff's proposal to impute the aspirational savings associated with the IL 3 initiatives would require the Companies to achieve approximately $63 million in savings, which is more than eleven times (for KEDNY) and nine times (for KEDLI) the traditional productivity adjustment and is simply unachievable in a Rate Year that began April 1, 2020. Tr. 2014-15, lines 19-20; Tr. 2265, lines 3-5. The record fully demonstrates that Staff's position is not supported by any evidence and is based on nothing more than the possibility that IL 3 initiatives could move into IL 4 or IL 5. As stated above, Commission decisions must be supported by substantial evidence in the record.[26] Substantial evidence is not speculation, hope, or conjecture – which is all that Staff offers to support their position.[27] The record reflects the following key facts, all of which are undisputed.

[26] *Mtr. of Lefkowitz v. Pub. Serv. Comm'n*, 50 A.D.2d 338, 340 (3d Dep't 1975), aff'd, 40 N.Y.2d 1047.
[27] *Mtr. Of 300 Gramatan Ave. Associates v. State Div. of Human Rights*, 45 N.Y.2d 176, 180 (1978).

(i) *Staff Produced No Evidence To Support Their Adjustment*. Staff conceded, during cross-examination, that they did not perform an analysis of any of the IL 3 initiatives and have no evidence whatsoever that any initiative will move to IL4 aside from their "belief." Tr. 2521-22, lines 10-25 and 2-25. As Staff testified, "[o]ur adjustment is based on all level 3 savings and we did not go through individually and determine whether or not that specific initiative would move up or not." Tr. 2522, lines 18-25. A statement of hope or belief is not evidence no matter how many times Staff repeats it. Absent proof showing that the IL 3 initiatives will be implemented and deliver savings in the Rate Year, which does not exist, Staff's adjustment must be denied.

(ii) *Staff Ignores The Wave Tool*. The Companies provided Staff with reams of discovery about the Accelerate Program and the individual initiatives, including responses to monthly discovery requests to update the status of every initiative. Exhibit 635, part 1, IR DPS-396 and DPS-757, pages 498-532; Exhibits 738 and 739. These updates are taken from National Grid's Wave tool, which was created to provide transparency to the business and regulators of the level of savings that can reasonably be expected to be achieved. Tr. 1893, lines 8-13; Tr. 2017-18, lines 12-20 and 1-2. The recent monthly status update, dated March 31, 2020, continues to show – as it has for more than nine months now – that none of the IL 3 initiatives that Staff is proposing to impute into the revenue requirements have been implemented. Exhibit 739, IR DPS-757, page 5 of 6.[28] At all times, the Companies have been open and forthright about the status of the initiatives through its monthly

[28] In fact, the response shows that one initiative (Initiative No. 953) has returned to IL 2. *Id.*, page 2 of 6.

updates to Staff. Staff's adjustment completely ignores this process and the fact that the monthly updates from the Wave tool constitute uncontroverted evidence of the status of each initiative.

(iii) *The Evidence Demonstrates The Unlikelihood Of The IL 3 Initiatives Delivering Any Savings In The Rate Year*. Staff's adjustment is premised upon their assertion that once an implementation plan is developed, it takes about two months for an initiative to move from IL 3 to ILs 4 and 5; therefore, it is appropriate to include the savings from these initiatives in the Rate Year. Tr. 2390-91. Staff ignores, however, that while these initiatives may have an implementation plan, that plan has ***not been executed***; and, rather than two months, the Companies have been unable to implement that plan for ***over nine months now***.[29] Exhibits 738 and 739. Thus, Staff's bold assertion that "it is reasonable to expect that initiatives currently at Level Three will progress to Level Four or Level Five, and the Companies realize the forecasted savings, before the end of the Rate Year" is contradicted by the record. Staff IB at 76. Given the length of time these initiatives have stalled, the Companies testified that it is doubtful that any will progress to implementation and deliver the aspirational savings in the Rate Year – a fact that is far more reasonable than Staff's unsupported assertion. Tr. 2019, lines 2-5.

(iv) *The Initiatives Have Not Progressed Because They Are Aspirational And Simply Cannot Be Implemented*. The Companies implemented hundreds of initiatives to deliver the $50 million in savings in the Rate Year. Not every aspirational initiative

[29] Table 3 of the Companies' Initial Brief, at 72, provides the status of the IL 3 initiatives as of January. Exhibit 635 (part 1), pages 528-32. The February and March updates to IR DPS-757, which provides the monthly status of the IL 3 initiatives, show that the IL 3 initiatives continue to remain stagnant in IL 3 for more than nine months now

can be implemented and achieve savings, however, which is a fairly obvious point that Staff seemingly disregards. As requested by Staff, the Companies conducted a review of the initiatives that had been in IL 3 more than 100 days. Exhibit 635 (part 1), IR DPS-1026, pages 544-47. For each initiative, the Companies fully explained the specific reason why the initiative has not been implemented. The reasons included unsuccessful contract negotiations, IT solutions needed, the idea had never piloted before, and changes in business priorities. *Id.* Staff entirely ignores this evidence. Staff also ignores the impact that their proposed disallowances, on top of the litany of new obligations they recommended, have on the ability of the Companies to progress any of these initiatives, which were already challenging to begin with. Tr. 2020, lines 1-16. Staff did not perform an analysis of the impact of their adjustments on deliverability of the initiatives – many of which require IT investments. Tr. 2524-25, lines 21-25 and 1-5. This is all unrefuted proof further showing that it is highly unlikely – indeed doubtful – that any of these initiatives will progress to implementation and deliver any of the aspirational savings in the Rate Year.

(v) *The Evidence Shows That The Inability To Progress These Specific IL 3 Initiatives Is Not Due To Any Lack Of Effort On The Part Of the Companies*. The record shows that, as with any aspirational effort – especially one of the magnitude taken here – work to progress initiatives becomes hard, as the business moves from initiatives that were easy to implement to those that are more challenging. Tr. 2015-16, lines 15-21 and 1-3; Tr. 2018, lines 10-15. These initiatives frequently require third-parties to change their business practices to enable the Companies to deliver

savings, for example, a vendor agreeing to a contract change. This is precisely why the Commission's policy on efficiencies in a one-year litigated proceeding is one percent. The record further shows that recent events have required the Companies to redirect resources and priorities to meet these challenges. Tr. 2015-16, lines 15-21 and 1-3.

In an apparent recognition that their adjustment is not supported by any evidence, in their initial brief, Staff asserts that the Commission should impute the IL 3 savings "to incent the Companies to dedicate appropriate time and resources to implement these initiatives." Staff IB at 78. Effectively, Staff argues that the Companies should be assessed a penalty because they cannot deliver aspirational initiatives pursuant to a program National Grid undertook, of its own volition, to deliver more than $50 million in savings to customers. This was also a program that Staff, in the recent NYSEG and RG&E cases, cited as an exemplary program that NYSEG and RG&E should follow.[30] Staff's argument is without merit, and ignores the undisputed fact that these initiatives simply cannot be delivered regardless. If Staff's position were adopted, no utility in the State would ever pursue such a program again.

(vi) *The Companies Accounted For The IL 3 Initiatives*. More important, Staff ignores that the Companies accounted for the possibility that initiatives in IL 3 could move into IL4 or IL5 in the Rate Year by including the traditional one percent productivity adjustment in the revenue requirement on top of the Accelerate Program savings. Tr. 1897, lines 16-21. Staff further ignores that the Companies

[30] Cases 19-E-0378, *et al*, NYSEG and RG&E, Staff Accounting Panel (September 2019) at 50, lines 16-18.

would have been within their right to forego doing so given the "clear and convincing" level of savings already reflected. This was a reasonable approach to account for the uncertainty around these initiatives. Staff entirely ignores this fact and proposes to keep both the IL 3 savings and the one percent productivity adjustment.

For all these reasons, there no basis for the Commission to adopt Staff's position and impute the aspirational IL 3 savings. There is no evidence in the record whatsoever to support such an adjustment, which alone would amount to a more than two percent productivity adjustment for KEDNY and a more than one percent productivity adjustment for KEDLI, on top of the significant savings already reflected. Staff's entire position is premised upon nothing more than speculation and surmise. It is simply not based on evidence.

If the Commission were to determine otherwise, several adjustments would need to be made: (i) the one percent productivity adjustment must be removed; (ii) the IL 3 numbers set out at page 72 of 310 of the Companies' Initial Brief are the correct numbers to utilize as a base; (iii) the costs to achieve must be included (discussed below); and (iv) the savings amounts must be normalized, as they are annual numbers, as explained at page 75 of the Companies' Initial Brief.

b. Staff Has Not Supported Its Proposal To Disallow The Costs To Achieve

The only cost that the Companies are seeking to include in the revenue requirement for delivering more than $50 million in savings is $0.845 million for KEDNY and $0.527 million for KEDLI. Tr. 2384, lines 20-22. The Companies fully addressed each of Staff's arguments at pages 77-78 of their Initial Brief.

In its initial brief, Staff raises two points that require further comment. First, Staff claims that the Companies should not be entitled to recover their costs to achieve because they "retain[ed]

those pre-Rate Year savings." Staff IB at 73. This is the same argument Staff made to support their adjustment to AlixPartners (discussed above). The Companies are unaware of any precedent that provides that a utility is not entitled to recover costs incurred in one period to deliver savings over a multi-year period. Such a precedent would be illogical and effectively deny recovery of prudently incurred costs that delivered benefits 50 times greater than the cost. Further, Staff's adjustment also ignores that the 2016 KEDNY and KEDLI Rate Cases included productivity adjustments of 2 percent in CY 2017, 1.5 percent in CY 2018, and an additional 1.5 percent in CY 2019. Tr. 2487-2492.[31] That adjustment required the Companies to find savings. Therefore, the Companies did not, as Staff contends, retain any pre-Rate Year savings that were not already reflected in rates through the productivity adjustment.

Second, Staff's testimony in the 2010 Niagara Mohawk electric rate case is directly on point. The savings from the Accelerate Program will continue to benefit customers in future years. Staff's position to include the savings in the revenue requirements but not the costs that were incurred to deliver those savings is entirely without merit. It ignores the simple fact that but for those costs, customers would not see the benefit of the savings. This adjustment has the hallmarks of an arbitrary and capricious disallowance of prudently incurred costs. In the 2010 Niagara Mohawk electric rate case, it should be noted that the costs of the programs reflected in the revenue requirements were approximately $13 million compared to savings of approximately $5 million – which is the opposite of the costs/savings included in the present rate proceedings.[32] Accordingly, Staff's position to remove the costs but not the savings is unreasonable and should be rejected.

10. Paving Expense – Downward Only Deferral (KEDNY Only)

[31] Cases 16-G-0058 and 16-G-0059, 2016 KEDNY and KEDLI Rate Cases, "Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans", Appendix 1 – Joint Proposal, at Appendix 1, Schedule 1, pages 6, 18, and 30 of 36 and Appendix 2, Schedule 1, pages 6, 18, and 30.
[32] *Id.*, Tr. 3001-02, lines 22-25 and 1-3.

The Companies fully explained in its Initial Brief, at 78-79, why Staff's proposed downward-only paving deferral for KEDNY only was not supported and should be rejected. As Staff raised no new arguments in their initial brief, KEDNY has nothing new to add.

11. Pipeline Integrity Management Programs ("IMP")

The IMP is mandated by federal safety regulations. The Companies have identified specific projects in the Rate Year necessary to complete this program – and have developed detailed forecasts for those projects. Staff acknowledges that the Companies must adhere to the IMP regulations but still recommends a 100 percent reduction to the incremental non-labor O&M budget in the Rate Year (Tr. 4548, lines 18-19), as well as the incremental positions needed to perform the planned work. Tr. 4549, lines 10-11. Staff's rationale for totally eliminating the incremental funding and FTEs is that the Companies have spent less on IMP in prior years – and Staff expresses its expectation that IMP costs should be "levelized more consistently over multiple years to reflect the cyclical nature of the program." Staff IB 114. As explained in the Companies' Initial Brief (at 80-82), Staff's position on this issue completely ignores the realities of forecasting and executing the IMP. The IMP budget is "zero based" – meaning the annual forecast is built on a detailed estimate of the actual work to be performed in the Rate Year. This approach results in variability in the program spending from year-to-year because different project specifications (pipe size, scale, location, or complexity) will drive costs variances year-on-year. Tr. 4549, lines 1-4.

Staff does not challenge the specific projects in Companies' program or question the individual components of the Companies' IMP forecasts – again, Staff supports this work. Instead, while acknowledging the Companies' IMP budgets are zero based (Tr. 4796-4797, lines 20-25 and lines 1-10), Staff proceeds to make an adjustment to the Rate Year forecast based on the prior years' IMP costs – which is exactly the wrong approach for a zero-based budget. Because Staff's proposed adjustments to the forecast for IMP O&M is based on a flawed approach, and the

resulting adjustments will not allow the Companies to perform the projects identified for the Rate Year as part of their federally-mandated IMP safety program, these adjustments should be rejected.

12. Damage Prevention Contractor Costs

Staff does not dispute the Companies' damage prevention costs will be increasing in the Rate Year because of recently renewed contracts with the Companies' damage prevention contractor. Instead, Staff argues that the Companies should be forced to absorb millions of dollars of cost increases because, in Staff's opinion, these costs were raised "far too late in the process and puts Staff and the intervening parties in this case at a significant disadvantage in reviewing the effect of this change in cost." Staff IB 116. Staff's view on this issue is inconsistent with the Commission's Test Period Policy Statement, which provides that "[r]evisions for known changes in cost rates (such as for wage increases and tax increases), to the extent they are material, may be made as late as the Company's initial brief on exceptions."[33]

The damage prevention cost increases are unquestionably material in the Rate Year – KEDNY's O&M costs are forecast to increase by $6.8 million; KEDLI's O&M and capital costs are forecast to increase by $5 million and $1.9 million, respectively. The Companies have provided a legitimate reason for the timing of the update (*i.e.*, the expiration of the damage prevention contracts). When rate proceedings continue for a year or longer, contracts will invariably expire and need to be renegotiated in the ordinary course of business – which is exactly what happened here. The Companies updated their contractor costs in their Second Supplemental Testimony, filed on December 13, 2019. The Companies subsequently provided the contractor bids, an evaluation of the bids and a summary of the negotiations, and copies of the executed agreements with pricing.[34] Staff and the other parties have had more than four months to analyze

[33] Test Period Policy Statement at p. 8.
[34] DPS-1068 (Exhibit 510 (SPP-4)), dated January 17, 2020.

these costs and conduct discovery, as well as the opportunity to cross examine the Companies' witness panels on the reasonableness of these costs. There is no legal or equitable basis for denying recovery of these legitimate costs based on the timing of the update.

Staff further argues that the Companies' alleged failure to consider "some savings" resulting from the new contracts is another reason for disallowing the Companies' increased damage prevention costs. Staff IB at 116. Staff fails to cite any evidence or analysis of these alleged savings, or even identify the source or means of achieving these savings, let alone attempt to quantify any savings. Merely speculating there may be some unidentified, unquantified offsetting cost savings associated with the Companies' new damage prevention contracts does not support an adjustment here. For these reasons, Staff's proposed adjustments to the Companies' updated damage prevention costs should be rejected.

B. Amortization of Regulatory Deferrals

1. Use of Gas Safety Negative Revenue Adjustments and Unexpended Energy Efficiency Funds

The Companies explained in their Initial Brief, at 86-87, their position with respect to the use of certain regulatory deferral balances to mitigate costs. Staff's proposals related to gas safety, energy efficiency, and economic development program costs are discussed below in the Gas Policy and Energy Efficiency, Gas Safety, and Customer Service sections below.

2. Inactive Deferral Accounts

This issue is resolved as discussed in the Companies' Initial Brief, at 87.

3. Existing Deferral Accounts

This issue was fully addressed at page 88 of the Companies' Initial Brief. No party discussed this topic in their briefs.

C. Depreciation

In their Initial Brief (IB at 88-94), the Companies anticipated and addressed the arguments advanced by Staff (IB at 86-88) and, to a large extent, NYC (Letter in Lieu of Brief ("Letter") at 8-9) in partial (Staff) or full (NYC) opposition[35] to the Companies' depreciation proposals with respect to leak prone pipe. However, two assertions by NYC require further comment.

First, NYC cites the testimony of its witness, Lane Kollen, in support of a claim that the Companies' proposal "will compound the costs to customers, who will be required to pay for the cost of the retired LPP assets as well as the cost of the replacement assets." NYC Letter at 8-9. Contrary to Mr. Kollen's claim, it is Mr. Kollen's proposal that would require future customers to pay both a significant portion of the costs of LPP assets that were never used to serve them as well as the costs of replacement facilities. Tr. 1734. Under the Companies' proposal, current customers would be asked only to pay the costs of the LPP assets that are currently being used to serve them as they are being retired over a twenty-year period, as well as the costs of replacement facilities as they are placed in service. Tr. 1714, 1716, 1725, 1727, 1734, 1737. The Companies' proposal is far more equitable than NYC's proposal to present and future customers.

NYC's further assertion (Letter at 9) that the Companies failed to conduct a reasonableness check against their statistical cost of removal estimates is similarly without merit. In his rebuttal testimony, Companies' witness Paul Normand prepared an updated analysis that included actual cost of removal/retirement data for the first eight months of calendar year 2019 and showed that on an annualized basis the Companies anticipated that they would incur approximately $77 million of cost of removal expenses in 2019 as compared to approximately $60 million in calendar year

[35] The Companies' proposal would increase KEDNY and KEDLI's annual depreciation expense by $27.5 million and $24.5 million, respectively. Tr. 1715, 1726. Staff's recommendation would reduce KEDNY and KEDLI's proposed annual depreciation expense by $13.7 million and $10.6 million, respectively. Tr. 3009-11. NYC's recommendation would allow no increase in depreciation expense. Tr. 5404.

2018. Tr. 1736, Ex. 325. Contrary to NYC's claim, this evidence confirms the reasonableness of the Companies' depreciation recommendations which should be adopted in these cases.

For all these reasons, as well as those set forth in the Companies' initial brief, the Companies' depreciation proposals should be adopted in these proceedings.

D. Property Taxes

Staff's initial brief maintains Staff's recommendation to use a three-year growth rate to forecast property tax expense, but agrees with the Companies' recommendation to use fiscal years, rather than calendar years, to derive the forecast. Staff IB at 88. Staff also continues their opposition to the Companies' request for a fully reconcilable property tax mechanism, claiming that an update to the forecast to account for latest known, material tax bills through the Brief on Exceptions will decrease the risk that the forecast will materially diverge from the actual Rate Year property tax expense. *Id*. at 89.

The Companies' Initial Brief refutes Staff's arguments in favor of modifying the growth rate period used to forecast property tax expense in detail. Companies' IB at 96-97. Staff's arguments in favor of using three years of data are merely an attempt to justify Staff's proposed adjustments to reduce the Companies' property tax forecast. There is no objective evidence demonstrating that the additional data points will result in a more accurate growth rate, and, to the contrary, use of three years to forecast KEDNY's current rate plans would have resulted in a material, multi-million dollar deviation between forecast and actual property tax expense. *Id.* The inclusion of another prior fiscal year of data in developing the forecast will place the Companies at an unjustified additional risk of non-recovery for this significant expense, especially given that the fiscal year Staff proposes to include, FY 2016, is further removed from the Rate Year than the periods used by the Companies and is therefore not reflective of recent property tax trends. Accordingly, as there is no evidence that Staff's proposed three-year growth rate will result in a

more accurate growth rate and the use of such a growth rate would increase the Companies' risk of non-recovery, it must be rejected.

The Companies' risk of non-recovery of property tax expense is further amplified if Staff's proposal to reject a symmetrical property tax reconciliation mechanism is adopted by the Commission. The Companies' Initial Brief conclusively demonstrates, with citations to applicable Commission precedent, that the use of a reconciliation mechanism in a one-year case is reasonable and appropriate. *Id.* at 97-99. While an update in the Brief on Exceptions to include certain tax bills might slightly reduce the risk associated with this expense category, it will not completely obviate, or even materially reduce, such risk. A reconciliation mechanism appropriately protects the Companies and their customers from the risk and volatility associated with this expense category, which are largely attributable to factors beyond the Companies' control. *Id.* Given the materiality of this expense category and the magnitude of unknown factors that could affect it, a reconciliation mechanism should be adopted by the Commission in this case.

E. Amortization of Excess Accumulated Deferred Federal Income Taxes: Timing of Amortization/Return to Ratepayers of Annual Excess Deferred (EDFIT) for Unprotected Plant And Non-Plant Balances

The Companies proposed to amortize the annual excess deferred income taxes ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act of 2017 over 44 years for KEDNY and 47 years for KEDLI consistent with the manner in which protected EDIT is amortized under the average rate assumption method ("ARAM") required by the Internal Revenue Service's normalization rules. Tr. 2028, lines 5-12; Tr. 2276, lines 12-19. In its initial brief, Staff (IB at 90-92) continues to reject the use of the ARAM periods and proposes instead a 10-year amortization period for the unprotected plant and non-plant balances for both KEDNY and KEDLI. Staff's proposal is not based on any precedent but simply their observation that a

shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker. Staff IB at 92.

The Companies, in their Initial Brief, at pages 99-101, explained the reasons why Staff's proposal is unreasonable and should be rejected. Specifically, the Companies explained their concerns with a mismatch between costs and benefits for over 30 years, with customers in later years paying a greater share of asset costs over their service lives. In addition, the Companies explained their concerns about the impact to the Companies' credit metrics, including the very real concerns that the Companies could be downgraded given the proposals made by Staff in these proceedings. Finally, the Companies explained that the material disallowances already made by Staff, if adopted by the Commission, would do nothing more than further reduce rates that are already reduced to levels lower than the cost of service, thereby creating an even greater impact on customers in the future when the amortization ends. Accordingly, the Companies continue to believe that their proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of customers.

In their filed testimony, PULP proposed passing back the entirety of the unprotected balances in the Rate Year (Tr. 1651, lines 18-20). Both the Companies and Staff explained why that proposal should be rejected in their respective initial briefs. Staff IB at 92, Companies' IB at 100-101. In their initial brief PULP submits an entirely new proposal. PULP IB at 20-21. As that proposal is not supported by any record evidence, it should be rejected outright.

F. Amortization of Expenses

This issue was fully addressed at page 101 of the Companies' Initial Brief. No party discussed this topic in their briefs.

G. CSC O&M Tracker

KEDNY proposes to implement an O&M tracker for costs associated with its CSC program that would fully reconcile the difference between forecast and actual spending in the non-reimbursable "Support & Protect" O&M expense category. Tr. 4278, lines 8-13. This mechanism will ensure KEDNY recovers prudently incurred costs to perform mandated work and, importantly, provide assurance that KEDNY's customers are not overcharged to the extent expenses are lower than forecast in the Rate Year. It is undisputed that the CSC program continues to grow as NYC is investing billions of dollars to improve its water and sewer systems (Tr. 4247, lines 17-19); this work is completely reactive to NYC's construction activities; and the annual O&M expenditures are subject to significant volatility (Exhibit 63 (GIOP- 6)). These factors strongly support a two-way tracker for KEDNY's CSC O&M costs. Staff argues that there is less risk in a one year case and, therefore, a tracker is unnecessary. Staff IB. 100. This position is belied by KEDNY's recent experience – where KEDNY's actual spending on non-reimbursable O&M category varied from forecast expenditures by 75 percent between FY 2016 and FY 2017, and by 118 percent between FY 2017 and FY 2018.[36] Consider the Rate Year is subject to a potentially heightened level of variability as certain work could be delayed by social distancing requirements, while other projects suspended in February and March could be pushed into the Rate Year.

In summary, the factors that typically justify a tracker mechanism, including that the costs are outside the Companies' reasonable control and subject to significant volatility, support a reconciliation mechanism for CSC O&M. Indeed, these same factors have justified a tracker on

[36] Exhibit 63 (GIOP- 6).

the Companies' CSC capital expenditures, which Staff supports. For these reasons, a tracker for CSC O&M is appropriate in this case.

VI. RATE BASE ISSUES

A. Capital Projects And Expenditures

There is no question that significant capital investment in the Rate Year is required to ensure the Companies' gas systems are capable of reliably meeting the energy needs of New York customers. Nor is there serious disagreement that modernizing gas networks in a manner that promotes safety and reduces methane emissions is a public policy priority. As demonstrated by Staff's budget variance analysis (SGIOP Exhibit 465 (SGIOP-2)), these factors resulted in the Companies outspending their rate allowances by nearly $325 million over the four-year period from FY2016 to FY 2019. The imperative to maintain safe, reliable and affordable energy while reducing emissions in furtherance of state policy goals has only intensified since rates were last reset in 2016. Therefore, the Companies' capital plans must be funded in the Rate Year in a manner that enables the Companies to deliver on these shared goals and priorities.

The current COVID-19 circumstances will certainly impact the Companies' capital program – both in terms of the timing of certain projects and the costs to complete construction work in downstate New York. The full impact of the pandemic on the capital portfolio is unknown at this time. This uncertainty does not avoid the need for investment in safety and reliability projects. Indeed, work on critical infrastructure projects must continue in the Rate Year, as access to uninterrupted and affordable energy is more important than ever. This includes work that will enable gas service to new customers and projects to support economic development and employment opportunities in downstate New York. However, in the event the Companies' were

to underspend their rate allowance because of COVID-related circumstances, customers *will be completely protected* by the net plant tracker supported by the Companies and Staff.

In its initial brief, Staff reiterates the same arguments raised its testimony regarding the Companies' capital forecasts. These arguments were discussed at length in the Companies' Initial Brief and will not be re-addressed here. At a high level, Staff employs the following approaches to proposed adjustments to the Companies' capital forecasts:

- Staff rejects the Companies' higher inflation rates and other known and measurable items (*e.g.*, increasing contract costs) even though these factors will certainly increase Rate Year costs for mandated capital programs (Tr. 4657-63);
- Where the Companies' unit forecasts were derived from historic costs, Staff "updates" the results to include more recent cost data that became available since the initial rate filings but then argues for "normalizing" adjustments to remove years that demonstrate trending cost increases (Tr. 4649, lines 1-6; Tr. 4669, lines 9-14; Tr. 4684-85, line 24 and lines 1-3);
- Staff applies blanket "slippage" adjustments to entire categories of the capital budget based on prior years' spending. (Tr. 4672-76). These adjustments fail to consider the safety and reliability need for the underlying programs, which is particularly concerning given the role these projects (including key LNG and CNG programs) will play in maintaining system reliability as the Companies continue to add new customers in their service territories; and

- Staff argues at various points that its ability to review the Companies' capital programs has been hampered by a lack of information. Staff IB 105. To the contrary, it is hard to imagine how the Companies could have provided more information regarding their proposed capital investments in the Rate Year. Over the course of nearly a year, the Companies submitted hundreds of pages of testimony explaining the capital programs, prepared white papers and other exhibits with detailed cost data, answered numerous information requests (nearly 1,500 for the entire case to date, including more than 200 that are regularly updated), facilitated marathon technical sessions to present their proposals in even greater detail, and made their subject matter experts available to answer any questions regarding the proposed investments. Just looking at the exhibits attached to SGIOP's testimony -- which represents a sample of the total data provided in this case -- demonstrates the detailed historic data, cost support, operational information, and analysis underlying the Companies' forecasts.

The Companies appreciate that Staff is charged with ensuring the reasonableness of the proposed capital investments and that the Companies are taking appropriate steps to manage increasing costs. However, Staff's proposed adjustments, when considering both the totality of the budget reductions and the impacts on individual programs that Staff otherwise claims to support, are simply not reasonable.

1. Customer Connections

a. Use Of 2 Versus 3 Year Average Costs; Units Forecast For Install Main, Tariff Main, and Meter Purchases

Staff recommends that the unit costs for Customer Connections should be calculated using an updated, three-year average (FY 2017 to FY 2019) rather than the two-year average used by the Companies (FY 2017 to FY 2018). As this data became available after the Companies' initial filing in April 2019, Staff starts from a reasonable position that more recent data is a better indicator of costs in the Rate Year. Tr. 4715. Staff goes on, however, to muddle an otherwise reasonable approach by making "normalizing" adjustments to cost categories that eliminate years with the highest unit costs from the average under the theory these years are outliers. Even within this narrow category of capital investments, Staff arbitrarily selects historic data years used to calculate its unit cost forecast for different cost components. For some categories, Staff argues to include more recent data because it was a better indicator of the Companies' Rate Year costs (Tr. 4748, lines 2-10), while at the same time arguing in other areas that more recent data – when showing costs increases - should be normalized out. Tr. 4745, lines 22-23. This "cherry-picking" approach is designed to reduce the Companies' rate allowance by selectively including or excluding historic data when it fits Staff's purpose. Staff even identifies the factors increasing costs in the alleged outlier years – but fails to explain why these factors will not continue in the Rate Year, even when they are clearly the types of costs that would be expected to continue. Consider the example of KEDLI's Install Main Commercial, Staff proposes to exclude 2019 unit cost data from the three-year average and instead include 2016 data. Tr. 4752, lines 2-6. FY 2019 unit costs were the highest in KEDLI's recent experience, which the Company explained was attributable to "higher contractor costs associated with Department of Environmental Protection dumping costs increases." Tr. 4718, lines 13-16; Tr. 4752. In excluding FY 2019, Staff does not

explain why it believes KEDLI will not continue to incur these dumping costs in the Rate Year, other than to suggest it was "unclear" whether such costs would continue. Tr. 4753, lines 9-18. That is not a reasonable basis for an adjustment.

If the SGIOP believes a three-year average that includes updated data (FY17-19) is an appropriate means for forecasting costs in this area, it needs to apply that methodology fairly and consistently.

b. System Reinforcements

In opposing KEDLI's proposal to accelerate $5 million of investment in the Southeast Suffolk Project from FY22 to FY21 (the Rate Year), Staff argues that, because the in-service date for the project is not similarly accelerated, this is a "baseless" expenditure. Staff IB at 96. Far from being baseless, KEDLI explained that its reinforcement projects are needed to maintain adequate system pressures, and that it was accelerating Phase 1 of the Southeast Suffolk project to ensure it will be in service in FY22 – which is especially important to support new customer connections on eastern Long Island. Tr. 4569, lines 14-21. Staff expressly supports the need for the Southeast Suffolk Infrastructure project to maintain system pressures on KEDLI's system (Tr. 4756, lines 2-7) – and does not attempt to refute the Company's position that the project needs to be accelerated in the Rate Year to support the required in-service date. Because KEDLI has justified the need to accelerate work on the Southeast Suffolk project in the Rate Year, Staff's proposed adjustment is not appropriate.

2. Mandated

a. CSC Program (KEDNY): Forecast Of Reimbursable/Non-Reimbursable Costs; Coordination Personnel; CSC True-Up Mechanism; Reporting/Tracking Progress Metric For NYC Requests

With regard to KEDNY's CSC program, the undisputed facts are that (i) this program continues to grow as NYC is investing billions of dollars to improve its water and sewer systems (Tr. 4247-4248), (ii) this work is entirely reactive to NYC's increasing construction requirements; and (iii) the Company is legally obligated to perform this work. Tr. 4762-4763, lines 17-25 and line 2. As a result, the level of investment in this area has steadily increased over the last several years, especially as NYC's onerous paving requirement have increased the costs of performing this largely underground work. Staff makes this point on the trajectory of CSC work by noting that "KEDNY spent 11 percent, 14 percent, and 17 percent, and 23 percent of NYC's construction budget in FY 2016, FY 2017, FY 2018, and FY 2019, respectively." Staff IB 97. FY 2019 is particularly informative because it reflects the full impacts of the paving requirements on KEDNY's costs and demonstrates the impacts of NYC's ramp-up in construction activity. Staff nonetheless recommends removing approximately $25 million from KEDNY's CSC forecasts. Tr. 4659, lines 16-18. Staff concludes that "aligning the Company's budget with actual costs, while also removing unnecessary adders sets rates at a level which ensures the Company manages a program of this size efficiently, and protects customers from over-zealous budgeting." Staff IB 98. Far from "over-zealous," the Company's budgets have proved consistently inadequate to compensate for mandatory expenditures in this category. Indeed, Staff testified at the hearing that KEDNY had overspent its CSC rate allowance in every year during the term of the current rate plan (Tr. 4803, lines 8-13), overspending its budget by more than $50 million over FY 18 and FY19. Because KEDNY's forecast of CSC costs appropriately estimates program needs in the Rate Year based on recent trends and known cost drivers, Staff's adjustments should be rejected.

i. CSC Tracker Mechanism

KEDNY has demonstrated a clear justification for a reasonable reconciliation mechanism for its CSC program. The work in this area is mandated, variable, and completely reactive to

NYC's construction requirements. These factors, coupled with a sharp increase in the amount of NYC construction activity, have resulted in significant overspends in this area (more than $50 million over two years). The potential impacts of COVID-19 on construction activities, including the possibility that work suspended in FY 2020 is deferred into the Rate Year or that Rate Year work is delayed, provides an additional element of uncertainty. Under these circumstances, there is simply no basis for opposing a fully reconciling tracker as it would be in the best interests of both KEDNY and customers.

The SGIOP -- without even suggesting that the Companies have mismanaged CSC expenditures or failed to take reasonable steps to control costs - recommends that their capital deferral mechanisms be changed from the current 90 percent/10 percent reconciliation to an 80 percent/20 percent reconciliation. This is based on Staff's belief that the Companies' need a "strong incentive to manage the work efficiently and keep costs at a minimum in order to the benefit customers." Staff IB 100. There is simply no basis for this position in the record. Staff is unreasonably proposing to simultaneously remove nearly $25 million from KEDNY's CSC program forecast and adjust the true-up mechanism to place even more risk on KEDNY. This means KEDNY's shareholders will almost certainly absorb an increasingly large portion of the prudently incurred costs to provide service in NYC. Because Staff does not even suggest the Companies have mismanaged their spending in this program – a tracking mechanism that pushes additional risk on the Companies for CSC costs that are beyond their control is unjustified and unreasonable.

b. Leak Prone Pipe Removal/Replacement; Accelerated Main Removal/Replacement; Unit Costs/Inflation Factors And Forecasts

There is general consensus the Companies' leak prone pipe replacement programs provide significant customer benefits in terms of safety, reliability, eliminating leaks, and reducing

methane emissions. Tr. 4773, lines 12-17. While agreeing with the Companies' forecasting methodology for LPP replacement (Tr. 4662, lines 12-16), Staff recommends adjustments to remove approximately $6 million from KEDNY's program forecast and approximately $10 million from KEDLI's program because it disagrees with the contractor expense components of the unit costs. Tr. 4662-63, lines 22-24 and lines 1-11. The Companies have demonstrated that the costs to deliver this important program will increase in the Rate Year due to pricing increases, which will be more significant in KEDLI's service territory.

Because KEDLI's agreement for replacing mains and services was expiring, it entered into a new agreement with one of its contractors that significantly increased pricing in the Rate Year. (Tr. 4536, lines 8-11). Based on the costs in the new contract, the Companies' updated unit cost calculations reasonably account for known cost drivers in the Rate Year. Tr. 4536, lines 14-16. This is a known and measurable change in the costs that was supported by clear evidence in the form of new contractor agreements. Staff opposed this increase by repeatedly citing its own self-serving testimony that the new contract is "complex" and that KEDLI has failed, in Staff's opinion, to adequately explain the resulting cost increases. *Id*. and Staff IB at 105. This is simply not reasonable grounds for an adjustment in response to clear evidence supporting new contractor pricing for this important program.

c. Corrosion Program (KEDLI)

Staff acknowledges its proposed adjustment to remove $0.73 million from KEDLI's Corrosion Program was not addressed in its testimony – except that is was reflected in an exhibit. Staff IB at 106. For the first time in its brief, Staff offers an unclear and unsupported explanation as to why an adjustment is appropriate for this program. Staff argues that the Company's methodology of multiplying the average unit costs by the forecast number of units in the Rate Year – the generally accepted approached for forecasting this type programmatic work – somehow

produces a result that is less reflective of the actual work in the Rate Year than Staff's approach that would use an average of prior years' expenditures, which obviously in no way accounts for the actual work planned in the Rate Year.

Staff's proposed adjustment is remarkable in that it demonstrates how Staff picks and chooses its approach to applying adjustments to get to an end result. As compared to its many proposed adjustments that fail to account for the specific projects to be completed in the Rate Year (*e.g.*, the Companies' IMP, reliability, and other programs with zero-based budgets), Staff takes the position here that the forecast should "capture the mix of work to be performed in the Rate Year." *Id.* The Companies agree, but Staff's approach here, and in other categories where it applies blanket adjustments, fails to achieve that goal.

d. Main Replacement Program: Unit Costs, Inflation Factors

See section b. above.

e. Transmission Station Integrity Program

Staff acknowledges the new PHMSA rules in this area will take effect in the Rate Year and require records reviews of transmission station facilities. Staff IB at 102. Staff nonetheless proposes adjustments to the Transmission Station Integrity Program to remove approximately 94 percent of the programs' Rate Year budgets, effectively gutting the programs and compromising the Companies' ability to achieve timely compliance with the PHMSA regulations in the Rate Year. Tr. 4537, lines 10-13. Staff agrees that to the extent the Companies' records review identifies projects that need to be completed under the regulations, the Companies should perform this work. Tr. 4781-4782, lines 23-25 and lines 2-3. But this is simply impossible based on Staff's adjustments to this program. The Companies' forecasts are based on conservative estimates for replacing stations based on the Companies' operating experience and, therefore, should be approved. Tr. 4538.

3. Reliability

a. Slippage Adjustment

The Companies' Initial Brief discusses (at 122-129) at length why Staff's blanket "slippage adjustment" to the entire Reliability category is a blunt, ineffective method of applying significant adjustments that will hinder the Companies' ability to deliver important programs needed to enable the continued provisions of safe and reliable service in downstate New York. A blanket adjustment to an entire spending category that includes the Companies most important programs for ensuring system safety and reliability (*e.g.*, major transmission projects, LNG, and CNG projects that are critical to maintaining system pressures on the coldest days of the winter) is simply inappropriate.

The Companies strongly dispute Staff's suggestion that the Companies "have a history of inaccurately scheduling projects, contractor resources, and ultimately underspending the total reliability budget." Staff IB at 110. As explained in the Companies' Initial Brief (at 123-124), variances in this category may be experienced for any number of valid reasons, including many factors outside the Companies' control. Staff acknowledges projects may move in or out of the Companies' work plan for any number of legitimate reasons. Items like operational priorities, permits, damage, and regulatory mandates can impact the investments, and capital projects can be accelerated or deferred into another year. Tr. 4784, lines 2-11. Because the Reliability category includes the largest individual projects in the capital portfolio, any change in the timeline (to accelerate or delay work) can have a significant impact on the Companies' spending. For example, the MRI Project and LNG Salt Water pump house experienced delays resulting from unanticipated permitting requirements, which led to significant variances in this category (while the Companies still overspent their total capital budgets). Tr. 4541, lines 6-10. To say that budget variances are the result of "inaccurate" forecasting is a mischaracterization that greatly minimizes the complexity of these programs.

b. Storm Hardening Investment

The Companies' position on the storm hardening program to install remote service shutoff valves within FEMA's designated flood zones is addressed in their Initial Brief on pages 125-126.

c. Metropolitan Reliability Infrastructure ("MRI") Project.

SANE's initial brief discusses its opposition to KEDNY's MRI Project. SANE argues that the MRI Project does not comport with two requirements of the CLCPA – specifically, the provisions addressing reduction of greenhouse gas emissions and the burdens on disadvantaged communities. SANE IB at 8-10. SANE also suggests that KEDNY failed to obtain public consent for the MRI project. *Id.*

Throughout this proceeding, KEDNY has explained why the MRI Project is necessary for maintaining safe and reliable service to customers in downstate New York. *See* Exhibit 735 (IR DPS-1091). The MRI Project is a reliability project that will improve the circulation and reliability of the existing transmission system. *Id.* at page 9 of 12. As a phased project, MRI will only provide the intended operational, safety, integrity, and reliability benefits if the remaining phases (Phases 4 and 5) are completed. *Id.* at pages 9-12 of 12. If these phases are not completed, pressure losses on the Company's system will overwhelm the available mitigation measures beyond the winter of 2021/22, thereby impacting its ability to safely and reliably serve current and future customers. *Id.* at page 11 of 12, question 12. The record is devoid of any serious evidence, studies, or analyses that contradicts the Company's position regarding the need to complete this project. The CLCPA is groundbreaking piece of climate legislation that National Grid strongly supports. It does not, however, prevent a utility form completing an infrastructure project necessary to

provide safe and reliable service to customers consistent with the requirements of the Public Service Law.[37]

In the interest of informing the public about this project, the Company conducted public information sessions, performed stakeholder outreach, and made information available on its website (https://nationalgridgasprojectsny.com/brooklynmetro/). In this case, MRI has been discussed at public hearings and technical conferences, as well as in testimony, exhibits, and discovery. Therefore, the public has been fully apprised of the project through the Company's outreach and these proceedings and has had a full opportunity to present their positions on this project. At the same time, the Commission has before it a complete record regarding the need for Phases 4 and 5 of the MRI Project.

4. *Non-Infrastructure Programs; Cost Calculation Using Historic Averages*

Staff recommends an increase of KEDNY's budget by $241,263 and a decrease of KEDLI's budget by $302,798 for Non-Infrastructure Programs in the Rare Year. The Companies accept these adjustments.

B. Net Plant True-up

The Companies agree to continue the net plant capital tracker mechanism that was adopted in the 2016 KEDNY and KEDLI Rate Cases.

C. CapEx Reporting Requirements

As discussed in their Initial Brief, the Companies support capital reporting that is aligned with the reporting structure adopted in the 2016 KEDNY and KEDLI Rate Cases.

[37] The MRI Project will also help address emissions in the Company's service territory. In addition to enabling oil-to-gas conversions, MRI will retire approximately 200 feet of LPP, which will eliminate system leaks and reduce methane emissions. Exhibit 735 at page 10 of 12.

D. Earnings Base Capitalization / Working Capital - City/State Construction Accounts Receivable Balance

Staff (IB at 121-126) opposes the Companies' proposal to make a CSC-related working capital adjustment to reflect the projected increase in working capital associated with reimbursable CSC expenditures between the end of the Historic Test Year and the end of the Rate Year.[38] While the Companies (IB at 130-134) anticipated and addressed most of the arguments made by Staff in the Companies' Initial Brief, a few additional points should be considered.

First, while Staff argues (IB at 122) that the FERC working capital allowance "reflects the net of hundreds of lead-lag items that both increase and decrease working capital requirements," Staff ignores the fact that the FERC working capital allowances only compensates a utility for the financing requirements caused by the lag between the billing for utility service and the provision of service. The FERC working capital formula does not compensate a utility for costs such as reimbursable CSC expenditures that are never reflected in rates.[39] Tr. 2040-41. While Staff criticizes (IB at 124) KEDNY for failing to demonstrate that permitting recovery of the carrying costs on unpaid reimbursable CSC expenditures will not duplicate the recovery it is afforded by the operation of the FERC working capital formula, Staff is effectively requiring the Companies to assume the impossible burden of proving a negative. The relevant fact is that Staff, despite logging "numerous hours in quantitative and qualitative analysis of the Companies' filings" and issuing and reviewing "over 1,000 discovery requests" (*See* Staff IB at 2), cannot and did not

[38] This adjustment increases Rate Year rate base by $28.273 million.

[39] *See Re Long Island Lighting Co.*, 31 N.Y.P.S.C. 2473, 129 PUR 4th 131 (November 26, 1991) where the Commission stated "The FPC working capital formula compensates the company only for the financing requirement caused by the lag between the provision of service and billing for that service. It does not compensate the company via rates for the unbilled revenues which relate to service rendered at the end of the rate period which will not be billed until the next rate period." The Companies quoted this portion of *Re Long Island Lighting Co.* in their initial brief at 132 but inadvertently substituted "KEDNY" for "the company" and omitted "rendered" in the second sentence. The Companies regret the error.

identify any equivalent cost or revenue item that would offset the unpaid reimbursable CSC expenditures that KEDNY seeks to include in rate base in these proceedings. While Staff (IB at 122) points to taxes as an item that provides working capital for KEDNY, taxes are an expense reflected in rates and thus effectively included in the FERC working capital formula. Unreimbursed CSC expenditures are never reflected in rates. In the absence of any evidence that KEDNY is obtaining an offsetting working capital benefit from sources other than those reflected in the establishment of rates, there is no basis for the Commission to conclude that KEDNY should not be compensated for the carrying cost associated with its unreimbursed CSC expenditures.

In addition, while Staff points to testimony provided by NYC that suggests that National Grid did not submit invoices to NYC for CSC work performed during the period 2015-2017 until 2017, KEDNY is not proposing an incremental adjustment to recover carrying costs associated with these historic invoices. Rather, KEDNY is seeking recovery for carrying costs associated with CSC work that will be performed between the end of the Historic Test Year and the end of the Rate Year. Tr. 2037. KEDNY's proposed adjustment reflects the process that NYC currently has in place for auditing and processing these invoices. Tr. 2043-44. This process is projected to result in a 21-month lag between the time reimbursable CSC expenditures are booked and the time they are paid by NYC. There is no reason why the historic lag between 2015 and 2017 will affect this timing, and there is accordingly no reason why the existence of the historic lag should cause the Commission to reject KEDNY's proposal in these cases.

For all these reasons, as well as those set forth in the Companies' Initial Brief, KEDNY should be permitted to reflect its forecast balance of reimbursable CSC-related expense working capital allowance included in its rate base in these proceedings.

VII. FINANCIAL ISSUES

A. Return on Equity

1. Staff's Initial Brief Only Serves To Highlight That Its Proposed ROE Fails To Meet the Applicable Legal Standards

Staff's initial brief concerning the return on equity ("ROE") issue is remarkable for the absence of any discussion as to why Staff's proposed 8.2 percent end result is commensurate with returns afforded to or projected for other similarly situated utilities. As discussed in the Companies' Initial Brief (at 142-143), under the Supreme Court's decisions in *Federal Power Commission v. Hope Natural Gas Co*.[40] and *Bluefield Waterworks & Imp. Co. v. Public Service Commission of W. Va.*,[41] in order to be found just and reasonable the ROE approved by the Commission must be commensurate with the returns on investments having corresponding risks. Staff nowhere explains how a proposed ROE of 8.2 percent, which would be at least 48 basis points lower than the lowest ROE authorized for a gas distribution company in the United States since 1980,[42] meets this standard. For this reason alone, Staff's ROE recommendation should be rejected.

Rather than focusing on the end result of its ROE recommendation, Staff (IB at 127-128) unreasonably focuses on the fact that its recommendation is the product of the same methodology utilized to establish the ROE for National Fuel Gas Distribution Company in Case 16-G-0257. In doing so, Staff loses sight of the ultimate teaching of *Hope* that "it is the result reached not the method employed" that determines whether a particular ROE meets the statutory standard of just and reasonable.[43] Staff stands the *Hope* holding on its head, arguing that the consistent application

[40] 320 U.S. 591, 64 S. Ct. 281, 88 L. Ed. 333 (1944) ("*Hope*").
[41] 262 U.S. 679, 43 S. Ct. 675, 67 L. Ed. 1176 (1923) ("*Bluefield*").
[42] Tr. 5060.
[43] *Hope, supra* 320 U.S. at 602.

of its ROE methodology "reduces regulatory risk"[44] by lending "a degree of predictability to the rate setting process," apparently without consideration of whether the end result in fact produces a return that is commensurate with the returns afforded to comparable enterprises facing corresponding risks. Not only does Staff's claim ignore the requirements of *Hope* and *Bluefield*, it also is not supported by the record and relies on analyses that are not supported by Commission precedent.

In this regard, while Staff asserts (IB at 149) that its recommended ROE is reasonable in light of the current interest rate environment, Staff's comparison of interest rates for December 2016, when the Companies' rates were last set, to interest rates in January 2020 is nothing more than a risk premium analysis[45] of the type that has been repeatedly rejected by the Commission as a way to either establish an appropriate ROE in the first instance or as a check on the reasonableness of a proposed ROE.[46] Moreover, as Staff itself points out (IB at 155) since mid-March of this year the yields on utility debt have been very volatile. Given that concerns about the volatility have been one of the primary reasons that the Commission has never relied on risk premium analyses in establishing ROEs,[47] there is no reason why the Commission should now find

[44] Staff IB at 128.
[45] A risk premium analysis attempts to estimate or justify the cost of equity by reference to the cost of long-term debt which is directly observable.
[46] *See e.g.*, Case 07-E-0523, *Consolidated Edison Company of New York, Inc.*, "Recommended Decision" (Issued January 8, 2008) at 134 ("While Con Edison believes that the Commission should use more than two approaches to estimate the cost of equity capital, it has never been its practice to rely to any extent on the results of any Risk Premium analysis[.]"), *aff'd* "Order Establishing Rates For Electric Service" (Issued and Effective March 25, 2008). *See also*, Case 28696, *The Brooklyn Union Gas Company*, 24 N.Y.P.S.C. 5192, 5224, 1984 WL 249113 (July 25, 1984). (hereafter "Case 28696 RD") (citing the Commission's decision in Case 28107 in support of a finding that the results of a risk premium analysis are "too volatile or uncertain" to be used to determine an appropriate ROE in the first instance or to validate results derived from the DCF model).
[47] *See* Case 28696 RD.

that changes in interest rates somehow support Staff's patently unreasonable ROE recommendation.

Second, while Staff asserts (IB at 150) that reasonable investors "would expect an ROE approximating 8 percent for a one year of Rates," no record citation is provided for this claim. As such, it must be ignored.[48] More importantly, however, Staff's "further evidence" for this proposition – a citation to Moody's December 30, 2019 credit reports – does not support Staff's recommended ROE of 8.2 percent. While the Companies do not dispute that Moody's stated that it expected the Companies' "base ROE to be below 9%,"[49] this cannot be read as supporting an expectation for a ROE of 8.2 percent or lower. There is a significant difference between a ROE of 8.2 percent or lower and a ROE of, for example, 8.95 percent which would provide the Companies with far greater financial support for maintaining their existing debt ratings and reflect a compromise between the ROEs advocated by Staff and those advocated by the Companies in these proceedings.

While rational investors are no doubt aware of the Commission's recent decisions concerning ROEs, they are also doubtlessly aware of the Commission's forty-year old policy of providing rate support for utilities to maintain low "A" rated credit quality,[50] as well as the legal

[48] *See e.g.*, Case 09-G-0795, *Consolidated Edison Company of New York, Inc.*, "Order Establishing Three-Year Steam and Gas Rate Plans and Determining East River Repowering Cost Allocation Methodology (Issued and Effective September 22, 2010), (hereafter "Case 09-G-0795 Order") at p. 68, n. 121. (It is "unnecessary to discuss on the merits ... comparisons... based on factual assertions for which no explanation or record citation is provided.") *See also,* Case 16-W-0130, *Suez Water New York Inc.*, "Ruling In Response to SWNY's November 23rd Motion" (November 28, 2016) at 1, ("Statements or arguments contained in brief, whether initial or reply, for which no support is provided (*e.g.* an accompanying citation to the record or to applicable precedent) will be given the weight they are due.") (hereafter "Case 16-W-0130 Order").
[49] Ex. 658 at 4, Ex. 659 at 4.
[50] *See* the Companies' IB at 149-150. The Commission's policy of providing rate support for low "A" bond ratings was set forth in Case 27679, *Financing Plans For Major New York Gas and Electric Companies*, "Opinion No. 82-22" (October 18, 1982). The Electric/Gas Industry Group in Case 91-M-0509 – the Generic Financing Case – which included Staff, also concluded that an "A" bond rating was an appropriate target for regulation. Ex. 676 at 13.

requirements established in *Hope* and *Bluefield* that require the Commission to provide the Companies with ROEs that will permit them to maintain their credit and continue to attract capital. Contrary to Staff's suggestion, it is quite likely that investor awareness of all relevant facts and circumstances creates an expectation that the ROEs established in these proceedings will substantially exceed Staff's proposed 8.2 percent.

While Staff also cites (IB at 150-151) to the many "critical elements"[51] that allegedly bolster a utility's ability to achieve its authorized return on equity, the Staff itself acknowledged (IB at 151) that it has not quantified the benefits of these "critical elements." Staff has provided no basis for the Commission to conclude that New York regulation justifies a "more modest" ROE that implies that the Companies are far and away the least risky gas or electric utilities in America where the record shows that:

i. the Companies have not been earning their authorized ROEs in most of the last five years despite the existence of the regulatory mechanisms identified by Staff (Tr. 5123); and

ii. the beneficial regulatory mechanisms identified by Staff are common among the proxy companies and offset by aspects of New York regulation that are seen as negative by the financial community. Tr. 5120-23, 5030-41, Ex. 657.

Moreover, while Staff (IB at 151) unfairly accuses the Companies of attempting to "blame" New York State and the Commission for the negative outlook placed upon the Companies by Moody's and congratulates itself for "deftly" acknowledging recent S&P reports which, according to Staff, identify the Companies as the parties "who ultimately bear the responsibility for the

[51] Among the critical elements identified by Staff is the fact that New York utilities are no longer exposed to the risk of generation (Staff IB at 150). It is not clear how that affects the Companies as gas distribution companies, but it certainly does not justify a low ROE for the Companies.

negative outlook," Staff's argument is nothing more than an attempt to confuse the issue. The Companies have at no time presented evidence in these cases that in any way "blames" anyone for anything; the Companies have presented evidence of independent analyses by Moody's and Fitch that set forth their concerns about the Companies' financial position and the New York regulatory environment.[52] These ratings agencies make their individual determinations as to the Companies' credit standing based on their own independent analyses of the Companies and their regulatory environments. The fact that S&P has expressed an opinion that the Companies have done a less effective job of managing political and regulatory risks than their peers neither provides any basis for the Commission to ignore the concerns expressed by Moody's and Fitch, nor justifies saddling the Companies with a ROE of 8.2 percent that would likely be seen by investors as unreasonable or even punitive.

Prior to this reply brief, the Companies have not contended that S&P was contemplating downgrading the Companies' long-term debt. This situation has recently changed however. In an opinion issued April 2, 2020 ("April 2 Opinion"), which is attached as Appendix 1 to this reply brief, S&P determined that because of the COVID-19 pandemic, S&P is revising its outlook for the entire North American regulated utility industry from stable to negative and indicates that it expects that the industry's median rating, which is A-, could weaken to the BBB+ level. The Companies request that the Commission take official notice of S&P's April 2 Opinion.[53] While there is no specific indication in S&P's April 2 Opinion that the Companies' debt obligations will

[52] *See* Exhibits 657, 658, 659 and 673.
[53] Under Section 306 of the State Administrative Procedure Act ("SAPA"), "official notice may be taken of all facts of which judicial notice could be taken and of other facts within the specialized knowledge of the agency." NY State Adm Pro § 306 (4) (McKinney's 2019). S&P opinions are clearly the type of materials that are considered by the Commission in rate proceedings as demonstrated by the fact that a number of such opinions are included in the record of these proceedings. *See e.g.*, Exs. 657, 658, 659, 662 and 663.

be downgraded by S&P, the Companies nonetheless submit that the Commission should consider S&P's pronouncement, as well as those of Moody's[54] and Fitch,[55] in determining whether to adopt a ROE for the Companies that is far below the ROEs authorized for and forecast to be earned by comparable enterprises. The Companies submit that consistent with the Commission's legal obligation to establish rates that permit a utility to maintain their credit and attract capital as well as the Commission's longstanding policy of providing rate support for "A" rated credit quality, the Commission should adopt a ROE in these proceedings that substantially exceeds Staff's 8.2 percent recommendation.

2. Staff's On-Brief Assertions Cannot Disguise the Fact That the Record Shows That Ms. Bulkley's Approach To Constructing Appropriate Proxy Groups Was Far Superior To Staff's Approach

While Staff's initial brief (IB at 129-136) attacks Ms. Bulkley's approach to constructing proxy groups and attempts to defend the Staff Finance Panel's approach, Staff's assertions in no way detract from the inescapable conclusion that Ms. Bulkley's approach to establishing appropriate proxy groups to determine the ROE for two gas distribution companies is superior. While the Companies have already anticipated and addressed many of Staff's claims in their initial brief,[56] a few additional observations are in order.

First, while Staff (IB at 130) criticizes Ms. Bulkley's Natural Gas Proxy Group because it contains only seven companies, Staff nowhere explains why Ms. Bulkley's overall approach of utilizing two proxy groups, one comprised solely of seven gas distribution companies and one comprised of twenty gas distribution and electric distribution companies is inappropriate. Indeed, the record shows that Staff has, over time, taken at least three positions on the composition of an

[54] Exs. 658 and 659.
[55] Ex. 673.
[56] *See* Companies' IB at 137-138, 152-156.

appropriate proxy group. On page 130 of its initial brief, Staff states that "a suitable sample size ranges between 20-30 companies," whereas on page 131, Staff states that "a proxy group size of 15 to 30 firms is reasonable." More importantly however, in Case 91-M-0509, the Generic Financing Proceeding, Staff agreed that a proxy group of eleven gas distribution companies should be used to determine the ROE for gas distribution companies and that if the number of such companies dropped below ten the parties would consider various options. Ex. 652 at 6-7. While Staff states (IB at 130) that a proxy group of only seven companies is not "statistically reliable," it never explains why this is the case, particularly in view of the fact that Staff agreed that a group of ten or eleven gas distribution companies was sufficient in 1993. The Companies are aware of no statistical principle that holds that a group of ten companies is statistically significant but a group of seven is not. Moreover, the principles of statistics have not changed since the time of the Generic Finance Proceeding in 1993. Staff's criticism should be seen for what it is – makeweight.

The Companies agree that it is desirable to utilize proxy groups that contain more than seven companies to the extent that the chosen proxy groups are fundamentally comparable to the subject utility. Tr. 4995-99. That is why Ms. Bulkley utilized two groups that ultimately consisted of twenty companies. While Staff (IB at 132) criticizes the fact that Ms. Bulkley utilized regulated operating income rather than regulated operating revenue in selecting her proxy group, Staff identified no specific member of Ms. Bulkley's proxy group that was not comparable to the Companies. Indeed, twelve of the thirteen electric companies in Ms. Bulkley's combined utility proxy group are also in Staff's proxy group.[57] Moreover, the entities that would be or were

[57] Compare Tr. 4993 and Ex. 440. The common electric utilities are Allete Inc., Alliant Energy Corp., Black Hills Corp., CMS Energy Corp., Consolidated Edison Inc., Eversource Energy, First Energy Corp., Hawaiian Electric Industries, Northwestern Corp., Portland General Electric Co., PPL Corp. and Sempra Energy.

excluded by Staff's operating revenue criteria included New Jersey Resources Corporation and Public Service Enterprise Group, Inc., two utility holding companies that operate large utility companies in the same geographic area as the Companies.[58] These entities are clearly more comparable to the Companies than the vertically integrated electric generation companies included in the Staff proxy group such as NextEra Energy, Inc., an entity which owns no gas distribution operations and is materially affected by the risk of its electric generation portfolio.[59] Tr. 5078-79, Ex. 651 at 2.

In addition, while Staff (IB at 131-132) criticizes the inclusion of alleged outliers such as Northwest Natural Gas Company and Atmos Energy in Ms. Bulkley's proxy groups, Staff ignores the fact that seven of the twenty-eight electric or combination gas and electric companies in its proxy group had DCF-derived ROEs of less than 7 percent. Tr. 5096-97, Ex. 440 at 2. No reasonable analyst would accept or rely on such results for one-quarter of its proxy group. Moreover, while Staff alleges that Atmos Energy's 13.15 percent ROE is an outlier, Staff ignores the fact that Value Line – the sources of Staff's data – forecasts ROEs in 2023 of 16.84 percent for First Energy Corp., 13.79 percent for CMS Energy Corp., 13.69 percent for Edison International

[58] New Jersey Resources is the parent company of New Jersey Natural Gas Company, a large gas distribution utility in New Jersey. Tr. 4995. Public Service Enterprise Group, Inc. has utility subsidiaries that operate in the State of New Jersey and manage the transmission and distribution system owned by the Long Island Power Authority and regulated by the Commission. *See e.g.*, Matter 15-00262, *In the Matter of a Three-Year Rate Proposal For Electric Rates and Charges Submitted By The Long Island Power Authority and Service Provider, PSEG Long Island, LLC*, "Notice Of Process For Filing Exceptions" (Issued August 21, 2015).

[59] Indeed, Staff itself recognized that utilities that owned generation are subject to "higher risks" that no longer affect electric utilities in New York. *See* Staff IB at 150. In addition, while the record does not include any analysis that shows that the risks faced by vertically integrated utilities are necessarily "higher," the record does show that the risks are different. Tr. 5078-79. Thus, to the extent that Staff's proxy group includes a number of vertically integrated utilities, it includes entities that are not as comparable to the Companies as the members of Ms. Bulkley's proxy group.

and 13.65 percent for NextEra Corp. Ex. 440 at 2. Atmos Energy is hardly an outlier compared to this group.

The simple fact of the matter is that any proxy group will have results that deviate from the central tendency of the group.[60] The relevant issue is not whether there are outliers in the proxy group, but whether the proxy group is truly comparable to the entity whose ROE is being measured. In this case the record shows that Ms. Bulkley's groups are comparable to the Companies, and Staff's proxy group is far less comparable.[61]

While Staff suggests (IB at 131-132) that adding five gas distribution companies to its proxy group made no difference and in fact would have reduced Staff's end result to an ROE of 8.0 percent or lower, these claims only serve to underscore the fact that Staff's ROE model no longer produces end results that are just and reasonable. The record shows that over the past two

[60] As Ms. Bulkley pointed out, the influence of such "outliers" on her results is moderated because it is averaged with lower earnings growth estimates presented by other forecasting entities such as First Call and Zacks. Tr. 5082. Unlike Staff, Ms. Bulkley does not rely solely on Value Line for her DCF growth rates. *Id.*

[61] In addition, in its initial brief, Staff continues to maintain the curious position that its proxy group should consist of electric holding companies because National Grid plc. – the Companies' ultimate parent company would be regarded as an electric utility if it were covered by Value Line – which it is not. While the Companies have already explained in their initial brief (at 152-155) why they should be considered gas distribution companies and why a proxy group comparable to the Companies should include gas distribution companies, the illogic of Staff's position that a utility's cost of equity should be determined by the business of its ultimate parent company is perhaps best illustrated by the case of Berkshire Hathaway, Inc. ("Berkshire Hathaway"), which is chaired by the legendary investor Warren Buffet. Berkshire Hathaway is a diversified holding company whose ten largest stock holdings include major American financial, technology, soft drink and airline companies. Berkshire Hathaway, Inc., 2019 Annual Report, available at https://www.berkshirehathaway.com/2019ar/2019ar.pdf (last viewed April 20, 2020). Berkshire Hathaway also owns an energy subsidiary, Berkshire Hathaway Energy, that has three U.S. regulated electric utility companies – PacifiCorp., Mid-American Energy Company and NV Energy, Inc. Berkshire Hathaway, Inc., SEC Form 10-K for fiscal year ended December 31, 2019, p. K-26, available at https://www.berkshirehathaway.com/2019ar/201910-k.pdf (last viewed April 20, 2020). Under Staff's logic if a utility regulator were establishing the cost of equity for these electric utilities it would do so using a proxy group of diversified business conglomerates comparable to Berkshire Hathaway. The Companies submit that this would not make sense. The ROE for a regulated utility subsidiary of a holding company should be determined by reference to a proxy group comparable to the regulated utility, not its ultimate parent company.

years gas distribution companies have become more risky than electric utilities. Ex. 647, 653, Tr. 3254-63. Thus, it should not be the case that adding five gas distribution companies to a Staff proxy group – in which one quarter of the DCF-derived ROEs were already less than 7 percent – further reduces the end result, and to the extent Staff's witnesses have derived results to the contrary, they serve as further proof that Staff's overall approach and end result are not just and reasonable.

Finally, Staff's assertion (IB at 133-134) that Ms. Bulkley failed to follow her own screening criteria by eliminating three companies that are allegedly followed by more than one equity analyst simply reflected a misunderstanding of Ms. Bulkley's screening criteria. Tr. 5081. Ms. Bulkley's screening criteria tests whether earnings per share growth rates provided by First Call and/or Zacks reflect consensus analyst estimates. *Id*. While Staff criticizes Ms. Bulkley for an apparent failure to clearly explain her selection criteria in her testimony, Staff nowhere explains or even alleges that the exclusion of the three companies identified by Staff – Otter Tail, MGE Energy, Inc. and El Paso Electric – either changes Ms. Bulkley's results or biases the sample. Absent such an explanation, Staff's criticism is meaningless.

In sum, the record clearly demonstrates that Ms. Bulkley's use of two proxy groups that include natural gas distribution utilities to estimate the Companies' ROE is a far more reasonable approach than Staff's reliance on a proxy group consisting of less comparable electric and combination electric and gas utilities.

3. Staff Has Not Justified Its Use Of Its Proposed DCF Growth Rates

While the Companies anticipated and addressed in their initial brief (IB at 156-163) most of the arguments advanced by Staff in support of its proposed DCF growth rates and in opposition to the Companies' proposed DCF growth rates, a few areas deserve further comment.

First, while Staff asserts (IB at 138) that the Companies applied an inappropriate internal rate of return tool – Excel's XIRR function in the DCF analysis – Staff offers no reasonable basis for the Commission to refrain from using the XIRR function to determine the DCF-derived cost of equity. While the Staff asserts that investors are essentially indifferent as to whether dividends are paid quarterly or annually, the fact is that every utility in Staff's proxy group pays dividends quarterly. Tr. 3338, 5099-5100. This does not happen by accident or because utilities desire to give their cash to investors more quickly than they have to. It occurs because utility investors value quarterly dividends more highly than they would annual dividends. Thus, assuming that the goal of performing a DCF analysis is to capture the equity return required by investors – which is, or should be, the goal of performing such an analysis in these proceedings – then the XIRR function should be used to accurately capture the timing and amount of dividend. Tr. 5097-5100. The XIRR function accurately captures the timing and amount of quarterly dividends, the IRR function does not.

While the Staff attempts (IB at 139) to justify its position that investors are indifferent to whether dividends are paid quarterly or annually "because a company which pays dividends on a quarterly basis has less use of the earnings to create growth, thereby reducing the company's sustainable growth that in turn results in reduced investor's required return,"[62] this statement is obviously incorrect because if it were true then it would be captured in the sustainable growth calculation that is performed as part of Staff's model. In other words, it would make no difference whether dividends were captured quarterly or annually in the DCF model because the increase in return associated with the payment of quarterly dividends would be offset by a reduced return in the growth calculation that investors would earn on the funds that were not retained because they

[62] Tr. 3339.

were paid out more quickly as quarterly dividends. The fact that the IRR function, which captures the payment of annual dividends, does not produce the same return as the XIRR function, which captures the effect of quarterly payment of dividends, demonstrates that Staff is incorrect. Tr. 5099.

In addition, while Staff further asserts (IB at 139) that it "believes" that Ms. Bulkley "mismatched her DCF dividend cash flow projections that overstated her DCF results," this claim is not supported by any meaningful citations to the record.[63] As such, Staff's argument on this point is entitled to no weight.[64]

Finally, Staff's citation (IB at 140) to the Commission's order in Case 08-E-0539 involving Con Edison also provides no support for Staff's position concerning the use of the XIRR function. As the passage quoted by Staff demonstrates, the Commission rejected a recommendation that the DCF estimates reflect the payment of dividends quarterly based upon a finding about investors who reinvest their dividends and the impact of such reinvestments. Whatever the merits of that finding, it has no relevance in these proceedings because the record support for the XIRR model does not depend on whether investors reinvest dividends. In these cases, as discussed above and in the Companies' Initial Brief, the XIRR model properly captures the way the proxy group companies pay dividends. Tr. 5097-5100.

In addition, while Staff (IB at 137) generally criticizes Ms. Bulkley's nominal long-term DCF growth rate of 5.65 percent because it allegedly "may not be reflective of the growth

[63] The only citation provided is to Ms. Bulkley's testimony that shows the application of her dividend growth rate. Tr. 5007, Ex. 160 p. 1.
[64] *See e.g.*, Case 09-G-0795 Order and Case 16-W-0130 Order. Moreover, the Staff appears confused by the numbers and dates. If one starts with a dividend of $2.35 on February 28, 2019 and wishes to show growth in quarterly dividends to $2.46 over the course of the next year, it is not correct to raise the dividend to $2.46 on the beginning date, February 28, 2019, as suggested by Staff. It is correct to raise the quarterly dividend half-way through the year on August 31, 2019, as Ms. Bulkley did.

prospects of the proxy group holding companies" and "ignores changes that might be occurring with each proxy group members' common stock," the fact of the matter is that Staff relied upon an average long-term DCF growth rate of 4.86 percent which was based on Value Line forecasts that apply only through the end of 2022. Tr. 5092. The Staff recommendation completely ignores that fact that there is a significant possibility that the electric utilities in Staff's proxy group will grow at far higher rates than those forecast by Value Line for the next few years in order to address demands for increasing electrification. Staff's long-term growth rate is in fact a relatively short-term growth rate, and it is unreasonable to rely on it to forecast utility growth of the next 195 years. Tr. 5017-18.

In addition, contrary to Staff's claims (IB at 138), the forecast GDP growth rate of 4.0 percent obtained from Blue Chip Economic Indicators provides no check of the reasonableness of Staff's, or any other parties' growth rates as it would be a ridiculously low estimate of the long-term growth rate for a group of electric utilities. Contrary to Staff's claim (IB at 138), Staff did not rely on a growth rate of 4.64 percent in arriving at its ROE analysis, it utilized a 4.86 percent average growth rate to derive an average DCF-derived cost of equity of 8.22 percent. Ex. 440 at 2, Tr. 3152-53. Had Staff utilized its forecast GDP rate of 4.0 percent as the long-term growth rate in its DCF calculation, it would have produced a DCF cost of equity in the low 7 percent range – a clearly unreasonable result. Staff's average DCF long-term growth rate of 4.86 percent is actually closer to the Companies' proposed long-term growth rate of 5.56 percent than it is to the 4.0 percent rate that Staff purported to use as a reasonableness check.

As the record shows, based on current market conditions, the use of a historical real GDP growth rate is more appropriate than using current forecasts of GDP growth. Tr. 5094. Economists that have reviewed historic GDP growth patterns following severe financial crises have generally

concluded that estimates of GDP growth have been understated in the decades following each crisis. *Id*. Under these circumstances, the Companies' forecast growth rate of 5.56 percent is more likely to be representative of economic conditions over the next 200 years than the current projection of GDP growth – 4.0 percent – through 2030 relied upon by Staff. For this reason, as well as those set forth in the Companies' Initial Brief, it is reasonable for the Commission to use the Companies' proposed long-term growth rate of 5.56 percent in establishing the DCF-derived cost of equity in these proceedings.

4. In Updating The Record On ROE The Commission Should Recognize The Need To Use Appropriate Forward-Looking Estimates And To Appropriately Balance The Interests Of Customers And Shareholders

Recognizing that the COVID-19 pandemic has had a dramatic impact on financial market conditions, Staff urges the Commission to update the inputs to Staff's ROE methodology using the most recent financial data available at the time it issues its decision. Staff IB at 152-155. The Companies agree with Staff that financial market conditions are very unsettled and may change significantly by the time the Commission decides this case. The Companies also submit that the Commission's *Statement of Policy on Test Periods In Major Rate Proceedings* affords the parties the opportunity to provide updates of information that can be easily verified up to the time of briefs on exceptions.[65] The Companies agree with Staff that easily verifiable financial market information is distinguishable from broader updates that reflect wholesale revisions to the Companies' cases.

While Staff appears focused on providing updates to its ROE model, the Companies submit that the Commission should consider a broader range of information including forward-looking financial inputs that are no less easily verifiable. Such forward-looking updates would, for

[65] 17 N.Y.P.S.C. 25-R (1977).

example, include updated forecasts of Treasury bond yields and inflation rates and appropriate forward-looking measures of the market-risk premium to be used in the CAPM analyses.[66]

The Companies further submit that the record in these cases shows that the Staff model is not producing results that meet the legal standards for just and reasonable rates. Under these circumstances, the Commission must exercise its broad authority to make pragmatic adjustments that will result in ROEs that afford the Companies the continuing opportunity to maintain their credit, attract capital and earn returns commensurate with returns on investments in enterprises having corresponding risks, while also protecting the interests of customers. The Companies urge the Commission to permit such updates of financial market information as will permit it to exercise its discretion in an appropriate and reasonable manner.

B. Capital Structure

Both Staff (IB at 158) and the Companies (IB at 167) support the use of a capital structure that reflects a 48 percent equity component.

C. Long Term Debt - Forecast Versus Existing Interest Rates

The Companies (IB at 168) and Staff (IB at 159) agree that the interest rate on KEDNY's Rate Year long-term debt issuance should be updated at the time the Commission issues its decision in this case. Moreover, because KEDNY's Rate Year debt issuances is projected to occur so late in the Rate Year, Staff accepted (IB at 159) KEDNY's long-term debt cost of 4.14 percent.

As discussed *supra*, the COVID-19 pandemic has created great turmoil in the financial markets and it is not certain what the state of the markets will be at the time the Commission issues

[66] For example, Ms. Bulkley relied on projections of inflation from Blue Chip Financial Forecasts and the Energy Information Administration, and projections of Treasury bond yields provided by Blue Chip Financial Forecasts. Tr. 5012-13, 5020-21, Ex. 161. Ms. Bulkley also stated that the Commission should consider forecasts of the market return provided by S&P, Yahoo! Finance and Bloomberg Professional. Tr. 5112.

its decision in these cases. Thus, the Companies urge the Commission to consider using forward-looking forecasts of interest rates as a means of appropriately capturing the financial circumstances that are likely to exist for the remainder of the Rate Year.

D. Credit Metrics

In its initial brief, Staff (IB at 159-161) continues to take the position that its proposed 8.2 percent ROE will permit the Companies to maintain their current A3 (Moody's) and A- (S&P) bond ratings. As explained in their initial brief (at 147-151, 169-173), the Companies believe that adoption of the Staff revenue requirement creates a significant likelihood that both KEDNY and KEDLI will be downgraded by Moody's.[67]

In addition, as discussed *supra*, since the close of evidentiary hearings, S&P has indicated that the COVID-19 pandemic has changed its outlook for all North American regulated utilities from stable to negative, and S&P has further indicated that median rating for such utilities could decline from A- to BBB+. *See* Appendix 1 at 1. The Companies, which up until now have had no reason to anticipate a downgrade from S&P because of the results of these proceedings, also have no special insight into the specific actions that S&P will take with respect to the Companies' debt as a result of the negative outlook pronouncement.

In view of the pronouncements by the major ratings agencies and the current turmoil in financial markets, the Companies urge the Commission to continue its longstanding policy of providing as much rate support as possible for the continuation of the Company's A3 and A- bond ratings. As the parties to the Generic Financing Proceeding recognized, the consequences of a

[67] The Companies presented (IB at 172) their view of the impact that the Staff revenue requirement would have on Moody's key metric – Cash Flow Operation pre-Working Capital/Debt. The Companies note that, as compared to the Staff Finance Panel's calculation, the Companies' results showed somewhat worse results for KEDNY but better results for KEDLI. However, on an overall basis, neither Companies' results would be in the "high teens" levels that Moody's has indicated could permit the Companies to avoid a downgrade. *See* Exs. 658 and 659.

drop in credit ratings from low A to BBB expose the Companies to greater risk that they will drop below investment grade. Ex. 676 at 13. Moreover, during periods of financial turmoil, a drop in bond ratings below the A range may limit the Companies' access to the debt markets or ability to obtain credit on favorable terms because certain investors do not invest in the debt of non-A rated entities. Tr. 5211, 5235. Given the Companies' continuing need to invest in the safety and reliability of their distribution systems, it is readily apparent that customers, the Companies and the State of New York will benefit if the Companies can maintain their current A debt ratings.

E. Earnings Sharing Mechanism

In their initial brief, the Companies (IB at 173-178) addressed the reasons why they believed that the Commission should reject Staff's proposed earnings sharing mechanism ("ESM"). While Staff (IB at 163) asserts that its proposed ESM "is a necessary mechanism to ensure customers are protected from any potential over-earnings," Staff nowhere offers a reasonable forecast of how such excess earnings would arise or explains how customers would be harmed. Moreover, the record shows that KEDNY has under-earned relative to its authorized ROE in four of the last five years, while KEDLI has under-earned in three of the last five years. Tr. 5123. Given those results, the Companies submit that Staff has not demonstrated that there is any need for the Commission to impose earnings sharing mechanisms in these cases.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

A. Revenue Forecast

1. The Commission Should Accept the Companies' Revenue Forecast

The Companies' latest revenue forecast (Exhibit 405 for KEDNY and Exhibit 409 for KEDLI) uses an ogive analysis to price out forecast revenue at current rates at the rate code level. Tr. 2811, lines 15-20. Staff's revenue forecasts, as shown on Exhibit 522, price out revenue by

service class. Tr. 2810, lines 4-5. Staff argues that pricing out revenue by service class is more efficient and does not achieve any significant increase in accuracy. Tr. 2930-2931, lines 21-24 and lines 1-2. Staff does not dispute that the Companies' revenue forecast methodology of pricing out revenue at rate code levels is more accurate; it merely states that pricing out revenue at service class level is not significantly less accurate. Staff also does not establish why it is necessary to sacrifice any level of accuracy for an unspecified level of efficiency, especially when the Companies' model is already designed to calculate the forecast at a more granular level. Staff's proposal essentially requires the Companies to spend time and effort to modify an existing model to make it less accurate. As Staff has shown no reason why the Companies should modify its current model, the Commission should adopt the Companies' revenue forecast.

In its initial brief, Staff reiterated its recommendation that the Companies revise ogive calculations to account for cancelled bills and rebills. Staff IB at 16. The Companies' latest revenue forecasts reflect the change to the normalization of raw billing data used for the ogive analysis to include the full impact of any cancelled bills or rebills. Exhibit 405 for KEDNY and Exhibit 409 for KEDLI.

B. ECOS Study

1. The Commission Should Utilize The Companies' Forward-Looking (Pro-Forma) ECOSS For Revenue Allocation And Rate Design In These Proceedings

As discussed in the Companies' Initial Brief (at 179), the Companies submitted *pro-forma*, or forward-looking, embedded cost of service studies ("ECOSS" or "ECOS studies") that were used to guide the Companies' revenue allocation and rate design. The *pro-forma* studies use forecast Rate Year costs to determine whether the Companies' revenue allocation brings each service class closer to the system average rate of return. Tr. 2649, 2656-57, 2659. Staff (IB at 164) agrees with the Companies' methodology used for the ECOS studies (i.e., traditional three-

step process and selection of allocators) but prefers using historic costs rather than Rate Year forecasts. Tr. 2943, lines 11-13. NYC (IB at 5) and UIU (IB at 4) supported the Companies' use of *pro-forma* studies as opposed to historic ECOS studies. Tr. 5538, 1371-1372.

In its initial brief, Staff (IB at 166) reiterated the same arguments from its testimony on why the Companies should use a historic ECOSS rather than a *pro-forma* study. Staff continues to assert only that *pro-forma* ECOS studies can introduce additional errors without providing any examples of such potential errors. Further, Staff fails to rebut the weaknesses in using a historic ECOSS, not addressing the fact that a historic ECOSS includes non-recurring costs that will not be in the Rate Year and excludes known costs that the Companies will incur in the Rate Year. Staff also does not address the fact that the historic year is unlikely to have weather-normal sales and revenue. Staff asserts that *pro-forma* studies should only be used if "very large changes in utility operations are expected" and that "[t]his is not an issue in these proceedings." Staff IB at 166. Staff argues that because there are only minimal differences in the revenue allocation between the historic and *pro-forma* studies in the current proceedings, there is insufficient support for using the Companies' *pro-forma* study. By the same token, however, Staff has not shown why the Companies should use for revenue allocation an approach different from what was approved by the Commission in the 2016 KEDNY and KEDLI Rate Case. Further, Staff provides no basis for what constitutes a "very large" change or why the Companies' proposed revenue increases do not fall under that category. These proceedings concern the Companies' proposed "major rate changes" as the term is defined under Public Service Law Section 66(12)(c).[68] The very fact that

[68] PSL Sec. 66(12)(c) says: "For the purpose of this subdivision, "major changes" shall mean an increase in the rates and charges which would increase the aggregate revenues of the applicant more than the greater of three hundred thousand dollars or two and one-half percent, but shall not include changes in rates, charges or rentals (i) allowed to go into effect by the commission or made by the utility pursuant to an order of the commission after hearings held upon notice to the public, or (ii) proposed by a municipality."

the Companies, Staff, and other parties are involved in these proceedings means that the Companies expect significant changes in their operations and associated costs. Finally, Staff acknowledges (IB at 166) that if revenue allocation were based on a historic ECOSS, the Companies would not know whether there was movement toward the system average rate of return until the next rate filing. Staff IB at 168. This leaves the exercise of revenue allocation and rate design in the instant proceedings to be nothing more than guesswork. Thus, the Companies' proposed *pro-forma* studies better support the goal of the ratemaking process of establishing rates that move each service class closer to the system average rate of return. The Commission should reject Staff's proposal to use historic cost information for the ECOSS and adopt the Companies' *pro-forma* ECOSS.

2. Distribution Main Costs Should Be Classified As Partially Demand-Related And Partially Customer-Related

The Companies' *pro-forma* ECOSS used for revenue allocation and rate design utilized a minimum system study to split the cost of cost of distribution mains between customer-related and demand-related components. Staff (IB at 165) and NYC (Letter at 5) support the Companies' approach to the classification of main costs. UIU (IB at 6) recommends that the Commission use a combination of two *pro-forma* studies – the Companies' *pro-forma* ECOSS that uses a minimum system study and a *pro-forma* ECOSS that classifies 100 percent of the main costs as demand-related – for purposes of revenue allocation. For the reasons discussed below, the Commission should reject UIU's proposal and adopt the Companies' *pro-forma* ECOS studies that classify main costs as both customer and demand related.

In its testimony, UIU did not oppose the Companies' minimum system study methodology or the results of the study. Rather, UIU merely noted that the classification of main costs is "controversial" because some utilities classify a portion of main costs as customer-related, while

others classify main costs as entirely demand-related. Based on this, UIU suggested that that the Commission use both approaches to guide revenue allocation. UIU IB at 6-7. Tr. 1372, lines 16-19.

UIU's only argument (IB at 21-23) as to why the Commission should not accept the Companies' proposed ECOSS and revenue allocation is that the topic of mains cost classification is controversial. In support of this statement, UIU cites to excerpts from the National Association of Regulatory Utility Commissioners' Gas Rate Design Manual ("NARUC Manual"), which acknowledges that there are different approaches to the classification of main costs. UIU, however, misconstrues the NARUC Manual in certain instances. For example, UIU asserts that the NARUC Manual supports UIU's position that "ECOS studies are considered 'an art, more than a science.'" UIU IB at 5. However, as quoted by UIU, the NARUC Manual says that "*rate design* is more art than science" (emphasis added). *Id.* While ECOSS and rate design are closely related, they are not one and the same. Rate design does take into account various considerations, including mitigating bill impacts and promoting policy goals and energy conservation. Cost allocation, however, is a more methodical and objective exercise.

UIU argues that the minimum system approach is flawed because it tends to over allocate costs to small customers. UIU IB at 8. Yet, UIU has not offered any support for their assertion. Minimum system studies allocate an equal amount of the customer-related portion of main costs to every customer regardless of their size; that does not mean, however, that a small customer is over-allocated such costs. The customer-related portion is allocated equally among all customers because the costs to reach each customer are the same. The remaining portion of main costs, namely the demand-related portion, does vary by customer and therefore allocated based on peak usage. Further, UIU does not offer any evidence to support 100 percent demand classification of

main costs and fails to rebut the Companies' position that the cost to install mains depends, in part, on the length of pipe installed to reach customers. Thus, a portion of main costs should indeed be allocated equally among customers regardless of whether the customer is a high usage customer or a low-usage customer.

As the Companies noted, they are agreeable to submitting a *pro-forma* ECOSS using a 100 percent demand approach in the next rate case for informational purposes, just as it did in these proceedings. Tr. 2816, lines 17-19. However, the Companies reiterate that they do not support a 100 percent demand classification of main costs. The Joint Proposal in the 2016 KEDNY and KEDLI Rate Case was clear that this study would be for informational purposes only. The Joint Proposal explicitly noted that this requirement does not require the Companies to support using the results of this study for any purpose, nor that it should prohibit or prejudice the Companies from presenting a different ECOSS for revenue allocation and rate design purposes. Similarly, the fact that other New York utilities have also submitted such studies should not be mistaken for their support for the approach.

Based on the foregoing, the Commission should reject UIU's proposal and adopt the Companies' *pro-forma* ECOSS for revenue allocation and rate design.

C. Revenue Allocation

1. The Companies Proposed Revenue Allocation Using Tolerance Bands Should Be Adopted

As illustrated in the Companies' Initial Brief (at 184), the Companies' proposed revenue allocations aim to bring each service class closer to the system average rate of return while mitigating extreme impacts to any one class. Tr. 2817, lines 6-8. Using a tolerance band of 25 percent, those service classes that produced a rate of return 25 percent or greater than the system average rate of return (meaning that they are subsidizing other service classes) were assigned lower

percentage revenue increases than those service classes that produced a rate of return 25 percent or less than the system average rate of return (meaning that they were being subsidized by other service classes). *Id.* Those service classes that were within the 25 percent tolerance band (between 25 percent above and below the average return) were assigned revenue percentage increases close to the average increase. *Id.*

Staff's revenue allocation, which is based on a historic ECOSS, agrees with the Companies' use of a 25 percent tolerance band. Tr. 2946, lines 10-13. However, for classes below the tolerance band, Staff allocates 20 percent more of a revenue increase or 20 percent less of a revenue decrease for classes below the tolerance band for KEDNY and KEDLI, respectively. *Id*., lines 17-20. For classes above the tolerance band, Staff allocates 20 percent less of a revenue increase or 20 percent more of a decrease for KEDNY and KEDLI, respectively. *Id*., lines, 13-17. UIU, again, recommends using both the results of the Companies' *pro-forma* ECOS studies that classify main costs as both customer and demand related and the *pro-forma* ECOS studies that classify main costs as 100 percent demand related for revenue allocation. Tr. 1349, lines 15-16. UIU suggests that the Commission set boundaries, or restrictions, on the rate percentage change that a class may receive. Tr. 1350, lines 7-13.

Neither Staff nor UIU offer any new argument in support of their respective revenue allocation proposals in their initial briefs. Staff asserts that its proposed adjustments move classes toward the system average rate of return while recognizing that the cost allocations in the ECOS studies could change by the next rate cases. Staff IB at 168. It notes that by using historic ECOS studies, movement toward system average rate of return will not be quantified until the Companies' next rate cases. *Id*. However, by using a *pro-forma* study we would be able to know today whether the revenue allocation moves classes closer to the system average rate of return. UIU does not

offer any specific revenue allocation proposal. Despite the lengthy discussion, UIU merely suggests vague guidelines for the Commission to arrive at an unspecified middle ground between two revenue allocation scenarios based on the two *pro-forma* ECOS studies that UIU suggests. The Companies reiterate their position as set forth in the Companies' Initial Brief and submit that the Commission should adopt the Companies' proposed revenue allocation.

D. Rate Design

1. The Commission Should Adopt The Companies' Rate Design Proposals For The Firm Service Classes

The Companies rate design proposals are intended to (i) collect the revenue target determined in the revenue allocation process; (ii) avoid severe, disproportionate impacts to customer subgroups within a service class; and (iii) provide price signals to impact usage patterns, including promoting energy conservation. Tr. 2664-65, lines 17-21 and lines 1-2. The proposed rate design reduces the decline of the slope between rate blocks for service classes with multiple rate blocks to incentivize usage reduction.

Staff's proposed rate design, based on significantly lower revenue requirements than those proposed by the Companies, recommends steeper reduction in the slopes than do the Companies' rate design proposals. However, Staff acknowledged that a higher revenue requirement would require a more gradual reduction in slope. Tr. 2958, lines 8-11. The Companies submit that the Commission should utilize the Companies' proposed rate design for the firm service classes, as set forth in Exhibit 727.

E. Bill Impacts

Exhibit 727 (RDP-4ATS), Schedule 4 for KEDNY and Exhibit 727 (RDP-4BTS), Schedule 4 for KEDLI show the impact to customer bills based on the Companies' proposed rate design. For each service classification, the Companies show the net change to customers' monthly

delivery and gas commodity charges for different usage levels. Staff submitted bill impacts based on their proposed revenue requirement and rate design. See Exhibit 525. The Companies submit that the Companies' bill impacts reflect appropriate revenue increases based on just and reasonable rates to allow the Companies to recover their costs and earn a fair return on investment.

F. Non-Firm Service Classes

1. Staff's Proposals For Non-Firm Rate Design Should Be Addressed In the Companies' Next Rate Cases

In its testimony in these proceedings, Staff advanced two proposals that would affect the rates paid by non-firm customers. First, Staff recommended that Tier 1 customers receive a discount of 30 percent off the otherwise applicable firm total bill and Tier 2 customers receive a 40 percent discount off the otherwise applicable firm total bill. Tr. 2964-65. Staff IB at 172. Second, Staff proposed that the Companies use the Incremental Cost of Gas ("ICOG") to calculate the non-firm sales service cost of gas, instead of the Weighted Average Cost of Gas ("WACOG") as proposed by the Companies. Ex. 644 at 14. Staff IB at 173-175. In their Initial Brief, the Companies explained why they believed that each of Staff's proposals should be rejected. Companies' IB at 189-192.

With respect to Staff proposals, while the Companies believe that the discounts reflected in the Companies' proposed non-firm rates provide a sufficient incentive to encourage customers to purchase non-firm service, they do not object to Staff's proposal to create larger discounts provided that those discounts are established on a delivery rate basis rather than a total bill basis. As the Companies explained in their Initial Brief (at 189-191), requiring discounts to be determined on a total bill basis will result in different rates being charged for the same non-firm service to sales and transportation customers – an obviously discriminatory result that has not been

justified. In contrast, if the discounts were determined on a delivery bill basis, the same delivery rates would be assessed to non-firm sales and transportation customers.

Undue discrimination is not the only issue created by Staff's non-firm rate design proposals. In its initial brief, Staff states (IB at 172) that as a result of its non-firm rate proposal the Companies would now need to update their delivery discounts at the beginning of each month based on the planned weighted ICOG. This proposal would impose a significant incremental administrative burden on the Companies. Moreover, this proposal would result in monthly rate changes for non-firm customers, depriving them of rate stability. The majority of KEDNY's non-firm customers are multi-family buildings. *See* Exs. 79 and 81. The Companies believe that these customers desire rate stability, not monthly rate changes.

In addition, in these proceedings, the Companies proposed to include gas costs incurred for and recovered from non-firm customers in the Companies' annual gas cost reconciliation. Tr. 2834-35. It is not clear how this would or could be done if non-firm customers are charged an ICOG price rather than a WACOG price.

In its initial brief, Staff (IB at 174) states that it "recommends that the Companies charge non-firm customers the ICOG weighted on the GTOP gate allocations and incremental price and volumes shown illustratively in Attachment 3 to that IR response" (citing Ex. 642 the response to IR DPS-1086, attachment 3). Staff further states (IB at 174-175) that "non-firm customers should only pay a portion of the demand or pipeline transportation charges since they are not assured gas supply 100% of the time." Given these statements, the Companies are unsure as to how they would calculate the monthly ICOG that Staff is proposing.[69] The ICOG presented in Attachment 3 to the

[69] In addition, Staff states (IB at 175), "The Companies' argument that non-firm customers would be interrupted when the ICOG is likely to be set re-enforces our position that the non-firm customers should pay the ICOG when they are on the system since the WACOG would include gas costs when these

response to DPS-1086 (Ex. 642) includes demand charges associated with upstream pipeline capacity, but the Companies do not know whether those demand charges are the amounts that Staff believes should be included in the derivation of the monthly ICOG. Unless and until these issues are fleshed out and resolved, Staff's proposals should not be adopted.

In sum, the Companies continue to believe that their proposals to design discounted non-firm rates and assess the weighted average cost of gas to non-firm services should be adopted. However, to the extent that the Commission believes that larger discounts for non-firm services are appropriate, the Companies believe that such discounts should be calculated on a delivery rate basis so that non-firm sales and transportation customers will receive the same delivery rate discount. The remainder of Staff's proposals concerning the cost of gas to be reflected in non-firm customer rates should be rejected at this time. The Companies will likely file new base rate cases soon after these cases are decided.[70] The details of Staff's non-firm rate design proposals should be fully vetted and resolved in the Companies' next cases.

2. The Commission Should Adopt the Companies' Proposed Tariffs For The Non-Firm Demand Response Service Classifications

a. The Companies Must be Able To Adjust The Interruption Temperature Thresholds For Tier 1 And Tier 2 Customers

NYC proposes that the Companies' tariffs specify that Tier 1 customers will be interrupted at 15 degrees Fahrenheit and Tier 2 customers at 20 degrees Fahrenheit. Tr. 5539, lines 10-12. The Companies disagree because the temperature may change annually based on the Companies' gas system planning needs, and the tariffs must retain flexibility to adjust the designated interruption

customers are interrupted." The Companies do not understand the point that Staff is making here and whether it has any ramifications for how Staff proposes that the Companies should determine the monthly ICOG.

[70] The timing of these cases will, of course, reflect careful consideration of economic conditions in the Companies' service territories, given the current COVID-19 pandemic.

temperature to allow proper system planning based on changing conditions year over year. Tr. 2835-36, lines 18-21 and lines 1-3; Tr. 2864, lines 3-7. NYC's Letter did not further argue this point. As such, the Commission should reject NYC's recommendation that specific interruption temperatures be included in the Companies' tariffs.

b. The Commission Should Reject NYC's Proposals for Further Non-Firm Tariff Modifications

NYC's Letter does not further discuss any of its proposals for further modifications to the non-firm tariff provisions. As such, the Companies submit that the Commission should reject NYC's proposed modifications, which are summarized below.

i. *On-Site Alternate Fuel Requirement*

NYC proposed that the Companies' non-firm tariffs be modified so that on-site alternative fuel is not a prerequisite for eligibility. Tr. 5540, lines 1-2. The Companies noted that such changes are not necessary because the Companies already allow non-firm service without on-site alternative fuel under certain conditions. As NYC did not address this position in its Letter, there is no need for the Commission to require any modifications to the Companies' tariffs to address this issue.

ii. *Second-Strike Violations*

NYC proposed that if (i) a second interruption occurs within five days of the end of the first interruption; and (ii) the customer can demonstrate that the equipment could not be fixed despite diligent efforts, the second failure to interrupt (or "strike") should not be considered a strike and any associated penalties would be reduced or waived. Tr. 5540, lines 9-13. The Companies submit that their current respective tariffs already contemplate such scenarios and provide sufficient opportunities for customers to remediate any equipment failure. As NYC did not include

any arguments in its Letter concerning this, the Companies submit that the Commission should reject NYC's proposal.

iii. Waiver of Tariff Provisions for NYCHA

In its direct testimony, NYC proposed that the NYC Housing Authority ("NYCHA") should be permitted waivers of non-compliance penalties during electric emergency situations because NYCHA is unable to receive firm service from the Companies due to the moratorium. The Companies submit that this issue is now moot, as NYCHA can apply for firm service with the lifting of the moratorium as of November 24, 2019.

G. Make Whole / Rate Compression

1. Calculation of the Make Whole Provision From April 1, 2020 Until Rates Are Effective In These Proceedings

In its initial brief, Staff supports the Companies' proposal for a make whole (discussed at pages 197-98 of the Companies' IB) relative to these proceedings with one clarification. Staff states that the make whole should be calculated for each service class by taking the difference in revenue between current rates and approved rates, with the difference collected from, or returned to, the service class through a surcharge or sur-credit over the remainder of the Rate Year. Staff IB at 176.

The Companies agree with Staff's clarification but notes that the surcharge or sur-credit will not be shown as a separate line item on the bill because the calculation needs to be performed by block rate. In their respective tariffs, the Companies will identify the portion of delivery rates impacted by the make whole.

2. Make Whole Provision And Waiver Of the Commission's Test Year Policy For The Companies' Next Rate Filings

Staff also supports the Companies' proposal for a make whole (discussed at pages 198-99 of the Companies' IB) and waiver of the Commission's Test Year Policy Statement relative to

KEDNY and KEDLI's next base rate filings with one clarification. Staff states the make whole and waiver should be granted only to the extent the Companies file their next cases within 30 days of the Commission's order setting rates in these proceedings. *Id.* at 176-77. The Companies are in agreement with Staff's clarification.

H. Lost And Unaccounted For Gas ("LAUF")

The Companies proposed four modifications and/or updates to their existing recovery mechanism for lost and unaccounted for ("LAUF") gas. Specifically, KEDNY and KEDLI each proposed to (i) update the LAUF targets and associated deadbands; (ii) align the implementation of the new targets with the start of the next annual cycle for calculating the Companies' Gas Adjustment Clause ("GAC"), which begins September 1, 2020; (iii) remove the adjustment to the LAUF mechanism for inactive accounts; and (iv) modify the calculation to gross up gas costs for LAUF gas. Tr. 2841, lines 16-20.

Staff disagreed (IB at 178) with KEDLI's updated target, arguing that KEDLI's LAUF target should exclude 2014 as an outlier. While Staff took issue with other aspects of the Companies' LAUF calculation, at this point the updated target is the only remaining issue.[71] This issue was fully addressed in the Companies' Initial Brief at 199-200.

I. Other Contested Items

1. Electric Generator Revenues

The Companies propose to update the electric generator revenue targets to reflect the average revenue from the last two years, as shown on Exhibit 140 (RDP-14) for KEDNY and

[71] On page 178 of Staff's initial brief, Staff states that KEDLI's LAUF target should be set at 2.790 percent, the lower deadband at 1.790 percent, and the upper deadband at 2.790 percent. The Companies believe the upper deadband number to be an inadvertent error, and notes that the deadband should be 3.790 percent as Staff had stated in its testimony. Tr. 2975, lines 18-19. The Companies no longer take issue with Staff's position that the adjustment for inactive accounts should continue to be reflected in the LAUF calculation.

Exhibit 297 (RDP-14CU) for KEDLI. In its testimony, LIPA raised a number of issues regarding KEDLI's electric generator rates, including the minimum bill obligation and value added charge. In the Commission's generic proceeding to review tariff provisions and rates applicable to electric generators (Case 17-G-0011), on March 30, 2020, Staff submitted its proposal on electric generator rate design. The Commission has issued a notice soliciting comments by June 15, 2020. LIPA submitted an initial brief in these proceedings, in which it requested that KEDLI be directed to file rates for electric generator rates as soon as the Commission issues an order in the generic proceeding. Similarly, the Companies do not believe any changes to the electric generator rates or tariff provisions should be made in these proceedings until an order is issued in the generic proceeding. Tr. 2841, lines 5-12.

2. System Benefits Charge ("SBC")

The Companies' SBC consists of the EES/ETIP (which recovers the costs of Company-sponsored energy efficiency programs and the CEF (NYSERDA energy efficiency programs). The Companies propose to recover the EES/ETIP through base rates and the CEF through the SBC. Tr. 2698-99, lines 18-21 and lines 1-6. Further, the Companies propose to expand the SBC to include baseload distributed generation and non-firm demand response customers and allow those customers to participate in the Companies' energy efficiency programs. Tr. 2698, lines 7-16; Tr. 2781-2781, lines 17-21 and lines 1-5.

Staff agreed with the Companies' proposal to move the ETIP into base rates. Staff noted that because non-firm demand response customers will be charged based on a discount from the otherwise applicable firm rate, they would already be contributing to the ETIP. Staff IB at 180. The Companies agree with this statement and therefore will not be separately allocating ETIP costs to non-firm customers. Staff also agreed, in part, that baseload distributed generation customers can participate, and pay for, energy efficiency programs. Staff noted, however, that they are not

aware of any energy efficiency programs that would help these customers. Staff IB at 181. NYC, in its testimony, indicated that non-firm customers should not contribute to the cost of energy efficiency programs until adequate energy efficiency programs are available to them. Tr. 5539, lines 16-19. The Companies fully addressed this argument and refers the Commission to pages 201-202 of the Companies' Initial Brief.

3. The Commission Should Reject Staff's Proposal For a Service Classification Study

Staff proposes (IB at 182-183) that the Companies be required to perform a study to ensure that customers are in the correct service classification. Tr. 2988, lines 6-7. In its initial brief, Staff noted that it is concerned about KEDNY's SC 1B customers. The Companies fully address Staff's proposal at pages 202-203 of the Companies' Initial Brief. The Companies reiterate that the Commission should reject Staff's proposal for the Companies to perform a study.

4. The Commission Should Accept The Companies' Proposal On Non-Labor O&M Cost Recovery

In its testimony, Staff proposed that non-labor O&M costs for demand response programs be recovered through the DRA mechanism, whereas the Companies recommend recovering such costs in base rates. Tr. 694-95, lines 21-24 and lines 1-12; Tr. 2848, lines 5-6. Requiring recovery of non-labor O&M costs through the DRA would create a lag in the recovery, which would add to the adverse cash flow impacts affecting the Companies' credit metrics. If, however, the Commission decides that non-labor O&M costs should be recovered through the DRA, to avoid adverse cash flow impacts that could negatively affect their credit metrics, the Companies plan to reflect a forecast of the demand response program non-labor O&M costs in the DRA mechanisms and reconcile any over or under recovery to be refunded to or recovered from customers in a subsequent period. Tr. 2847, lines 3-6; Tr. 2848, lines 5-14. To the extent Staff's recommendation is for the Companies to fully defer the costs of the demand response program, Staff's

recommendation should be rejected for the reasons set forth in the Companies' Initial Brief. Companies' IB at 203.

5. The Commission Should Adopt the Companies' Proposed Paperless Billing Credit

The Companies propose to update the current paperless billing credits, from $0.35 to $0.41 per service period for KEDLI and from $0.49 to $0.44 per service period for KEDNY. While Staff (IB at 175-176) agrees with the methodology, Staff does not support KEDNY's updated credit because it is not based on 12 months of data. Instead, Staff recommends that KEDNY provide an update when it files its Brief on Exceptions using 12 months of data. The Companies fully addressed this issue at pages 203-204 of their Initial Brief.

J. Uncontested Items

1. New York Facilities System

The Companies proposed to modify the reconciliation period of the New York Facilities System ("NYFS") surcharge from a calendar year basis to a fiscal year. Tr. 2675, lines 1-14. In its initial brief, Staff confirmed that it agrees with the Companies' proposal in its entirety. Staff IB at 181. No other party opposed the Companies' proposal. Therefore, the Commission should adopt the Companies' proposed change to the reconciliation period of the NYFS surcharge.

2. MFC

KEDNY and KEDLI proposed updated targets for their respective merchant function charges ("MFC"), which can be found on Exhibit 728 (RDP-6ATS) for KEDNY and Exhibit 728 (RDP-6BTS) for KEDLI. The proposed targets are based on a reconciliation period of twelve months ending August 31 (GAC Year) to align with the Companies' Annual Cost of Gas reconciliation.

No party presented any discussion on the Companies' MFC proposals. Therefore, the Commission should adopt the Companies' updated MFC targets and proposed modification of the reconciliation period to the GAC Year.

3. Modifications to Tariff Services, Fees, and Provisions

a. Tariff Provision Updates

As noted in the Companies' Initial Brief (at 205), KEDNY and KEDLI proposed certain minor tariff modifications to their respective tariffs, including among others elimination of mid-year adjustments to the annual cost of gas and annual MFC imbalance factors. Tr. 2687-2688, lines 18-21 and lines 1-9; Tr. 2771, lines 5-15. No parties opposed the Companies' tariff modifications identified in the Companies' Initial Brief at page 205. Therefore, the Commission should approve the tariff changes.

b. NGV Interruptible Option

None of the parties that submitted an initial brief noted objections to the Companies' proposal to offer an interruptible service option for new natural gas vehicle ("NGV") customers under SC 4A-CNG for KEDNY and SC 9 – NGV for KEDLI. Tr. 2701, lines 10-19; Tr. 2785, lines 3-14. As noted by Staff, customers would only be interrupted for peak periods of a given day, and they will be permitted to change their fueling profiles for several days at a time. Tr. 2970, lines 7-14. Based on the foregoing, the Commission should approve the Companies' plan to offer an interruptible option for new NGV customers.

c. EAM Surcharge

No parties that submitted an initial brief opposed the Companies' proposal to recover the proposed gas efficiency EAM from firm service classes based on their contribution to peak sendout and collect on a per-therm basis through the DRA. Tr. 2703, lines 1-11. Therefore, the Commission should approve the Companies' proposal.

d. Economic Development Discount Program Riders

None of the parties that submitted an initial brief objected to KEDNY and KEDLI's proposed amendments to their respective Area Development Riders and Business Incentive Riders. Tr. 2789, lines 11-16. Therefore, the Commission should adopt the proposed changes.

e. Tariff Fees

KEDLI proposed to update (i) unproductive field visit fee; (ii) re-establishment charge; (iii) non-residential collection fee; and (iv) suspension fee charged to ESCOs. See Exhibit 150 (RDP-8). KEDNY proposed to update (i) unproductive field visit fee; (ii) reconnection fees; and (iii) disconnect fee charge to ESCOs. See Exhibit 134 (RDP-8).

In its initial brief, Staff summarized the Companies' proposed updates for their unproductive field visit fee, reconnection/re-establishment fee, and disconnect fee. Staff IB at 183. While KEDLI's proposed updates to the non-residential collection fee and suspension fee charged to ESCOs were not explicitly mentioned, Staff noted that it agrees with the Companies' proposed updated tariff fees. *Id*. As no other parties objected to the updated fees, the Commission should approve the Companies' proposed tariff fee updates.

f. Consolidated Billing Charge

No parties objected to the Companies' proposed updates to their consolidated billing charges. Therefore, the Commission should approve the updated charges.

g. Marginal Cost Study

No parties objected to KEDNY and KEDLI's respective marginal cost studies. Therefore, the Commission should adopt the Companies' marginal cost studies.

h. Inclining Block Study

KEDNY and KEDLI submitted inclining block studies as required by the 2016 KEDNY and KEDLI Rate Case Order. The Companies concluded that moving rate design toward inclining blocks would produce results that are unacceptable from a ratemaking perspective. Staff agreed with the Companies' conclusion based on the Companies' proposed revenue requirement. Tr. 2957, lines 7-17. Therefore, the Commission should accept the Companies' conclusion and adopt the Companies' proposed rate design.

IX. GAS POLICY AND ENERGY EFFICIENCY

A. Energy Efficiency

1. Downward-only reconciliation

The Companies addressed this issue in their Initial Brief. Companies' IB at 207-08.

2. Base Rate Funding of Energy Efficiency; Updating EE Budgets and Targets; EM&V

In its initial brief, Staff agrees with the Companies' proposal to move all energy efficiency costs from the system benefits charge ("SBC") into base delivery rates. Staff IB at 184. Therefore, there is no remaining dispute between Staff and the Companies on this issue.

As stated in the Companies' Initial Brief, the Companies incorporated the updated energy efficiency budgets and targets established in the NE:NY Order[72] to set the proposed Rate Year energy efficiency rate allowance. Companies' IB at 208. In its initial brief, Staff acknowledges that the Companies reflected these updated energy efficiency budgets and targets in their supplemental testimony. Staff IB at 185. Therefore, there is no remaining dispute on this issue.

[72] Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative*, "Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025" (Issued and Effective January 16, 2020) ("NE:NY Order").

The Companies also adjusted their respective revenue requirements to move evaluation, measurement and verification ("EM&V") costs from base rates and into the energy efficiency program portfolio budgets as directed by the Commission in the NE:NY Order. Companies' IB at 208. In its initial brief, Staff acknowledges that there is no dispute on this issue, citing the Companies' adjustment to the revenue requirement to remove EM&V costs from base rates and incorporate those costs in their energy efficiency program portfolio budgets. Staff IB at 184. Therefore, there is no remaining dispute on this issue.

3. Reporting Requirements

The Companies addressed this issue in their Initial Brief. Companies' IB at 208-09.

4. Use of Unspent Energy Efficiency Funds

As stated in their Initial Brief, the Companies do not oppose using uncommitted energy efficiency funds to mitigate energy efficiency collections from customers. Companies' IB at 87. However, the Companies oppose the specific five-year amortization Staff proposes (Staff IB at 82), and recommends that the Commission provide the Companies the flexibility to determine how best to use the "available uncommitted and unspent utility energy efficiency funds . . . to mitigate the impacts of the portfolio budgets authorized" in the Commission's January 16, 2020 energy efficiency order in Case 18-M-0084.

5. KEDLI EmPower Replacement Program (HEAT); Program Expansion and Shift to EE Portfolio

In the Companies' supplemental testimony filed January 29, 2020, KEDLI indicated its support for incorporating the HEAT Program into its energy efficiency portfolio. Tr. 233, lines 6-8; and Tr. 2301, lines 6-14. In addition, KEDLI stated that it no longer believed it was necessary to request additional funding for the HEAT Program. Tr. 233, lines 10-11; Tr. 2301, lines 11-14. Instead, KEDLI indicated that it would fund the HEAT Program within the authorized energy

efficiency portfolio budget and make an adjustment to the revenue requirement to remove the incremental $2.5 million. Tr. 233, lines 11-14; Tr. 2301, lines 11-14. In its initial brief, Staff recommends the Commission require KEDLI to fund the HEAT Program at $2.5 million separate from KEDLI's authorized energy efficiency portfolio budget. Staff IB at 190. On further consideration, KEDLI agrees with Staff's recommendation and as these costs are not currently in KEDLI's revenue requirement, the Company will need to include the incremental $2.5 million in the revenue requirement to reflect Staff's proposal. Therefore, there is no remaining dispute on this issue.

B. Green Gas Tariff

The Companies are withdrawing their Green Gas Tariff proposal in these cases. Companies' IB at 210.

C. Utility Energy Services Contracts Program: Share Of Net Revenue, Full-Time Equivalent Employees, Inclusion In EE Portfolio, EE targets And Budgets

In its initial brief, Staff recommends funding the Utility Energy Services Contracts ("UESC") program out of the Companies' overall energy efficiency program budget (Staff IB at 192, 193), eliminating the proposed two incremental FTEs to support the UESC program (Staff IB at 193), and establishing specific budgets and energy savings targets for the UESC program (Staff IB at 193). For the reasons summarized in their Initial Brief, the Companies oppose Staff's recommendations regarding the UESC program. Companies' IB at 211-12.

D. Fuel Switching Calculator And Allocation To Affiliates

This issue was thoroughly addressed in the Companies' Initial Brief. Companies' IB at 212-13. Staff's statement in its initial brief regarding the costs to expand the calculator to serve other operating companies (Staff IB at 194) is complete conjecture and irrelevant to how costs should be properly allocated. As the Companies stated in their Initial Brief, as the fuel-switching

calculator is developed and made available to serve customers of other operating companies, those companies would be allocated the costs of the tool. Companies' IB at 213.

E. Demand Response: Full-Time Equivalent Employees

1. Non-Labor O&M Costs

The Companies addressed this issue in Section VIII.I.4, above.

2. Full-Time Equivalent Employees

Staff agrees that the Companies' proposal to add an incremental FTE in the Rate Year (split between the Companies) to advance the expanded demand response program is reasonable. Staff IB at 195. Accordingly, this item is no longer in dispute.

F. Geothermal

1. Proposed Expansion Of Demonstration Project

In their Initial Brief, the Companies thoroughly addressed the reasons the Commission should adopt the proposal to expand the Geothermal Gas REV Demonstration Project ("Riverhead Demonstration") authorized in the 2016 KEDNY and KEDLI Rate Cases. Companies' IB at 214-16.

In its initial brief, however, Staff recommends rejecting the proposal because "KEDLI just filed its final report regarding the existing demonstration project on April 3, 2020" and "[t]his alone means that now is not the time to expand the program. Rather it is the time to digest the lessons that can be learned from the results thus far." Staff IB at 196. To the contrary, the lessons learned to date demonstrate that now is precisely the time to expand the program as proposed by KEDLI.

Pursuant to the Commission's order in the 2016 KEDLI Rate Case,[73] KEDLI has reported on a quarterly basis since October 31, 2017, regarding the project status, challenges experienced, changes implemented, and lessons learned since the project was launched in January 2017.[74] The Riverhead Demonstration project has yielded key findings and lessons learned throughout the three-year project life.[75] The project tested two types of systems—a shared geothermal well system is a residential community, and a single well system at a veterans group home—and has allowed project participants, market partners, and other stakeholders to gain insights from first-hand experience, and helped answer key questions to determine whether ground source heat pumps ("GSHPs") are a cost-effective and feasible alternative heating and cooling solution in such situations.[76] In addition, the project has supported several important REV goals, the most important of which is "to 'build a more resilient energy system' by exploring whether GSHPs can be introduced in an efficient mix of resources on the energy system."[77] Now is the time to advance this demonstration project through KEDLI's proposed limited expansion to test what types of actions can effectively accelerate beneficial GSHP deployment. Companies' IB at 216.

As noted in the Companies' Initial Brief, Staff's opposition to the expanded demonstration project is not shared by other parties in this case. Companies' IB at 215.

[73] Case 16-G-0058, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service*, "Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans" (Issued and Effective December 16, 2016) (the "2016 KEDLI Rate Case").
[74] The project was agreed to in the Joint Proposal adopted by the Commission in the 2016 KEDLI Rate Case. The project commenced in January 2017 following the Commission's adoption of the Joint Proposal.
[75] 2016 KEDLI Rate Case, Geothermal Gas REV Demonstration Project – Final Report (filed April 3, 2020) ("Riverhead Demonstration Final Report"), at 8-12.
[76] *Id.*, Sections 4.0 through 6.0, at 8-22.
[77] *Id.*, Section 3.0, at 8.

2. Additional FTEs Are Needed To Support The Expanded Geothermal Program

The Companies addressed this issue in their Initial Brief. Companies' IB at 216-17.

G. Power to Gas Demonstration Project (KEDLI)

Staff opposes KEDLI's Power to Gas ("P2G") demonstration project based on the inaccurate assumption that the proposal is intended to assess the long-term potential of producing renewable natural gas from bulk electric system power. Tr. 745-46, lines 23-25 and 2-5. That is not what the P2G program is about. The objective of the P2G project is to work with the National Renewable Energy Laboratory and NYC to test the efficacy of advanced electrolyzer and methanation/bioreactor technology to produce pipeline-quality renewable natural gas. Tr. 109, lines 12-20. The Company agrees with Staff that there currently is not excess renewable electricity in the New York metropolitan area. Staff IB at 198. However, the State's clean energy ambitions will rapidly increase the amount of renewable electricity generated and consumed in the region. The P2G demonstration project is intended to test the potential to efficiently produce renewable natural gas as a low net carbon fuel for a future when renewable electricity is much more abundant than it is today. Companies' IB at 218. Finding an effective way to produce abundant, low net carbon natural gas could be a game changer in places like NYC, with established building stock and massive amounts of existing natural gas infrastructure and gas-fueled end-uses.

Staff's further argument that the P2G proposal should be rejected because it is not one of the specific uses for excess renewable electricity identified in the Commission's December 13, 2018 Storage Order in Case 18-E-0130 (Staff IB at 198) also is without merit for the reasons summarized in the Companies' Initial Brief.

We are at a point where potentially beneficial approaches for achieving a clean energy future should not be discarded without consideration. Therefore, the Commission should authorize KEDLI to proceed with the P2G demonstration project.

H. Hydrogen Blending Study

The Companies proposed a hydrogen blending study to examine what actions would be necessary to prepare the gas system for the introduce of hydrogen. The Companies also applied for a NYSERDA grant to fund a portion of the study. To date, NYSERDA has not formally announced the grant award. Tr. 256, lines 2-19. In its initial brief, Staff appears to recommend that, if NYSERDA awards the grant to the Companies, the Commission should approve recovery of the remaining study costs. Staff IB at 199-200. Staff's initial brief is not clear as to its position if the Companies do not receive the NYSERDA grant; however, the Companies' position is that the hydrogen blending study would produce beneficial learnings for customers, and cost recovery should be provided regardless of the status of the NYSERDA grant.

I. One-Year Deferral of RNG Interconnection Program, Full-Time Equivalent Employees for RNG Interconnection Program

Staff's stated support for the RNG interconnection program (Staff IB at 200) does not align with Staff's recommendation that the incremental FTEs to implement the program not be funded, or that the rate year O&M costs related to KEDNY's implementation not be approved. Further, contrary to Staff's claim, the Companies have provided evidence that the number of proposed RNG interconnections has increased in recent years. Tr. 189, lines 18-21, Tr. 4283, lines 1-7. The potential for RNG to provide environmental and customer benefits can only be realized if the cost and schedule hurdles RNG developers currently face are mitigated. The proposed RNG interconnection program would address those hurdles and it should be approved by the Commission.

J. Greenhouse Gas Inventory Methodology

The Companies reiterate their willingness to participate in collaborative efforts to develop comprehensive GHG emissions inventories, but disagree that they should be the entities responsible for generating economy-wide GHG inventories as proposed by EDF. Companies' IB at 220-21. Staff likewise opposes EDF's proposal. Staff IB at 201.

The Companies disagree with the assertions of the Sane Energy Project ("Sane") in its brief that the Companies incorrectly calculate or report emissions information. Sane IB at 5-8. As stated in testimony, the Companies report emissions pursuant to a U.S. Environmental Protection Agency greenhouse gas reporting program. Tr. 364, lines 2-7. The methodology for how those emissions are determined is established in federal regulation and is based on the function of the Companies' asset inventory. Tr. 364-65, line 21-25 and 2-5. Sane's contention that the Companies incorrectly calculate or report their emissions reflects a fundamental misunderstanding of what the regulatory requirements for emissions calculation and reporting actually are.

K. Earnings Adjustment Mechanisms: Metrics and targets, total available basis points

The Commission's January 16, 2020 energy efficiency order provides that the "fundamental purpose of EAMs is to focus management attention on and reward superior outcomes."[78] The EAM metrics and targets proposed by the Companies are aligned with this fundamental purpose. As the Commission noted in the REV Track Two Order, "[i]ncentive opportunities should be financially meaningful and structured such that they encourage enterprise-wide attention as the utility and encourage strategic, portfolio-level approaches beyond narrow

[78] Case 18-M-0084, *In the Matter of A Comprehensive Energy Efficiency Initiative*, "Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025" (Issued and Effective January 16, 2020), p. 106.

programs," and it selected 100 basis points as a reasonable and appropriate ceiling for EAMs.[79] Staff, on the other hand, recommends a total of two EAMs with a maximum potential incentive of 25 basis points for each of the Companies.

The Companies do not oppose Staff's proposed Share the Savings or Demand Response EAMs (Companies' IB at 224-25); however, the Companies do not agree that completely replacing all the Companies' proposed EAMs in favor of the two Staff-proposed EAMs with maximum potential value of 25 basis points is reasonable.

L. Platform Service Revenues: Availability for E-Commerce Platform; Share of Revenues Related to UESC Program

In its initial brief, Staff recommends the Commission adopt the Companies' proposal for an E-Commerce Platform Service Revenue ("PSR") based on 20 percent share of net revenues from the platform. Staff IB at 209. Staff also supports the Companies' ability to earn a PSR in connection with the UESC program, but recommends the PSR share should be reduced from 33 percent to 20 percent, and calculated on net revenues. For the reasons summarized in their initial brief, the Companies oppose Staff's recommended changes to the UESC PSR.

M. EmPower Replacement Program Incentive Mechanism (KEDLI): Incentives for Tiers 3 and 4

KEDLI and Staff agree on an appropriate structure for incentives associated with participation in Tiers 3 and 4 of the KEDLI HEAT program; however, the parties disagree on the proper incentive levels. As summarized in their initial brief, the Companies' proposed incentive levels would produce results that more closely match the current earnings incentive mechanism than the levels Staff proposes. Accordingly, the Companies recommend that their proposed

[79] Case 14-M-0101, *Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision*, "Order Adopting a Ratemaking and Utility Revenue Policy Framework" (Issued and Effective May 19, 2016) ("REV Track Two Order"), p. 68.

incentive levels for households participating in Tier 3 ($240) and Tier 4 ($120) be adopted. KEDLI also clarifies that because the HEAT program would operate outside of the Company's energy efficiency programs (*see* Section IX.A.5, above, and Staff IB at 190), any incentives earned under the HEAT program would be independent of any energy efficiency program-based EAMs achieved by KEDLI.

N. Number Of Electric Vehicles In Companies' Fleets

The Companies addressed why the City of New York's position on this issue should be rejected in their Initial Brief. Companies' IB at 227.

O. Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act

In its initial brief, EDF argues that the Commission's order in this proceeding must be consistent with the CLCPA and will be "one of its first major actions to address utility rates and the related terms and conditions of service since the CLCPA came into effect." EDF IB at 2. There is no dispute that any action taken by a state agency should be consistent with the provisions of the CLCPA, to the extent applicable. As stated in their Initial Brief, the Companies are not aware of any issues concerning rate design and revenue allocation with the CLCPA in these proceedings. Companies' IB at 228. Moreover, the Companies believe all of the proposals for which they seek authorization in this proceeding are consistent with the CLCPA.[80]

P. Proposed Changes to Supply Planning Process

In their Initial Brief, the Companies detailed (IB at 228-229) the process they are undertaking with respect to supply planning as a result of the settlement approved by the Commission in Case 19-G-0678. In addition to this process, the Companies note that on March

[80] The CLCPA requires the Commission to determine whether its actions are consistent with the emissions limits established in the act and those have not been issued yet.

19, 2020, the Commission commenced a proceeding to consider modifications to gas utilities planning procedures on a state-wide basis.[81] As discussed in Staff's initial brief (IB at 212-213), this process should provide the forum for addressing the supply planning issues raised by EDF in these proceedings.

Q. Gas Hedging Changes

The Companies agree with Staff's description of the gas hedging changes proposed by the Companies[82] that should be adopted in these proceedings as set forth in Staff's initial brief (IB at 213).

X. GAS SAFETY

A. Performance Metrics

1. Performance Metrics In A One-Year Case – Especially One In Which Targets Would Be Set Six To Seven Months Into The Calendar Year – Are Wholly Inappropriate

Staff's proposals for the gas safety measures – many of which involve modifications to the Companies' existing metrics to include more onerous provisions that are not currently components of the metrics of other New York gas utilities (*e.g.*, imposing new requirements for eliminating Type 3 leaks; removing the cap for field audit violations) – should be rejected. Among other reasons, Staff's proposed metrics are inappropriate because the record *is completely devoid* of evidence that would support treating the Companies differently from their peers. It is arbitrary and capricious to impose more onerous penalty mechanisms on the Companies in this proceeding.[83]

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[81] Case 20-G-0131, *Proceeding on Motion of the Commission in Regard to Gas Planning Procedures*, "Order Instituting Proceeding" (Issued March 19, 2020).
[82] Tr. 3903-04.
[83] The Companies' Initial Brief explains why they believe the Commission lacks clear legal authority to impose penalty metrics in a one year, litigated case. Staff initial brief notes that the Commission did impose

Even if the Commission were to see fit to continue the performance measures, the Companies' Initial Brief explains at length why increasingly stringent targets are unreasonable in these cases where the work needed to achieve Staff's proposed performance targets is admittedly unfunded in rates, and the Staff is unreasonably proposing to implement new, more challenging targets in the middle of the performance year, by which point the Companies' ability to achieve those targets would be, at best, severely compromised. Staff concedes that the Companies must plan to achieve more stringent performance targets (Tr. 4143-44, lines 17-24 and 1-2) but this would not be possible when new targets are set six or seven months into the performance period. Staff's position that the Companies should have begun working against its proposed targets when it saw Staff's testimony last fall (Tr. 4145, lines 4-10) is simply without merit.

Increasing performance targets in the middle of the performance period without additional funding would place an unreasonable burden on the Companies under normal operating conditions – but it is even more challenging under the current COVID-19 circumstances. The Companies' service territories are the epicenter of this pandemic. The Companies are focusing their full attention on providing safe and reliable service under the circumstances and, in coordination with Staff, prioritizing essential activities given work restrictions and resource constraints. These circumstances will certainly impact the Companies' ability to meet performance targets in the Rate Year. For this reason, and the many other reasons discussed in the Companies' Initial Brief, the performance measures proposed by Staff are inappropriate in this case.

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safety standards on National Fuel Gas in Case 07-G-0141 in a litigated case. National Fuel appealed that provision to the Appellate Division, who refused to rule on the issue because National Fuel had not yet incurred penalties and, therefore, it was not ripe for judicial review. *See, Matter of Nat'l Fuel Gas Distribution Corp. v. Pub. Serv. Comm'n*, 71 A.D.3d 62 (3d Dep't 2009). Thus, the issue of the Commission's legal authority to impose penalty provisions remains unresolved and should be reconsidered by the Commission.

2. Leak Prone Pipe Retirement Metric

Staff supports minimum retirement targets in the Rate Year for KEDNY and KEDLI of 65 and 150 miles, respectively.[84] The Companies articulated several reasons why assessing a penalty mechanism (with approximately $4.95 million at risk for KEDNY and $3.2 million for KEDLI) tied to LPP retirements is unreasonable in the current case, including: (i) the Companies will not know the target mileage until, at best, the middle of the performance year; (ii) the Companies will similarly not know the rate allowance for its proactive main replacement program and whether the program will be adequately funded to perform this incremental work; and (iii) Staff is proposing significant cuts to the Companies proactive main replacement programs – approximately $6 million for KEDNY and $10 million for KEDLI. Consider also that the current social distancing requirements and work restrictions will directly impact the Companies' ability to deliver its proactive main replacement program in the Rate Year.

Staff also proposed to eliminate the current positive incentive for this performance metric. Tr. 4048-49, lines 14-24 and 1-2. The Staff Policy Panel suggests that eliminating an incentive for LPP retirements -- the program most responsible for eliminating leaks system leaks and methane emissions -- is somehow supported by the State's climate goals articulated in the CLCPA. If the Commission sees fit to include a performance metric in this area, which the Companies do not support for the reasons discussed above, the LPP metric must maintain the PRA component. Contrary to Staff's view, the recommendation to eliminate the PRA in this area is entirely inconsistent with achieving the Commission's safety and climate goals. Accordingly, should the

[84] KEDNY and KEDLI's have proposed to target replacing 70 miles and 155 miles, respectively in the Rate Year. Staff is proposing the Companies would be subject to the minimum thresholds under the LPP metric of 65 miles and 150 miles, respectively. Staff IB 218.

Commission set a performance measure for LPP removal, it should maintain the positive incentive consistent with the Companies' proposal.

3. Leak Backlog Reduction Targets And Leak Survey Practices

Staff proposes to increase the leak reduction targets in the Rate Year, increase the Companies' exposure under the metric, require incremental work to eliminate/re-check leaks, while at the same time not proposing any corresponding increases to the Companies' rate allowance for leak repairs. This position is unjust and unreasonable. The current Leak Backlog metric reduces the targets by 150 and 750 leaks each year for KEDNY and KEDLI, respectively. Instead of extending the current mechanism, Staff's proposal would lower the baseline, or the starting point for measuring the backlog for the total leak metric, by 900 leaks and 1,150 leaks at KEDNY and KEDLI, respectively. Staff would also reduce the backlog target for workable leaks from 25 leaks to 20 leaks at year end. Tr. 4155-56, lines 15-25 and 2-4. As with the other performance measures, Staff proposes to impose more stringent performance targets without providing the Companies' with the additional resources needed to achieve these targets. Tr. 4158, lines 4-8. For the reasons discussed in the Companies' Initial Brief (at 240-242), this is not a reasonable proposal.

4. Damage Prevention Metric

Staff supports the Companies' proposal to revise the metrics to measure overall damages. Tr. 4069-70, lines 10-24 and 1-14. Staff opposes, however, the Companies' recommendation to retain the current calculation methodology, which includes "relocate" (or refresh) tickets in the total ticket count used to measure performance. Tr. 4167, lines 10-17. "Relocates" are one call tickets where the utility is required to return to the scene of previously marked facilities to re-mark those facilities because of the passage of time. Tr. 4154-66, lines 18-25 and 2-5. This is effectively the same actions required for a new one call ticket. Relocate/re-fresh tickets make up more than

50 percent of the downstate ticket volume. Thus, there is nothing "artificial" about including these tickets in the Companies' performance metric.

As described in the Companies' Initial Brief (at 246-250), removing refresh/relocate tickets totally skews the denominator used to calculate the Companies' damage prevention performance. As Staff acknowledges, adjusting the baseline to exclude 50-60 percent of the total ticket volume would negatively impact reported performance and would necessitate adjustments to the performance targets. Tr. 4168-4169. Changing the damage prevention metric in this way would necessitate additional resources to meet the targets. Because Staff is not proposing to provide for these additional resources, the proposed changes to the metric are unreasonable.

5. Emergency Response Metric

If the Commission sees fit to include a performance metric in this area, Staff supports the Companies' proposal to maintain the existing Emergency Response targets, including the exclusion of mass odor calls from the metric, and to add incentives to the metric. Tr. 4078-81.

6. Regulatory Compliance/Gas Regulation Metrics

The Companies disagree with Staff's recommendation (IB at 227) to remove the existing 10-violation cap for violations of a single code section identified during field audits. The Companies' current Gas Safety Regulations Performance Metric includes a cap of 10 violations to avoid the scenario where violations with a high number of occurrences could result in an overly punitive penalty, while still providing a strong incentive to achieve full compliance with gas safety regulations. This same cap provision is included in other metrics for New York utilities – most recently in Con Edison's Joint Proposal resolving its base rate proceeding in Case 19-G-0066.[85] Staff has not articulated a reason for treating the Companies differently. Rather, given the

[85] Cases 19-G-0066, *Consolidated Edison Company of New York, Inc*., Joint Proposal, dated October 16, 2019, Appendix 17, Page 6 of 9.

Companies history of performance improvements in this area under the current metric, Staff cannot be heard to argue that removing the cap is needed as an additional performance incentive. Because removing the cap for field audits is overly punitive, is not justified based on the Companies' performance against this metric and would treat the Companies differently from other New York utilities, Staff's proposal should be denied.

B. Forecasts for Safety Programs - Plastics Fusion QA/QC, Enhanced Contractor Inspection Program (FTE), Low Pressure Main – Valve Program, Buried Vent Lines Program, Enhanced High Emitter Methane Detection Program (funding in rates or as pilot)

1. Forecasts for Safety Programs - Plastics Fusion QA/QC

Staff initially recommended a downward adjustment to the capital forecast for this program in the amount of approximately $0.25 million for KEDNY and $0.31 million for KEDLI. Following the Companies' update to include capital labor costs for program that were inadvertently excludes from the original forecast, Staff now supports the total budget of $3.25 million for KEDNY and $0.974 million for KEDLI. Staff IB at 107.

2. Enhanced Contractor Inspection Program (FTE)

The Companies and Staff support this program to deploy additional safety and compliance inspectors to oversee contractor work and, importantly, enable a 1:1 ratio of contractor crews to inspectors. To maintain that 1:1 ratio, the Companies have identified the number of inspectors/FTEs needed to oversee an expanding capital portfolio. While supporting the program, Staff proposes a five percent reduction based solely on the Companies' response to a discovery request in which they explained there may be occasions during the construction season where a small percentage of their time would be dedicated to other work-related activities:

> 3. Will any of the FTE's be performing tasks other than that of certifying compliance pursuant to the Commission's pipeline safety regulations? If so, what other tasks will be performed, e.g., inventories, purchasing of job-related

> items, logistics, etcetera? What percentage of the FTE's time would be utilized for these other tasks?'
>
> [Companies' Response] The primary purpose and functions performed by the requested Contractor Oversight Supervisor(s) and Inspector(s) will be to perform the identified functions responded to in question 1. There may be occasions, where the workload is light, that the supervisors and inspectors may perform functions outside of their normal duties. The Company estimates these FTEs may perform such duties approximately 5% of their time. [Exhibit 481 (DPS-676, p. 106]

The Companies are describing a very reasonable approach to ensuring their workforce is fully utilized. The obvious flaw in Staff's proposed five percent adjustment is that the Companies would not have a full complement of safety inspectors for the vast majority of time needed maintain the 1:1 ratio to oversee contractor crews – which frustrates the entire purpose of this program. For this reason, the Companies do not agree with Staff's five percent reduction in the FTEs to staff this important safety initiative.

3. Low Pressure Main – Valve Program

Staff supports this program but recommends that it be removed from the capital budget and instead funded using gas safety negative revenue adjustment. Staff IB at 109. The Companies support using negative revenue adjustments to fund gas safety initiatives under the right circumstances but identified several reasons why the Low Pressure Valve program is not a good candidate, including that (i) this is an ongoing capital program that will require future investment to ensure the valves remain operational, and (ii) the long-term nature of this program does not lend itself to being funded through the limited pool of NRAs. Tr. 3827, lines 9-20. For these reasons, this program should be funded through rates and NRAs should be reserved for discrete safety programs.

4. Buried Vent Lines Program

The Companies have identified additional instances of buried vent lines following the implementation of its inside service inspection program that commenced in 2017 (Tr. 3826-27, lines 17-21 and 1-6) and are now proposing a targeted program to address these conditions by re-routing the affected vent lines. This is a reasonable approach that will advance public safety – and Staff does not question that the Companies should be performing this work. In arguing that the Companies' shareholders should bear these costs, Staff's initial brief cites the regulations regarding external corrosion controls (16 N.Y.C.R.R., §255.461) – which do not support the Staff's conclusory position that the Companies should have "identified the buried vent lines as required by the regulations." Staff IB at 232. Staff offers no other support for the position that the Companies' violated the Commission's regulations or failed to follow prudent utility practice. Because the Staff's position lacks clear support to deny recovery of these costs, this adjustment should be rejected.

5. Enhanced High Emitter Methane Detection Program (Funding In Rates Or As Pilot)

Staff supports the Companies' program to deploy mobile CRDS technology to prioritize repair of high emission leaks. Staff does not support the Companies' proposed addition of one FTE to support this program (Tr 4115-4116) and that the methane leak pilot program should be incorporated into the Companies' R&D program (Tr. 4117). Staff acknowledges it had not reviewed the R&D budget to determine if there is available funding.

> Q. Sure. Did the panel review the company's research and development rate allowance to determine whether there was sufficient funding for this program?
>
> A. No. Those rate expenses were not specifically reviewed. (Tr. 4192)

It is not reasonable to support an incremental program but oppose the minimal resources needed to deliver it. Given the support for the leak detection program by Staff and EDF, the Companies believe the program should be funded in rates.

C. NYC Local Law 152 ("LL152")

The Companies and Staff agree that the requirements of LL152 do not align with the Companies' inspections obligations and, therefore, the Companies' Inside Service Line Inspection Program for the Rate Year will be conducted independently. The Companies support efforts to align these inspection programs to enable more efficient inspection - but that is not currently the case and the law is not expected to change anytime soon. At the hearing, Staff acknowledged they are not aware of any forthcoming changes to LL152 in the Rate Year and that there is no basis to treat the Companies' rate allowance as a placeholder (as originally proposed in testimony). Tr. 4184, lines 8-18. For these reasons, Staff's proposal that the rate allowance for this program should be considered a placeholder is not appropriate.

D. Methane Detector Deployment

The Companies and Staff support the Residential Methane Detection Program. The Companies generally support Staff's recommendation that the Companies target RMD deployment to customers with room meter sets, low income customers, multi-unit dwellings, and customers served by cast-iron piping, as well as annual reporting describing the Companies' deployment strategies and program costs.

E. Inside Meter Relocations; Inactive Accounts

The Companies agree with the safety benefits of relocating meters from inside to outside (Tr. 3836-39), and that relocating meters when crews are on site to replace or relocate gas service presents an opportune time to perform this work. However, Staff fails to adequately address the

KEDNY is not able to make specific commitments regarding meter relocations because NYC Department of Buildings ("DOB") requirements preventing KEDNY from performing the meter relocation work proposed by Staff. Tr. 3838, lines 10-11. The parties must work together to develop a reasonable set of work practices that will enable meter relocations without unduly burdening the Companies and customers.

With regard to inactive accounts, the Companies' proposal to achieve a 30-day process over a two-year period will expedite the entire process. Tr. 3825, lines 1-3. Staff supports this proposal as a "step in the right direction." Staff IB at 239. Regarding meter locations, the Companies' Initial Brief discusses at length their significant efforts to relocate inside meters and address obstructed meters. Companies' IB at 258-261.

F. Service Line Inspections

The Companies and Staff are generally aligned on efforts to support service line inspections, including coordinating inspection with other work and utilizing non-access penalty provisions in the tariffs to gas access for inspections. Tr. 3822, lines 9-21. As stated in their initial brief, the Companies will consider using penalties to offset the costs of the Inside Service Line Inspection Program.

G. Use of NRA Balances

The Companies support using a portion of the deferral balances to fund discrete safety efforts – such as the Residential Methane Detector Program and the Incremental I&R Control Line Survey and GPS Program. The Companies maintain that the other proposed safety initiatives in this case, which include capital investments and enduring programs, are best funded through rates. The safety-related NRA deferrals should be maintained for future investment in gas safety programs.

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics; Performance Measures In A One-Year Case

The Companies' Initial Brief (at 263-269) fully addresses why the Commission should deny Staff and UIU proposals to impose a Customer Service Quality Program ("CSQP") in a one year litigated case and to impose more stringent targets for PSC Complaint Rate, Customer Satisfaction, Telephone Response Rate, and Adjusted Bills.

Staff asserts a CSQP is put in place to provide earning adjustments related to the quality of service and satisfaction a company provides its customers. Further, Staff asserts "[t]his mechanism is currently in place in both KEDNY and KEDLI, as well as most other major, investor-owned utilities in New York State." Staff IB at 239. Staff's assertion is misleading. Staff fails to acknowledge that every major electric or gas utility with a CSQP in New York State, including KEDNY and KEDLI, is subject to a multi-year negotiated rate settlement.

Further, Staff and UIU's initial briefs are devoid of any mention of the fact that the current metrics are measured on a calendar year basis, and this case will not result in a Commission order until six or seven months into the calendar year, and thus, imposing metrics with new targets would be impracticable and inappropriate. Even if the proposed new metrics commence with the Rate Year on April 1, 2020, imposition of metrics with new targets three or four months into the Rate Year would nevertheless be inappropriate. Staff or UIU say nothing about the challenges of imposing new more stringent targets on a retroactive basis, without the benefit of the full year to manage resources appropriately, which is patently unfair, impracticable and unnecessarily punitive. As discussed in the Companies' Initial Brief, it is the Companies position that no metrics should be imposed, but if the Commission were to hold otherwise, the Companies submit that the

targets should continue as they currently are under the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.

1. Staff And UIU's Proposals To Increase Service Quality Targets In Response To Meeting Or Exceeding Performance Levels Is Punitive And Based On Their Flawed Interpretation Of Regulatory Policy

As discussed more fully in the Companies' Initial Brief, Staff and UIU both acknowledge that the Companies have provided good performance, and that there is no evidence to suggest the Companies will not continue to do so during the Rate Year.

Notwithstanding, Staff and UIU continue to advocate for a CQSP and more stringent targets for PSC Complaint Rates, Customer Satisfaction, Adjusted Bills, and KEDLI Telephone Response Rate. Staff asserts updates to make targets more stringent, are necessary to "ensure they remain relevant and incent the Companies to provide, at the least, satisfactory customer service and satisfaction as historically approved by the Commission in various proceedings and rate cases." Staff IB at 243. Again, references to service quality programs and targets adopted in negotiated multi-year rate case settlements are inapposite in the instant case. Both Staff and UIU acknowledge the *National Fuel Gas* case, where the Commission declined to require Negative Revenue Adjustments ("NRAs") for service quality metrics in a one-year litigated case based on National Fuel's past good performance, which the Commission concluded provided sufficient comfort to allow the company to operate without additional revenue adjustments based on targeted performance.[86] UIU IB at 36; Staff IB at 216. Staff and UIU fail to demonstrate why the Commission's approach in *National Fuel Gas* is not directly applicable in the instant case, where KEDNY and KEDLI have a history of good performance, and further, where Staff and UIU have

[86] *See* Case 16-G-0257, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corp.*, "Order Establishing Rates for Gas Service" (issued and effective April 20, 2017) ("National Fuel Gas").

testified that there is no evidence at this time to suggest the Companies would miss any of the service quality targets during the Rate Year. Tr. 1567, lines 2-4; Tr. 1821, lines 11-18.

UIU advocates for more stringent targets based largely on Mr. Collar's "principle that customers are entitled to an evolving level of high-quality customer service." UIU IB at 38. UIU's recommendations for an "evolving level of high-quality service" amounts to an essentially arbitrary standard that cannot be reconciled with the plain language of the PSL (*i.e.*, specifically, PSL §65 Subd. 1, requiring "safe and adequate service"). Similarly, Staff's continuing references to the oblique standard of "satisfactory performance" are not supported by the Commission's regulations or the PSL. As noted, *supra*, the appropriate statutory standard set forth in the PSL is safe and adequate service, and no evidence has been adduced to suggest the Companies are providing anything but safe and adequate service, or that the Companies' good performance on customer service quality metrics will not continue throughout the Rate Year. As more fully discussed in the Companies' Initial Brief, recommendations that go beyond a utility's obligation to provide safe and adequate service, should be rejected outright, particularly in the context of a one-year litigated case.

2. The Proposed Changes To The Metrics Are Unreasonable And Should Be Rejected

a. PSC Complaint Rate

The Companies' have already fully addressed Staff and UIU proposals to adjust KEDNY and KEDLI PSC Complaint Rates. Companies' IB at 270-272. In its initial brief, UIU challenges Staff's approach of using the most stringent target currently in use at a New York utility as tantamount to setting a floor on the target based on a "statewide standard." UIU IB at 40. UIU asserts that no such standards should be established absent "a statewide proceeding through the development of an evidentiary record." *Id.* Consistent with the Companies' assertions in

testimony and its Initial Brief, UIU further acknowledges "the majority of these standards have been established in individual negotiated utility rate cases." *Id.* UIU's argues for a departure from Staff's approach, advocating instead for UIU's proposed "evolving level of high-quality service", which inevitably, would become unachievable and too costly to support. As discussed in the Companies' Initial Brief, even though Staff and UIU recommend different targets, both recommend more stringent targets. More importantly, neither Staff nor UIU has adduced any evidence to suggest that it is necessary to make current targets for PSC Complaint Rates more stringent in order to provide customers with safe and adequate customer service

a. Customer Satisfaction

The Companies' Initial Brief already details why the Commission should deny Staff and UIU proposals to adjust KEDNY Customer Satisfaction targets, and Staff's proposal to adjust KEDLI's customer satisfaction targets. Companies' IB at 272-273. UIU does not propose any changes to KEDLI's customer satisfaction target.

b. Telephone Response Rate

Staff previously acknowledged that applying their typical methodology to KEDNY's Telephone Response Rate would result in a less stringent target for KEDNY, an approach Staff rejects in favor of recommending KEDNY's Telephone Response Rate be kept at the current level of greater than or equal to 60.6 percent. Tr. 1469, lines 3-6. For KEDLI, Staff's initial testimony recommended changing the Telephone Response Rate from greater than or equal to 62.2 percent to greater than or equal to 65.8 percent. Tr. 1469, lines 7-10.

Staff's initial brief discusses KEDNY and KEDLI efforts to implement technology improvements to call center operations – acknowledging that these improvements have not yet been implemented. Staff IB at 242. Staff asserts that the Telephone Response Rate metric and

implementation of call center technology improvements are within the Companies' control. Staff also acknowledges, that these improvements were intended to mitigate the impact of external factors on call center operations. *Id.* Notwithstanding, after acknowledging that the Companies have not yet implemented technology improvements, "Staff recommends no change in this metric at this time." *Id.* Based on these assertions, the Companies view Staff's initial brief as withdrawing Staff's earlier proposal to modify Telephone Response Rate for KEDLI.

UIU, however, continues to advocate for more stringent targets for KEDLI call center operations. UIU IB at 38. UIU's recommendations for a more stringent Telephone Response Rate for KEDLI is based on UIU's essentially arbitrary standard of an "evolving level of high-quality service" that is without foundation in the PSL or the Commission's regulations, and thus, should be rejected in favor of the existing target, should the Commission determine Telephone Response Rate targets are necessary in this case.

c. Adjusted Bills

The Companies' Initial Brief already details why the Commission should deny Staff and UIU proposals to adjust KEDNY and KEDLI Adjusted Bills targets. Companies' IB at 275. Neither Staff nor UIU has produced any evidence to suggest existing Adjusted Bills targets are not sufficient to ensure safe and adequate service, and thus, Staff and UIU proposals to make the targets more stringent should be rejected in favor of the existing targets, should the Commission determine Adjusted Bills targets are necessary in this case.

B. <u>Terminations/Uncollectible Incentive Mechanism</u>

Staff's initial brief maintains their prior recommendations related to the Companies' existing Terminations and Uncollectible Incentive Mechanism. Staff recommends restructuring the mechanism to include an arrears component to purportedly ensure the efficacy of the mechanism and find alternatives to service terminations. Staff IB at 249. Under Staff's proposal,

the Companies would only be able to earn the full positive revenue adjustment if all three measures within the mechanism are met, and a partial positive revenue adjustment if only two of the measures are met. *Id.* Staff proposes to update the threshold for the metric using the last three calendar years of data (2016, 2017, and 2018) for the average target with one standard deviation removed for the threshold target for both Companies. *Id*. Staff supports keeping the positive only revenue adjustment and does not support application of a negative revenue adjustment for this mechanism. *Id.* at 250.

AARP, PULP, and UIU also argue that an arrears component should be added to the Terminations and Uncollectible Mechanism. AARP IB at 7; PULP IB at 31-33; UIU IB at 42-44. However, unlike Staff, AARP, PULP, and UIU continue to assert that the mechanism should contain a negative revenue adjustment, as well. *Id.* AARP, PULP, and UIU also argue that the PRA targets should use two standard deviations for the threshold and that the targets should be updated prior to the recommendation decision. *Id.*

The Companies' Initial Brief details why inclusion of a residential arrears component in the Terminations and Uncollectible Incentive Mechanism is inappropriate. Companies' IB at 278-81. Specifically, such a proposal disregards applicable, customer-driven external factors driving arrears, which are largely beyond the Companies' control. *Id.* The proposal also makes faulty and unsupported assumptions that these external factors will change and/or the Companies will have more control over customer behavior in the Rate Year. *Id.* This is simply untrue and belied by the Companies actual experience in this area. Additionally, if adopted, Staff's proposal would disproportionately weight the individual metrics, specifically the terminations metric, such that the full positive revenue adjustment could only be achieved if the Companies met all three components of the metric. *Id.* Such a proposal fails to recognize that certain components of the metric, namely

terminations and arrears, are fundamentally in opposition to one another and actually bear an inverse correlation. Positive revenue adjustments should be meaningfully based on reasonable, but potentially achievable, performance targets. Under Staff's proposal, the Companies would not be able to achieve the full positive revenue adjustment despite their best efforts. Accordingly, the proposal to include an arrears component in the mechanism should be rejected as it would not set a targets that are reasonable or potentially achievable for the Companies.

With respect to the modifications proposed to how the targets are calculated, the calculations provided by the Companies are reasonable, include relevant data, and appropriately represent external factors that will affect the targets in the Rate Year. *Id.* at 277-78. Use of different periods may artificially flatten the effect of external variables and include data no longer applicable to the Companies' operations. *Id.* As such, the Companies believe that the normalized five and four-year averages proposed by KEDNY and KEDLI, respectively, will provide the most accurate representation of the Rate Year and should be used to establish the targets in this case. Further, use of two standard deviations, as proposed by AARP, PULP, and UIU, will not provide "true stretch goals" as it would set targets that are not reasonable or achievable, regardless of the Companies' best efforts to "stretch" performance in this area. *Id.* at 289. Additionally, PULP's attempt to draw a corollary between its proposal herein and Staff's proposal in the 2017 NMPC Rate Case is misguided. While Niagara Mohawk may have common collections practices with KEDNY and KEDLI, the service territories, customer demographics, and arrears composition of the three companies are markedly different. Thus, application of a Niagara Mohawk-based recommendation would not appropriately fit KEDNY or KEDLI, just as a recommendation of this nature for Con Edison would not be appropriate for RG&E. Therefore, the Commission should reject the proposal to use two standard deviations to calculate the threshold targets for the metric.

Finally, neither the Companies nor Staff support PULP's proposal to include a negative revenue adjustment to the Terminations and Uncollectible Incentive Mechanism. As noted in the Companies' Initial Brief, the Commission has only approved positive revenue adjustment mechanisms in this area for other utilities in the State, with the exception of the Companies' affiliated company Niagara Mohawk, which agreed to a negative revenue adjustment as part of a multi-year rate case settlement. In discussing Niagara Mohawk's negotiated Joint Proposal, PULP specifically acknowledged, "here we are in a litigated case and – and it's a different world." Tr. 1699, Lines 15-17. No other utility in New York has a negative revenue adjustment, and there is no basis within the record to treat the Companies inconsistently. *Id.* at 280. Therefore, the Commission should reject PULP's proposal to include a negative revenue adjustment to this mechanism.

C. Credit/Debit Card Payments and Fees

Staff in their initial brief continues to recommend a downward-only reconciliation mechanism and a per-transaction fee limit of $2.25. Staff IB at 251. Staff's recommendation is misguided. Staff specifically acknowledges that the existing $2.25 fee only applies to a subset of existing transactions, *i.e.*, those below $600. Tr. 1578, lines 12-16. Staff also expressly acknowledges that the existing fee for transactions between $600 and $1,200 is $4.50 per transaction. Tr. 1578, lines 8-11. Notwithstanding, Staff's initial brief reaffirms their position that the per-transaction fee should be limited to $2.25, despite acknowledging that transactions for greater than $600 currently incur a fee of $4.50. Staff provides no analysis or study, or any other evidence to support its essentially arbitrary recommendation for a $2.25 per-transaction fee limit. Staff simply ignores the established fact that existing transactions above $600 incur a fee of $4.50, asserting "we're hoping that the cost would be lowered." Tr. 1579, lines 7-8. Staff's "hoping" for

a per-transaction fee limit of $2.25, is arbitrary and capricious, and lacking in substantive or other justification. Indeed, Staff's Initial Brief specifically acknowledges "volatility in transaction costs." Staff IB at 252. As Staff notes, since 2017, NYSEG and RG&E have experienced widely varying transaction costs between $2.01 and $7.79 and $1.84 and $10.19, respectively. Again, Staff provides no meaningful justification for why the Company should bear the substantial risk of imposing a no-fee model, in the absence of an appropriate two-way reconciliation mechanism.

PULP asserts in its initial brief that it "supports the 'socialization' of credit/debit card payments such that customers paying their bills via a credit or debit, or EBT card are not charged fees." PULP IB at 33. However, the concept of "socialization", requires such fees be spread among the general population of ratepayers. Staff's proposal, capping the transaction fees at an arbitrary $2.25 would unreasonably restrict the Companies' ability to socialize the actual credit card costs, and further, would eliminate the means to reconcile under or over recovery of these costs – which would be necessary to socialize credit card costs among ratepayers, as PULP suggests.

As more fully discussed in the Companies' Initial Brief, the Commission should deny Staff's proposal for a no-fee model with an arbitrary and unrealistic $2.25 per-transaction fee limit and a downward-only reconciliation mechanism that imparts all of the risk on the Companies.

D. Collections

The Companies' Initial Brief fully addresses PULP's extensive list of new proposals relating to customer services, which for the reasons stated therein, and in the sections that follow, should be rejected in this case. Given the breadth of PULP's proposals, certain of these issues are discussed by PULP in multiple places, including Sections XI D, E and F, and Section XII G.

PULP's extensive list of customer service-related proposals includes, among other things, new secure customer web portals; access to six years of detailed billing data through an e-billing portal which does not currently exist; access to "abeyance amounts" that are more than six years old; new IT applications to track public assistance status of customers and reports to customers in "real time" through said non-existent e-billing portal; provision to customers of detailed reconciliations of all transactions between HRA/DSS and the Companies' pertaining to the customers grants, assistance, and "abeyances" – identifying any contemporary or historic reconciliation transactions that require follow-up; additional telephone outreach to customers regarding utility guarantee benefits provided by HRA/DSS and assistance status; provision of summaries of discussions between call center operators and customers, granting of automatic thirty-day extensions and suspension of collections for customers whose benefits status ends, an extension period of ninety days to customers with reconciling transactions between HRA/DSS and the Companies; new mailings to customers regarding these transactions, engagement with new "specially designated Company personnel" to such benefits-related transactions, during all of which PULP suggests collections actions should be suspended. *See* Tr. 1678-1680.

The extensive list of program and system changes proposed by PULP, along with the required IT infrastructure, e-billing portal, secure customer web portal, and new applications to interact with governmental agencies, have no place in a one-year litigated case. This is especially true where, as in this case, the Rate Year is expected to occur over an eight or nine month period. PULP's extensive programmatic and system changes are impracticable, if not impossible, in the context of a one-year case, and would traditionally only make sense in the context of a multi-year rate case settlement, and generally as part of a more cohesive set of proposals to upgrade IT infrastructure necessary to enable these types of programmatic changes. Indeed, it was PULP's

original proposal that "[m]ost of the above recommendations can and should be incorporated into the Companies' proposal in these proceedings to upgrade or replace their CRIS and CSS systems." Tr. 1680, lines 3-4. While acknowledging that the CIS project would be a suitable platform that would provide the opportunity to consider PULP's proposals, PULP suggests these efforts should not be allowed in this rate proceeding due to the conjoined public health and economic crises. PULP IB at 15. Given the limited time and enormous practical challenges associated with PULP's proposals, coupled with PULP's concerns about the appropriateness of undertaking such efforts during the ongoing public health emergency, the Commission should deny PULP's extensive list of new customer service-related proposals.

The Companies' Initial Brief already addresses Staff's recommendation to provide additional detail on the customer complaints and inquiries relating to electronic DPAs, which the Companies believe would be redundant to information already available to Staff and the Commission.

With regard to KEDNY's DPA process, PULP's initial brief asserts concerns with the workings of the existing processes for handling affordable DPAs. PULP IB at 35. However, under this longstanding process, KEDNY customers can submit a standard DPA via mail, or they can utilize any of the Company's multiple walk-in customer offices to provide the necessary documentation to support their need for more affordable DPA terms or to renegotiate the terms of existing DPAs. PULP suggests this process poses an undue burden on the customer's ability to obtain an affordable DPA. PULP IB at 34. PULP's reasoning for this conclusion ignores the testimony of the Companies' Shared Services Panel, wherein the Companies' witness explained that where the existing process poses a hardship, KEDNY would work with customers through a manual process, and where customers require additional assistance with submitting required

documents for an affordable DPA, KEDNY utilizes the Customer Advocate team to assist customers with the process. Tr. 1242-43, lines 24-25, 2-3.

More importantly, PULP fails to acknowledge KEDNY efforts to change this longstanding practice to enable both electronic-DPAs and to add further options for customers to submit documentation necessary for an affordable DPA. As noted by the Companies' Shared Services Panel, "we're working through a process right now whereby if the contact center sends the customer [the] income and expense form the customer can return that to our account maintenance operation." Tr. 1245-46, lines 23-25, 2-3. PULP's demands for changes to address what they describe as a "failing of the KEDNY's computer systems"[87] are impractical and unnecessary in light of the Company's efforts to implement electronic DPAs and new processes to enable additional options for customers to enter into affordable DPAs.

E. Customer Service Enhancements: Creation of Customer Portal

As discussed in Section D, *supra,* and in the Companies' Initial Brief, PULP's proposals in this case for an extensive list of new customer service-related enhancements and creation of a secure customer web portal, should be denied.

F. Outreach and Education; Reporting

As discussed in the Companies' Initial Brief, the Companies oppose being required to implement costly forms of incremental outreach and education (bill inserts, letters, etc.), without proper provisions for cost recovery. Staff asserts in their Initial Brief that the Companies could use low-cost outreach options, such as bill messaging, websites, and customer emails within its existing outreach budget for the expanded customer education. However, Staff's Initial Brief is not consistent with Staffs' testimony, which specifically references bill inserts and letters, which

[87] PULP IB at 35.

can result in substantial incremental costs for printing and postage. As discussed in the Company's Initial Brief, due to the intuitive nature of the message, the Companies do not believe any incremental outreach or expenditures should be required. However, if the Commission determines otherwise, the Commission should clarify that any such outreach be limited to low-cost, digital channels (bill messages, websites, and customer emails), as suggested in Staff's Initial Brief.

G. Economic Development Programs

1. Staff And The Companies Generally Agree On The Companies' Proposed Economic Development Grant Programs

Staff proposed a number of modifications to the economic development programs the Companies initially proposed in this case, and the Companies' rebuttal testimony indicated agreement on virtually all of Staff's proposals. However, as noted in its initial brief, Staff still does not agree the Companies' proposed two-way deferral mechanism that would enable the Companies to recover their costs in the event the expanded economic development programs Staff proposed exceed program funding. To ensure that the Companies have the proper incentive to maximize eligible customer participation in the expanded programs, a two-way deferral should be established. This would protect customers from paying more than the programs cost, and protect the Companies from negatively impacting earnings if participation in the expanded programs exceeds program funding.

XII. LOW INCOME PROGRAM

A. Calculating Discounts And Eligibility

The Companies and Staff agree that the Commission should reject NYC's proposals to modify low income bill discount discounts in these cases, and that the Commission's policy of a generic statewide approach should continue, including opportunities to refine the existing

programs in the ongoing affordability proceeding, Case 14-M-0565.[88] As noted in Staff's Initial Brief, Staff has already submitted supplemental testimony providing the Companies' EAP program updates for calendar year 2020, which increased the discounts for both Companies, and are more in line with NYC's proposed discounts. The Companies' Initial Brief already fully addresses other elements of NYC, PULP and AARP recommendations and proposals to modify the Companies EAP, which the Companies believe should be addressed in the context of the generic affordability proceeding and not in this case.

B. Budget And Low Income Program Offerings

As discussed in Section XI D, *supra*, and in the Companies' Initial Brief, the Commission should deny PULP's recommendation to provide six years of billing data and details on public assistance benefits via an e-billing portal. In Staff's Initial Brief, Staff agrees, noting they were unconvinced by PULP's lack of support showing six years of billing data would benefit customers. *See* Staff IB at 258. Further, consistent with the Companies' concerns about the potential cost of PULP's proposal, Staff expresses concerns regarding the cost impacts of providing and maintaining such data for every customer. *Id.*

Staff and the Companies agree that responsibility for tracking of customer public assistance benefits should lie with the New York State Office of Temporary and Disability Assistance, the NYC Human Resources Administration, or the County Department of Social Services, *i.e.*, the agencies with responsibility for administering these programs. *Id.*

[88] *See C*ase 14-M-0565, *Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Programs*, "Order Adopting Low Income Program Modifications and Directing Utility Filings" (Issued and Effective May 20, 2016) (the "Low Income Order").

C. Reconciliation

No party has proposed changes or opposed the Companies' proposal to continue the current reconciliation mechanism.

D. Reporting Requirements

No party has proposed changes to the current quarterly reporting requirements established for the EAP in the Low Income Order.[89]

E. Request for Additional Full-Time Equivalent Employee for Energy Assistance Program Participation

No party has objected to the Companies' request to add one-half of an FTE to support the EAP. PULP proposed the addition of an additional one-half FTE dedicated to increasing KEDLI EAP participation, which would result in the addition of one full FTE to support the EAP. AARP supports PULP's proposal. AARP IB at 8. The Companies support the addition of an additional one-half FTE as proposed by PULP but believe the resource should not necessarily be dedicated exclusively to increasing KEDLI EAP participation rates. As a practical matter, the Companies believe the additional resources should be managed by the Companies in a manner that best supports both EAP programs, particularly in light of the size of the respective programs. In its Initial Brief, Staff asserts that while they would like to see an increase in KEDLI's EAP participation, PULP has not provided any evidence showing that an additional one-half FTE, as proposed by PULP, would actually accomplish this. Staff IB at 259. Notwithstanding, Staff does support the proposal to add one full FTE, "dedicated to the EAP at both Companies," asserting "this additional resource would be beneficial to the *Companies*' EAP enrollment." (*emphasis added).* Staff IB at 258. This is consistent with the Companies' position, that the Companies be

[89] Low Income Order, page 39.

allowed the flexibility to utilize the incremental EAP resources in a more balanced manner that best supports EAP efforts across both KEDLI and KEDNY.

F. Increasing EAP Participation (KEDLI); Outreach And Education; EAP Assistance To High Usage Residential Customers; Increasing HRA/DSS File Matching

The Companies' Initial Brief already fully addresses NYC, PULP and AARP recommendations to expand or change the EAP enrollment process previously approved by the Commission in the generic affordability proceeding, Case 14-M-0565. Further, the Companies have fully addressed PULP's extensive customer service-related proposals and requests to create comprehensive measures to manage customer assistance, which the Companies maintain should be the responsibility of government agencies providing the benefits, and not the Companies. As discussed, *supra*, Staff agrees with this position, recommending that responsibility for tracking of customer public assistance benefits should lie with the agency providing the benefits. Staff IB at 258.

Staff asserts that this issue (*i.e.*, KEDLI EAP participation), includes a more robust file matching process between the counties and/or NYS Office of Temporary and Disability Assistance ("OTDA") be addressed in Phase Two of the generic affordability proceeding, Case 14-M-0565. Staff IB at 259. The Companies agree with this position. File matching between OTDA affects multiple utilities throughout New York State, and while the Companies remain open to working with OTDA to enhance the existing processes in the context, the proper forum for these efforts is the generic affordability proceeding and not this case. For these reasons, PULP, AARP and NYC proposals seeking to enhance KEDLI EAP file matching and EAP participation by working with OTDA are more appropriately handled in the generic proceeding, and not in this case.

NYC previously recommended that file matching frequency with NYC's HRA be increased from twice a year to four times a year (*i.e.,* quarterly). Tr. 5373, lines 1-2. The Companies disagreed with NYC's proposal, based on the belief that the frequency of file matching will have little, if any, impact on the total number of customers enrolled, because each file match has the potential to remove customers as well as add them. NYC provided no evidence to refute the Companies' assertion that increasing the frequency of file matching would only serve to increase administrative costs with the HRA file matching process, without providing any discernible benefits for customers. In its Initial Brief, Staff agrees with the Companies' position, noting that NYC did not reasonably justify the increased costs to implement quarterly file matching. Staff IB at 259.

G. Customer Balance Transfers: Notice Requirements; Payment Extension; Suspension of Collections; Customer Dispute and Negotiation Protocols

As further discussed in Section XI D, *supra,* and in the Companies' Initial Brief, PULP's proposals restricting the Companies' ability to engage in balance transfers, requiring automatic payment extensions and suspension of collections, and proposals to have the company track and provide six or more years of customer billing data, should be denied. PULP's proposal in their Initial Brief calling for an immediate suspension of any balance transfers in light of dramatic economic effects posed by the health pandemic, are common to all utilities across New York State, and thus, are more appropriately handled outside of this proceeding, in the context of a generic proceeding affecting all similarly situated utilities. PULP provides no evidence, and nor does the Company believe there is any indicia whatsoever, to suggest that customers who apply for service are not already being properly handled in accordance with HEFPA-complaint processes to afford such customers affordable DPAs, including in instances where the applicant has a balance transfer from a prior account.

H. Elimination of Reconnection Fees For Energy Affordability Program Customers (KEDNY)

In NYC's Letter in Lieu of Brief, NYC continues to advocate for KEDNY to eliminate the existing reconnect fees for EAP participants. In the Rebuttal Testimony of the Companies' Shared Services Panel and the Companies' Initial Brief, KEDNY has already fully addressed why the Commission should deny NYC's proposal. Tr. 1200-1201. Staff's Initial Brief does not express a position on NYC's proposal, and Staff provides no evidence to support NYC's recommendation to eliminate KEDNY's reconnect fee for EAP participants.

I. Miscellaneous Customer Service Items – Enhanced Support for Building Energy Usage Reporting

No party to this proceeding has objected to the Companies' proposal to implement enhanced support for building energy usage reporting.

XIII. MANAGEMENT AUDIT COMPLIANCE

The Companies have no further comment on this issue. The matter was addressed at pages 308-310 of the Companies' Initial Brief.

XIV. CONCLUSION

For the foregoing reasons, the contested issues discussed herein should be resolved in the manner recommended by KEDNY and KEDLI. The record shows that many of the positions advocated by Staff and the parties are contrary to the record evidence, unreasonable, and would result in a revenue requirement that fundamentally fails to provide the Companies with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on their investments, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals.

Respectfully submitted,

*/s/Philip A. DeCicco*_____

By: Philip A. DeCicco
National Grid
One MetroTech Center
Brooklyn, New York 11201

S&P Global
Ratings

RatingsDirect®

COVID-19: The Outlook For North American Regulated Utilities Turns Negative

April 2, 2020

PRIMARY CREDIT ANALYST

Gabe Grosberg
New York
(1) 212-438-6043
gabe.grosberg
@spglobal.com

SECONDARY CONTACT

Kevin M Sheridan
New York
+ 1 (212) 438 3022
kevin.sheridan
@spglobal.com

Key Takeaways

- We are revising our assessment of the North America regulated utility industry to negative from stable.
- We expect that the utility industry will remain a high-credit-quality investment-grade industry.
- We expect that the industry's median rating, which is 'A-', could weaken to the 'BBB+' level.
- Prior to the coronavirus outbreak in North America about 25% of the utilities had a negative outlook or ratings that were on CreditWatch with negative implications.
- Additionally, many utilities with a stable outlook have minimal financial cushion at the current rating level.
- We expect COVID-19 will weaken the industry's 2020 funds from operations (FFO) to debt by about 100 basis points.

S&P Global Ratings acknowledges a high degree of uncertainty about the rate of spread and peak of the coronavirus outbreak. Some government authorities estimate the pandemic will peak about midyear, and we are using this assumption in assessing the economic and credit implications. We believe the measures adopted to contain COVID-19 have pushed the global economy into recession (see our macroeconomic and credit updates here: www.spglobal.com/ratings). As the situation evolves, we will update our assumptions and estimates accordingly.

S&P Global Ratings is revising downward its assessment of the North America utility industry to negative from stable. The North America utility industry consists of about 250 water, gas, and electric utilities. While we expect the sector to remain an investment-grade industry, we nevertheless project a modest weakening of credit quality within the industry. Credit quality had been gradually weakening prior to the COVID-19 outbreak with about 25% of companies on negative outlook or with ratings on CreditWatch with negative implications. We view COVID-19 as a source of incremental pressure and expect that the recession will lead to an increasing number of downgrades and negative outlooks. Currently, the median rating within the industry is 'A-' and over the next 12 months, we expect that the industry median could move to 'BBB+'.

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Credit Quality Was Weakening Even Before COVID-19

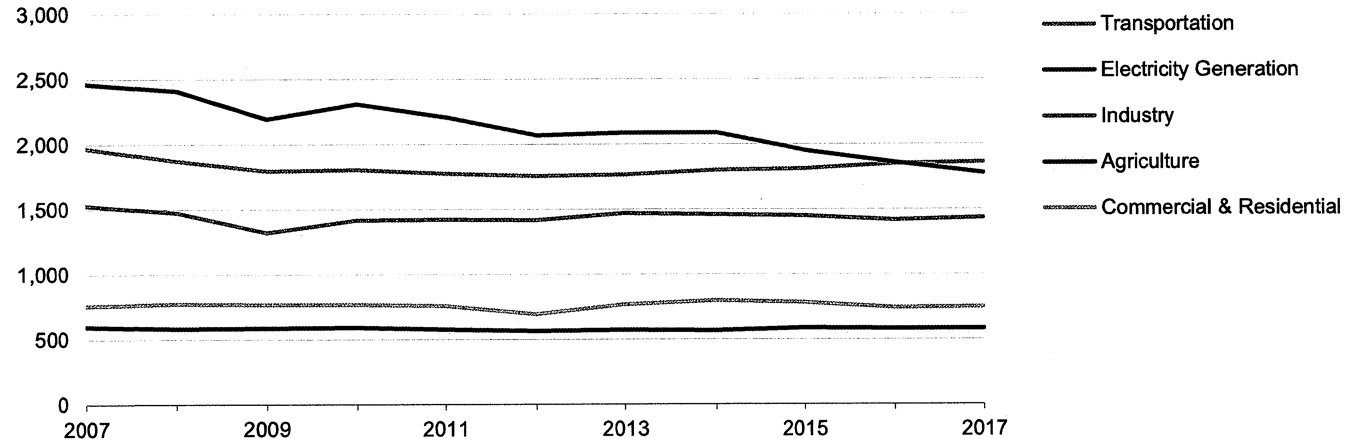
The North America regulated utility industry's credit quality was already weakening prior to COVID-19. This reflected companies' more consistent ability to manage credit measures closer to the downgrade threshold, leaving very minimal financial cushion at the current rating level. We generally view the industry's cash flows as more predictable and steady than most other corporate industries. Even so, unless a management team can proactively implement corrective actions, a utility with minimal financial cushion at the current rating coupled with an unexpected material event, typically results in a negative outlook or a downgrade.

The industry has faced many unexpected events and credit obstacles over the past two years. Some of these include safety (NiSource Inc.), wildfires (PG&E Corp., Edison International, and Sempra Energy), large capital projects (Southern Co., SCANA Corp., Eversource Energy, Duke Energy Corp., and Dominion Energy Inc.), utility acquisition (Fortis Inc., Emera Inc., ENMAX Corp., and NextEra Energy Inc.), and nonutility acquisitions (DTE Energy Co.). Each of these instances have either significantly reduced the prior cushion at the current rating level, triggered negative outlooks, or downgrades.

Also pressuring the industry's credit quality is the critical focus on environmental, social, and governance (ESG) factors. Over the past decade, the industry has done an outstanding job to significantly reduce its greenhouse gas emissions and reduce its reliance on coal-fired generation.

Chart 1

Total U.S. Greenhouse Gas Emissions By Economic Sector From 2007-2017
Million metric tons of CO2 equivalents



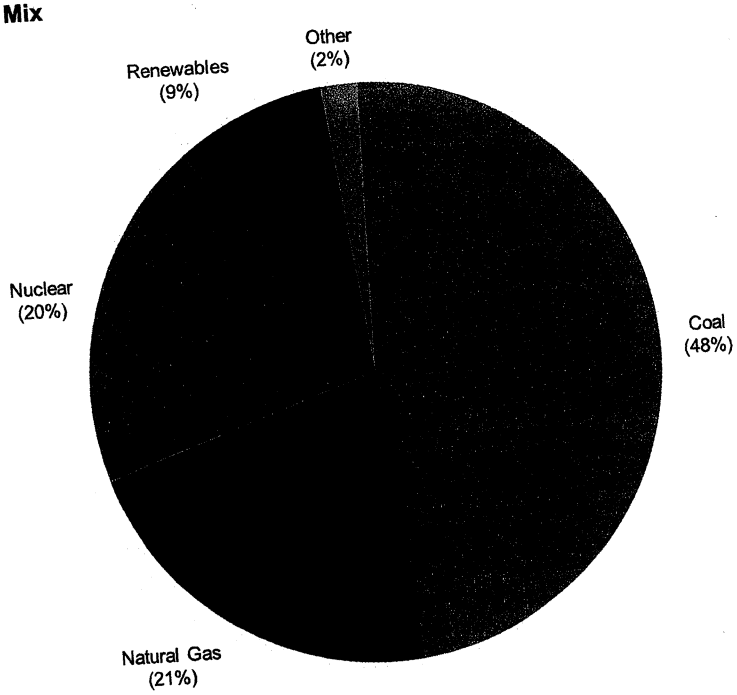
Source: U.S. Energy Information Administration.

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Chart 2

U.S. 2008 Generation Mix



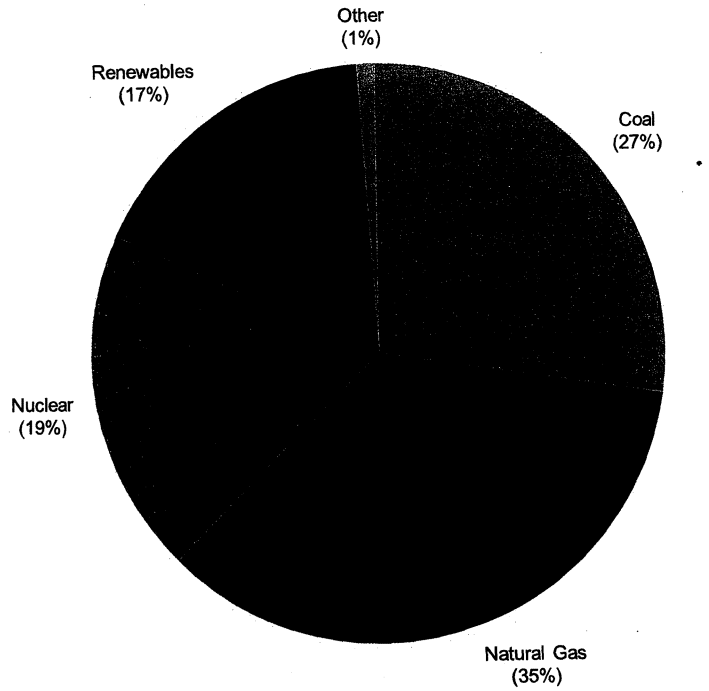
Source: U.S. Energy Information Administration.

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Chart 3

U.S. 2018 Generation Mix



Source: U.S. Energy Information Administration.
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However, there are individual companies such as American Electric Power Co. Inc., Ameren Corp., and Evergy Inc. that despite having long-term plans to reduce their reliance on coal-fired generation, will continue to rely heavily on that fuel source for the next decade, possibly pressuring credit quality.

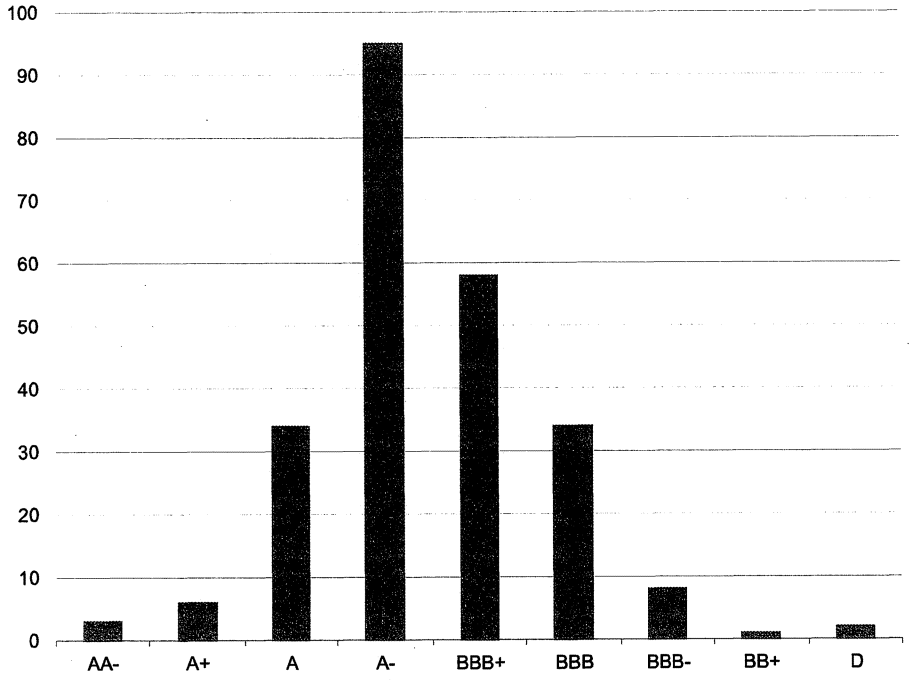
Rating Upgrades And Downgrades

Over the past decade, there have been generally more upgrades than downgrades in the sector. This has strengthened the utilities' credit quality since the financial recession and currently, the median rating within the industry is 'A-'.

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Chart 4

North American Regulated Utilities Ratings Distribution 2019



Source: S&P Global Ratings.

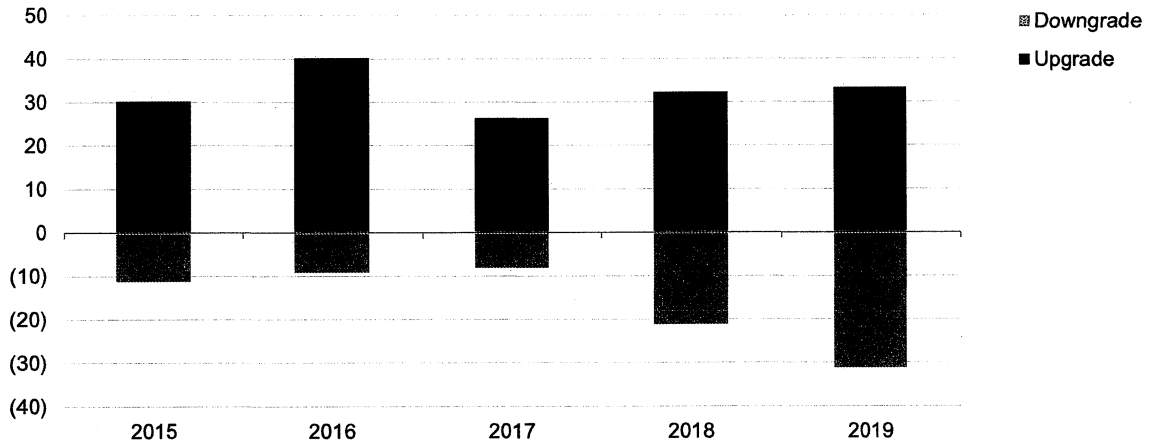
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When analyzing our rating upgrades and downgrades in the sector for 2019, even prior to COVID-19, we note a weakening of credit quality.

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Chart 5

North American Regulated Utilities Upgrades And Downgrades



Source: S&P Global Ratings.

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While 2019 may initially appear to be similar to prior years with upgrades outpacing downgrades at 33 to 31, the underlying analysis tells a different story. In 2019, about 60% of the upgrades were attributed to S&P Global Ratings' revised group rating methodology criteria. Under the revised criteria, we placed more emphasis on the regulation of a utility allowing for a subsidiary with effective regulation and with a stand-alone credit profile that is higher than its group to potentially be rated higher. Absent the revised criteria, downgrades would have outpaced upgrades by 30 to 13 in 2019. This is a clear indication that even before COVID-19, the credit quality of the North America regulated utility sector had weakened.

Operating With Minimal Financial Cushion

While many companies with a negative outlook such as Puget Energy Inc. have minimal financial cushion at their current rating level, many others with a stable outlook also have minimal financial cushion at their current rating level. Companies with a stable outlook and minimal financial cushion include Exelon Corp., ALLETE Inc., American Water Works Co. Inc., Edison International, AVANGRID Inc., DPL Inc., CenterPoint Energy Inc., and Madison Gas & Electric Co. As the financial effects of COVID-19 continue to take hold, we expect that even companies with stable outlooks may experience ratings downward pressure. This is another reason that underscores our assessment that the industry outlook has turned negative.

How COVID-19 May Affect The Sector

In general, we assume that the U.S. will experience more than a 12% contraction in GDP during the second quarter and estimate the pandemic will peak between June and August (Global Macroeconomic Update, March 24: A Massive Hit To World Economic Growth, March 24, 2020).

For the North America utility industry, we expect that COVID-19 will reduce the commercial and

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industrial (C&I) usage (North American Regulated Utilities Face Additional Risks Amid Coronavirus Outbreak, March 19, 2020). While some utilities will be able to offset some of the lower C&I usage through various regulatory mechanisms that include decoupling of revenues mechanisms and formula rates, many others will see a weakening of sales. Furthermore, as the recession continues to take hold, we expect bad debt expense will increase as it becomes increasingly more difficult for customers to pay their bills. While many utilities can defer these costs for future recovery, as these balances grow, historically we have seen incidents where utilities negotiate with their commission's to write off some of these costs as part of a larger agreement. Overall, we expect that these effects will result in a weakening of credit measures.

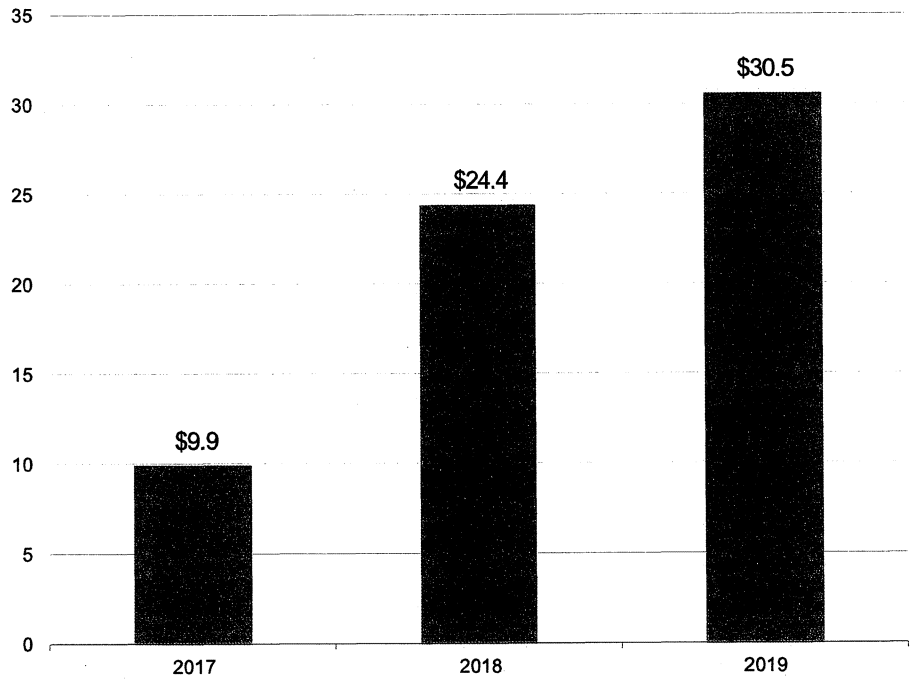
On a positive note, the industry continues to exhibit adequate liquidity and access to the debt markets, despite uneven performance of the commercial paper market for tier 2 issuers. The industry is benefiting from proactive risk management of establishing large credit facilities, having good access to additional liquidity through new term loans from banks, and public issuance of utility debt. These positive developments contrast to the last financial recession, when many utilities fully drew on their available credit lines and access to the banks or to the public debt market was effectively shut for many weeks.

Yet availability to the equity markets remains extraordinarily challenging. In 2019, the industry issued more than $30 billion in equity to preserve credit quality and heading into 2020 many companies within the industry assumed equity issuances as part of their financing plans. Given the industry's negative discretionary cash flow because of its high capital spending and lack of access to the equity markets, we expect that this will also lead to a weakening of credit measures.

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Chart 6

North American Regulated Utilities Equity Issuance In Billions



Source: S&P Global Ratings.

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Another area of concern are utilities that rely to various degrees on nonutility businesses that have commodity exposure (S&P Global Ratings Cuts WTI And Brent Crude Oil Price Assumptions Amid Continued Near-Term Pressure, March 19, 2020). These include OGE Energy Corp., CenterPoint Energy Inc., DTE Energy Co., Dominion Energy Inc., Public Service Enterprise Group Inc., NextEra Energy Inc., and Exelon Corp. While many of them are well hedged in the near term, volumetric risk and a longer-term weakening of commodity prices could have a material effect on their credit measures. Overall, assuming that the effects of COVID-19 is only temporary, we would expect that the industry's 2020 FFO to debt will weaken by about 100 basis points, consistent with our revised negative outlook for the industry.

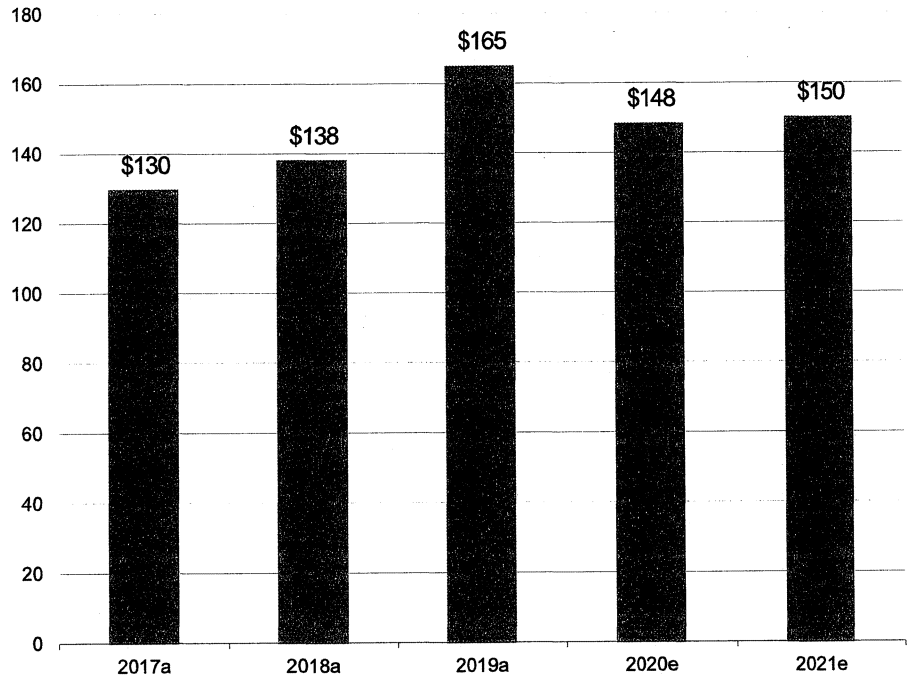
The Industry Has Levers

Depending on the severity of the recession, the industry has important levers that could mitigate some of the risks. This includes reducing capital spending and dividends. Currently, we estimate that 2020 capital spending will approximate $150 billion.

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Chart 7

North American Regulated Utilities Capital Expenditures In Billions



a--actual. e--estimate. Source: S&P Global Ratings.

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Based on our conversations with the companies within the industry there is a wide range as to how deeply a utility can reduce its capital spending and still maintain safe and reliable services. Some utilities can only reduce capital spending by as little as 15%, others by as much as 60%. Our analysis indicates that the majority of utilities could reduce their capital spending on a temporary basis by about 40% and maintain safe operations. Should the recession prolong, we would expect that the industry would generally first reduce capital spending and only afterward cut dividends. There is precedent that during times of high financial stress, utilities have reduced their dividends and we would expect that the industry, if necessary, would use this lever, acting prudently to preserve credit quality.

Credit quality of the North America regulated utility industry was already weakening prior to COVID-19. We believe that incremental challenges that the industry will face from this recession exacerbates financial pressure and underpins our revised negative outlook for the industry. However, we also expect that this industry's credit quality will continue to outperform most other corporate industries despite these challenges. Furthermore, we expect that the utilities will use the levers available to them to reduce credit risks and limit the financial impact from COVID-19. Overall, while we expect a weakening to the industry's credit quality, we continue to firmly believe that this industry will remain a high-quality, investment-grade industry.

This report does not constitute a rating action.

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